

Emcure Pharma (EMCURE)

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Call: Aug 2024

Emcure

Emcure Pharmaceuticals Limited

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To,

National Stock Exchange of India Limited

Exchange Plaza, C-1, Block G,

Bandra Kurla Complex, Bandra (East),

Mumbai – 400 051

Script Symbol: EMCURE BSE Limited

P J Towers,

Dalal Street,

Mumbai - 400 001

Scrip Code/Symbol: 544210 / EMCURE

Dear Sir/Madam,

Subject : Transcript of Earnings Call - Q1 FY25

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and further to our intimation dated August 8, 2024, please find enclosed the transcript of the Earnings Call for the Q1 FY25, held on Wednesday, August 14, 2024 at 8.30 a.m. (IST) .

The above -mentioned transcript is also being uploaded on the website of the company i.e.

<https://www.emcure.com> .

You are requested to take the above information on your records.

Thanking you,

For Emcure Pharmaceuticals Limited

Chetan Sharma

Company Secretary & Compliance Officer

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Emcure Pharmaceuticals Limited Q1 FY 25 Earnings
Conference Call

August 14, 2024

MANAGEMENT : MR. SATISH MEHTA – GROUP CEO, EMCURE
PHARMACEUTICALS LIMITED
MR. TAJUDDIN SHAIKH – CFO, EMCURE
PHARMACEUTICALS LIMITED
MR. VIKAS THAPAR – PRESIDENT -CORPORATE
DEVELOPMENT , STRATEGY AND FINANCE , EMCURE
PHARMACEUTICALS LIMITED
MR. PIYUSH NAHAR – EXECUTIVE VICE PRESIDENT ,
CORPORATE DEVELOPMENT AND STRATEGY , EMCURE
PHARMACEUTICALS LIMITED

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Moderator : Ladies and gentlemen good day, and welcome to Emcure Pharmaceuticals' 1st Quarter Earnings Conference Call .

As a reminder , all participant lines will be in the listen -only mode and t here will be an opportunity for you to ask questions a fter the presentation concludes . Should you need assistance during th is conference call, please signal an operator by pressing “*” then ‘0’ on your touchtone phone. Please note that this conference is being recorded .

I now hand the conference over to Mr. Piyush Nahar from Emcure Pharma. Thank you, and over to you, sir.

Piyush Nahar: Thank you , Neerav. Good morning , everyone.

Last night we released our Financials for the 1st Quarter of Fiscal 2025 along with the Press Release . These are also posted on our w ebsite. We hope you all had the chance to review it. I would like to bring to everyone's notice that this call is being recorded and the recording and transcript will be available on our website.

To discuss the Company's business performance and outlook, we have on the call our Group CEO – Mr. Satish Mehta ; our CFO – Mr. Tajuddin Shaikh; and our President - Corporate Development , Strategy and Finance – Mr. Vikas Thapar.

Before we begin, I want to remind everyone about the safe harbor related to today's call. Today's discussion may include certain forward -looking statements which must be viewed in conjunction with the risks that our business faces that could cause our futu re results, performance or achievements to differ significantly from what is expressed or implied by such forward -looking statements.

At the end of the call, if you have any queries remaining unanswered, please free to contact us at investor.relations@emcure.com .

I would now request our CEO – Mr. Satish Mehta to provide the “Opening Remarks ”. Thank you, and over to you , sir.

Satish Mehta: Thanks , Piyush . Good morning , and thanks for coming early morning . Deeply appreciated. It's a pleasure to speak to all today to present our 1st Quarter ly results update.

To begin with, I would like to thank all the investors, stakeholders and partners who helped us achieve a very successful listing. Once again a big th ank you. We are delighted to have received a very strong response from the investors. I am acutely cognizant of the fact that the response and faith the investors have reposed in us puts enormous amount of responsibilities on our shoulders. We have always worked keeping in mind the interest of all shareholders and will continue to do so going forward.

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We are now embarking on a new journey as a listed company , and I would therefore ask for your support and guidance as we work towards building a great institution. Since this is our first call, I will start with providing a brief description of how we have built our business. I would like to talk about our strengt hs and strategies going forward. Post that, I would provide a brief update on our business overview and would then request our CFO Mr. Taj to provide the financial details , highlights for 1st Quarter . Post that, we would open up for question and answers. Now with that , I would like to talk about our strengths . As I have been repeatedly saying , the company has been built on science , technologies and innovation , and I am also a post graduate in organic chemistry . So, to that extent , science is very , very cl ose to my heart.

First, I would talk about our India business . In India we are ranked as 12th largest pharma compan y in the industry and as the 4th largest pharma company in our covered market. We are led by our strong R&D and strong sales and marketing. We are leaders in women health care, through our Anemia franchise . Orofer XT is the 17th largest brand in the pharma industry as per AWAC S.

In Cardiac, we

introduced the concept of chirality. We are amongst the top 5 company in cardiac.

We recently took over the entire Sanofi cardiac portfolio to promote and distribute, thereby further augmenting our position in the field of cardiology.

We market Tenecteplase for acute ischemic stroke where we hold the global patent for the indication. Tenecteplase is on track to become an anchor brand and is leading our foray in CNS. Historically, we have been focused on metros and Tier-1, and the company has been built on the back of support of specialists and differentiated products that we have been marketing for last 25 years. I am happy to state that specialists make up 70% of our prescriptions. We have now started focusing more on Tier-2, Tier-3 and Tier-4 markets with a basket of our established products. We have recently added 1,200 sales people in the last 18 months, taking our field strength to over 5,000.

After having spoken about our India business, now let me turn to our International markets. Our focus in the International markets is also on differentiated products with emphasis on complex injectables.

As far as Canada is concerned, we entered Canada through acquisition of Marcan Pharma in 2015. Last year we acquired a second company in Canada to expand into Quebec. We are now a leading player in Canada and among the top 10 in generic players.

As far as Europe is concerned, we acquired Tillomed in 2014 and used that as a base to expand Europe-wide in other countries and have scaled up 10x over a period of last 10 years.

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As far as emerging markets are concerned, the strategy is to take our differentiated products from India and Europe and Canada to emerging markets. As far as the emerging markets are concerned, what we have seen, these markets behave like India and have great potential. In many of the emerging markets, we have our own front end and in many of the markets, we market our products through our partners and distributors to reach all these markets.

Having talked about the business, I would now like to turn on to our strategy going forward. We will continue to focus on India and emerging markets as these together form two-thirds of our revenues.

Over the last 12 months, we have made investments in both our front end - through field force addition and in manufacturing capacities by operationalizing four new facilities. This is with the view to provide better growth levers over the next two-three years for both India and international markets.

In India, our strategy will be to focus on reach and penetration. In many of the therapies, we are very strong, and we will keep on augmenting on these therapies and building on it like gynae and cardiology and vitamins and others, but we will also focus on diabetes, CNS and derma, where a lot of work needs to be done. We would like to focus on these segments going forward. We will also work on improving the productivity per person as far as the India business is concerned. In India business, since the business has been built on differentiated products, many of them coming from our R&D, where I am very happy to say that mine is one of the company, which is strong in both chemistry and biologics. We have launched seven biologics in the industry. So, we will keep on focus on our science, technology, innovation and our R&D will continue to give us new products for both India and international markets.

Additionally, we will also look out for in-licensing arrangements like Sanofi. The Sanofi project is going very well. The integration has been excellent. We will keep on looking for such opportunities going forward.

We have been very successful as far as merger and acquisition is concerned in Canada and Europe. I talked about Tillomed. I talked about Marcan. I talked about Mantra. We will now look at M&A in

India as well.

So, as far as the strategy is concerned, we will be focusing on both organic growth as well as inorganic. We would look at inorganic opportunities like in-licensing arrangements or acquisition going forward while at the same time focusing on improving the productivity per person and also trying to ensure that we improve our reach and penetration by going to Tier-3, Tier-4 markets, Tier-2 markets now going forward.

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Before I go to 1Q results, let me tell you our long-term vision and also address a key question up front which I expect to be there. Overall, our aspiration is to be a top 10 player in India not just in terms of revenues but also profitability. The business is a free cash flow generating with

high return on capital and you will see that improving year -on-year.

I also want to address up front one question , which will come up , which is on U .S. business which we demerged 3 years back. So, let me clarify. U.S. business is with tremendous amount of volatility, low predictability, highly capital intensive with low free cash flows. We have consciously taken a view to keep it out of Emcure and focus on the business of India , Emerging market along with Canada and EU (Europe) , which are lot more stable and predictable. We have ring fenced the Emcure business from the volatility of the U .S. business. The business we now have is similar to consumer business. The base margins are good , but we are currently investing , which has suppressed our margins in the short term. As we move forward, you will see margins and return ratios improving quarter -by-quarter.

Now , let me provide a brief review of 1Q performance.

In the 1st Quarter , we have delivered a robust performance with total income growing by 17% year-on-year and EBIT DA growing by a growth of 16%. Taj will be giving you more details as I pass on the baton to Taj after some time.

Business wise, India business is doing well. We have been impacted due to one of our key products Ferric carboxymaltose (FCM) going off patent in October last year. Ex of this and without factoring Sanofi, our base business has grown by 7%. I am very happy to state that Sanofi business has integrated well, and we are on track.

In international business, we are seeing green shoots. Europe is growing at high single digits. The launches here are back ended , so growth will pick up more from quarter 4. In Canada, both base businesses and Mantra is doing well. Organically, the business is growing double digits and we are quite positive as far as Canada goes.

Emerging markets, we have a healthy order book both in non -ARV and ARV segment. In our non-ARV segment, we are seeing traction for our differentiated products, and we saw robust growth in this segment. I am happy to say that we are also in the process of registering our biologics in the emerging market and we see a great potential for our biologics in the emerging markets going forward.

The quarterly growth tends to be volatile in this segment. The quarter growth for emerging markets is bit muted as our ARV orders are more from this quarters in the current year. So, you will see an uptick in emerging markets going forward.

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With this, I would now request Taj, our CFO, for more details on the financials. Thank you very much.

Tajuddin Shaikh: Good morning , participants. Welcome to our first Con Call. As mentioned by the CEO, 1Q has been a good quarter for us. Our revenue from operations grew by 17% year -on-year to 1,815 crores for 1Q, growing from 1,556 crores in 1Q of FY '24.

Our domestic business grew by 14% year -on-year to 909 crores, aided by Sanofi's portfolio offsetting the decline due to FCM. Ex-FCM and ex -Sanofi registered a steady growth of

7% Y -

o-Y and 8.4% Q -o-Q.

Our international markets, which represent 50% of our revenue, grew at a robust 19.5% to 906 crores, led by our Canadian and European markets. Canada grew to 294 crores for 1Q, aided by the Mantra acquisition. Ex-Mantra also, the base business growth was in double digits. Europe experienced high single digit growth, growing to 358 crores for 1st Quarter . For emerging markets, our sales stayed flatish, owing to seasonality and timing of the order.

Gross margins for the quarter stood at 62.4% against 63.6% in quarter 1 of FY '24. The decline is due to business mix. Sanofi business is at a lower margin.

Our EBITDA grew 16% year -on-year to 360 crores. EBITDA margin stood at 19.8%, similar to 1Q last year. This is despite the 4 new plants which were operationalized over FY '24.

Depreciation and amortization expense increased to 94 crores from 67 crores year -on-year due to the Mantra acquisition and operationalization of 4 new plants. Q-o-Q depreciation is flat.

Our interest cost for the quarter was at 59 crores, which will be lower going forward due to the reduction in debt. Our expected tax rate for 1st Quarter was at 26%.

Our PAT for 1st Quarter stood at 153 crores, growing 8.2% year -over-year. Growth is lower due to the amortization of Mantra and new facility depreciation.

Before I conclude and move to the Q& A, let me provide a brief view on full year . Our 1st Quarter last year was very strong, and hence the organic growth of the current quarter is a bit below trend. For the full year, we expect overall revenue growth of 20% plus. Even on margin front, we expect full year margins to be between 20 % and 21% as we see operating leverage play out.

We can now begin the Q&A.

Moderator: Thank you very much . We will now begin the question -and-answer session . The first question is from the line of Ajay Sharma from Maybank . Please go ahead.

Ajay Sharma: Thanks for the update. Can I check how much was the contribution from Sanofi in Q1?

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Piyush Nahar : So, we are not breaking that out, Ajay. So, as I said, ex Sanofi, ex Mant ra, the business has grown 7%. I think from that you can get a sense, but we are not breaking out those revenues.

Ajay Sharma: 7% organic, is it, for the 1st Quarter ?

Piyush Nahar : Ex-FCM, organically we have grown 7% for the quarter.

Ajay Sharma: So, that seems below trend actually. So, the Indian -based business has not grown that much, is it? Basically, where is the shortfall ? Other than the rest of the world, I guess.

Piyush Nahar : So, India, if you look at it, I think there are a couple of reasons. One is, last year for us, the first quarter was very strong. Usually, given our acute portfolio in Zuventus , the second quarter and third quarter are the strongest quarter. But if you look at last fiscal year, 1Q was largely similar to 2Q. So, of this high base, the growth looks a bit subdued. If you look at the AWACS and some of the external tracking, despite this, ex-FCM, we are organically growing slightly ahead of industry.

Now, if you look at from operational perspective, we are seeing growth accelerating ahead. Some of the operational metrics we are seeing positive results. So , if you look at it , we have been talking about our focus in domestic markets over last 18 months has been , one, on converting more doctors , and secondly , increasing our prescriptions for doctors. Both we are now seeing results. So , our total prescriber base has grown by about 4.5% over the last 12 months. Similarly, we are seeing an increasing number of doctors co-prescribing our products, there though is still a lot of room to improve .

And if you look at the number , you see this acceleration also reflecting in our quarter -on-quarter number. So , our Q-o-Q base business has grown b

y 7% including FCM also. Some of our top

brands like Ofrer XT, Tenectase are seeing very strong growth. So , our target for the full year is to grow ahead of industry by about 200 basis points , and we think we are on track for that.

So, another factor that you are seeing a bit muted growth this quarter is also because this quarter the focus especially on the cardiac side was more on integration of Sanofi. And you will see those benefits coming out from 2Q and 3Q.

Ajay Sharma: And then secondly on the margin , did you say EBITDA margin of 20 % to 21% as compared to 18.5% for the 1st Quarter ?

Piyush Nahar : Yes. So, overall for the for current 1st Quarter , we were at 19.8% . For the full year , we will be between the 20 % to 21% .

Ajay Sharma: So, you are including other income in that basically , is it?

Piyush Nahar : Yes.

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Moderator: Thank you. Next question is from the line of Jay Acharya from Acharya and Associates . Please go ahead .

Jay Acharya: What is breakup of R&D cost in total cost ? Just one question . And the second is , do you have any seasonality in income , like any quarter would be higher and any quarter would be lower ?

Piyush Nahar : So, R&D was around 4% for the quarter. In terms of seasonality , as I mentioned , domestic business usually 2Q, 3Q is stronger because of the acute piece there. In terms of the international market , usually 2H is stronger for us than 1H.

Moderator: Thank you. Next question is from the line of Tushar Manudhane from Motilal Oswal. Please go ahead .

Tushar Manudhane: Sir, just on the domestic foundation side, if you could share the breakup of MRs into acute and chronic therapies and MR productivity respectively ?

Piyush Nahar : So, our total MRs is about 5 ,000 and roughly about 50, you will have a 50 -50 acute and chronic between that. In terms of PPM, therefore , the 1st Quarter we were at about 6.3 versus last year we were at 5.8.

Tushar Manudhane: And what is the MR attrition rate typically?

Piyush Nahar : I think it is in line with the industry between the 20% and 30% around that figure .

Tushar Manudhane: And lastly on this aspect, how do you intend to improve the productivity going forward?

Vikas Thapar: Hi, this is Vikas. I will take that question. As we mentioned, we have actually added close to 1,200 MRs in the last 18 months. And this was spread across both our chronic and acute side –

In our Zuventus acute side of the business, we expanded quite significantly and split vertically our main division . In the chronic side as our CEO mentioned, part of our strategy is to go into some of the Tier-2, Tier-3 cities and so that team has expanded. And so as that team continues to ramp up and we see the productivity improving for some of the new hires, that will automatically drive, our productivity levels . We believe our productivity levels will be closer to 7 by year end versus the 6.3 that we delivered in Q1.

Tushar Manudhane: And maybe the presentation is not yet on the website. So, just if you could break down the domestic combination growth into acute growth and chronic growth for the quarter ?

Piyush Nahar: I think for the quarter ex-FCM, our acute was slightly better growth. It would have been about closer to 8 %. Chronic would have been about 6 % odd .

Tushar Manudhane: So, Chronic has grown at a lower rate compared to acute ?

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Piyush Nahar: Slightly lower, yes.

Moderator: Thank you. Next question is from the line of Gagan Thareja from ASK Investment Managers .

Please go ahead .

Gagan Thareja: The first question is around the debt. I think one of the objectives of the IP O was to pare down the debt. Can you give us the debt number post the IP O? How much has it been reduced down by?

Tajuddin Shaikh: So, our de

bt today is close to 850 crores. Prior to the IPO, it was around 1 ,550 crores.

Gagan Thareja: You are talking about gross debt here or net debt?

Tajuddin Shaikh: Net debt.

Gagan Thareja: Can you give the gross debt numbers , please?

Tajuddin Shaikh: Gross debt number would be close to 950 crores.

Gagan Thareja: Versus?

Tajuddin Shaikh: Versus 2 ,000 crores.

Gagan Thareja: Because it doesn't really reflect fully in the interest cost as far as I can see. So, the other question is around the outstanding litigations that there were a couple of outstanding litigations and settlement was supposed to ha ve happened. What's the status there?

Tajuddin Shaikh: First, let me answer, sir, on the interest cost. The interest cost benefits will be coming some in this quarter and then going forward, the entire benefit will be coming in from quarter 3 and quarter 4.

Piyush Nahar: So, Gagan, the cash from the IPO came in only from July 10th. So, that's where the benefit will come through in 2Q. Vikas, you want to take on the litigations front?

Vikas Thapar: Yes. If we are talking about the litigation , there was a U.S. litigation, which is obviously part of an industry -wide litigation, as was highlighted in the prospectus . We had actually reached a settlement with the three major classes. That settlement encompassed a payout from the now demerged U .S. entity, which is responsible for making good that entire amount. So, it's basically cash neutral from Emcure's perspective. And I think in all three of the cases, there is a process by which the counterparties have to basically file with the courts, which then recognize the settlement from both sides, the defendant and the other side. And so, we are at different stages of that being done. So, that is basically on track in line with what we have already highlighted recently as part of the IPO prospectus.

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Gagan Thareja: There were, I think , certain loan guarantees that were offered by Emcure to the U .S. entity, which is hived off into a separate business now. And t hose loan guarantees were supposed to be transferred.

Vikas Thapar: So, I answered the litigation part , vis-a-vis the loan guarantees, as that was already removed in Q1. The US entity has taken a new line of loan directly in the U .S., and by doing so, there is no longer the loan guarantee that exists between Emcure and the U .S. entity. So , that has been retired as of Q1.

Gagan Thareja: And I think there is also an outstanding litigation with the HDT in the British Courts . I think in the U .S. settlement went in your favor and there was talk of, you know, you sort of going in for an out of court settlement. Is that issue fully resolved now?

Vikas Thapar: Yes, in fact, I think there was a public announcement around that, that both sides had amicably resolved that issue in totality and in fact, have decided to re -engage in terms of a business cooperation and in d oing so both on the U .S. matter as well as the UK arbitration matter, those have been withdrawn and the case is now fully settled on both sides.

Gagan Thareja: And just for my understanding, is FCM, the product that you had post patent expiration, new competition and its impact, is it separate from Orofer or is Orofer also the same product? I am just sort of trying to clarify.

Vikas Thapar: Orofer is the mother brand, and we do have Orofer XT, which is one of our, in fact, our leading brand, which is the Ferrous Ascorbate molecule, whereas FCM, we sell under Orofer FCM for the Ferric Carboxymaltose , but it sort of rolls up under the same Orofer mother brand for anemia.

Gagan Thareja: And what would have been the size of FCM pre -expiration and what has bee n the status off late in the recent court?

Piyush Nahar: So, Gagan, we are not getting into product wise numbers there,

but I think you can get a sense

from that if you look at some of the external tracking and also the numbers we have given, but we are not getting into exact brand sizes on the call .

Gagan Thareja: And for the ARV piece, I think last year was a difficult year for all ARV formulators because the prices moved very sharply downward. What has been your experience in the last full year for AR V, and how has it worked out for you in the 1st Quarter , and how do you see it moving forward?

Piyush Nahar: So, yes, Gagan, I think in the last couple of years there has been a lot of pressure on the ARV segment and in fact, from an Emcure perspective, I think how we look at ARV is that it's not something we want to aggressively build up. The focus there is on margins . So, both from a market perspective and also from our internal costing , we have a threshold that we want to get at least on that business and basically our bids are aligned with that .

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Having said that, I think this year we are seeing some green shoots out there in terms of both the pricing and also from our internal costing a Iso. So , we are seeing orders which are meeting our margin threshold picking up .

Satish Mehta: During COVID time, Gagan, what happened, there was massive stockpiling which had taken place in all the countries which purchased ARV products. So , once those s tocks had been liquidated, now the situation is getting back to normal. So, we do expect that as soon as HIV or ARV business is concerned, that should be better than what we did last year. But having said that, we are very, very , what I would say, selective as far as HIV or ARV business is concerned because of the margins.

Gagan Thareja: And if I look at the results, that most companies have announced in 1Q while sales growth wouldn't have been very , very strong across the board , but gross margins have improved across the board for all companies . I presume part of it is coming from the lower API prices and at least in India, the ex -NLEM portfolio getting a good price increase. In your case, if one were to keep the Sanofi portfolio out, would the gross margins on your India business have improved for 1Q over last year?

Tajuddin Shaikh: Yes. Without the Sanofi portfolio, our margins have improved by about 100 to 150 bps .

Piyush Nahar: At the overall company level.

Tajuddin Shaikh: At the overall company level.

Gagan Thareja: And for your overheads, is the number that we saw in 1Q for employee and overheads something that is sort of stable and sustainable going into the next three quarters?

Tajuddin Shaikh: Yes. The numbers are pretty stable and going into the next quarter, it could be similar numbers.

Moderator: Thank you. Next question is from the line of Alok Dalal from Jefferies India . Please go ahead.

Alok Dalal: First question, sir, is on the differentiated products. So, differentiated products is one of the strengths of the company. Can you tell us what is the contribution of these products to FY '2 4 revenue and for the 1st Quarter as well?

Piyush Nahar: So, for the FY '2 4 in terms of the, if I look at the domestic business, about 53% of our revenues came from these differentiated products. In terms of the international market, that would have been roughly about one -third of the business there. 1st Quarter would have been a similar number . And to highlight out in terms of differentiated products, I think one product where at least in the domestic market we are seeing a lot of good traction is Tenectase , which is now included in your essential list from the central government.

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Satish Mehta: It has been included in the essential list by the Government of India, Ministry of Health , and apart from that , what is really happening , that many o

f the state governments are also getting

this product as part of the essential drugs . Because it is understood by everyone including the governments, both states as well as central , that as far as the stroke is concerned, it is a much bigger problem than MI.

So, to that extent, all the governments are proactively going in for this particular product. We are also reaching out to them and the good thing that i s happening as the country is improving on the health index, many of the primary centers , they also have the CT scan and all these facilities are available.

So, obviously going forward, we see a lot of potential for this particular product . And just to tell you wh ile we are doing survey, I think almost 120 out of 100,000 people are getting stroke in the country and hardly 7 % or 8% of the guys are getting treated. So, a lot of work will have to

be done , but this particular product has enormous potential going forward.

Alok Dalal: And the second one is on the biologics. Biologics is again a big focus area for the company , and I believe you have new launches lined up. So, which are the geographies which will be meaningful from a biologics contribution perspective apart from India?

Satish Mehta: So, as far as biologics are concerned, what has really happened recently, our plant was audited by the European authorities and we expect , positive outcome going forward . For biologics, we see a lot of potential in MENA countries, especially Saudi Arabia, UAE, Morocco, Algeria, these are the countries where we are getting traction and apart from that Sri Lanka, Sri Lanka is one country where we have got good volumes for Tenecteplase and the other countries that we have been talking is Southeast Asia , like Thailand , Vietnam , Philippines , Indonesia . These are the countries we are very hopeful as far as the biologics are concerned . And our strategy for biologics is essentially to focus on the emerging markets where we see good growth potential .

Alok Dalal: Satish, lot of companies are trying biologics especially for emerging markets, So, what differentiates Emcure versus the others?

Piyush Nahar: So, there also, if you look at it, for us, I think it's the product that we are working on, right . So, the portfolio for us that we are focusing on, is Tenecteplase , where globally if you look at it, there are not that many players out there. Especially for Tenecteplase , we hold the global patent for use in stroke.

Similarly, PEG -asparaginase , where again, it's an orphan drug, where globally, there are not many players out there. One of a bit more commoditized, but where we have a lot more cost efficiencies is EPO, So, I think those are the products. We are not going for your regular mabs. I think similar to the chemical entities , here also we are focusing on having a bit more differentiated biologics.

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Alok Dalal: And Piyush, I believe you will have the capacity to launch these products in the coming years?

Piyush Nahar: Yes.

Alok Dalal: And last question is on margins. So, Taj, if you exclude FCM and exclude Sanofi, then your EBITDA margins would have improved Y-o-Y?

Tajuddin Shaikh: Yes.

Moderator: Thank you. Next question is from the line of Parag Thakkar from Anvil Wealth . Please go ahead.

Parag Thakkar: First of all, I would like to thank the entire team and wish you all the best for a new journey.

And I would like to say that, see, as you very rightly said that you have deliberately put U.S. business outside Emcure listed company to make it a more sustainable and predictable business, which will be fairly valued by the market.

And I am already an investor in the company. And I would love to have, what is your aspiration, as the, I would say, achievable outcome, the 20% growth with around 19 %-20% ROCE. I think that is what every

investor will aspire for.

So, the most part of it, if I understand correctly, is going to come because of your four new capacities and 1,200 new MRs which you have had in the last 18 months. If I have heard it correctly, the most part of this 20% growth as well as 19% to 20% ROCE , and of course , EBITDA margin of close to 20% is achievable due to that operating leverage , right ?

Piyush Nahar: Yes.

Vikas Thapar: So, I think broadly you are correct. I think the current year growth is going to be driven by the additional capacities as well as the addition of the field force that we have had in India. Outside of India though , what is also very important is our recent acquisition in Canada and some of the synergies we will achieve out of that acquisition will drive our growth , for example , in Canada and as well as our robust R&D pipeline. We obviously continue to spend between 4 % to 5% on R&D every year and we will continue to focus on a differentiated product portfolio which will continue to drive growth in several of these areas.

And so, I think , and outside of that as we have successfully done in the recent past both in terms of looking for some inorganic drivers - acquisitions as well as strategic partnerships the likes of what we had accomplished with Sanofi for their cardiac portfolio . I think these are the different levers that will drive that growth . And certainly , as the capacities get better utilized and the field force gets more productive , that will automatically lead to more operational leverage , which will help our margin profile improve quarter -on-quarter.

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Parag Thakkar: So, basically just one question . When you do a small acquisition or when you do a in -licensing like what we did with Sanofi , I think it will not dilute the ROCE. But if you do a big acquisition , like recently which we have seen in last few months , in domestic pharma industry , I think the

acquisitions are too pricey and that will dilute your ROC E and net debt profile.

So, as an investor, I would like to say that for few quarters or years where you prove yourself as a 20% compounder and a predictable compounder with very low net debt number, as you rightly said, now the net debt number is 850 crores and we see the impact of that also, as you said, that from Q3, Q4 the interest cost will come down.

Let us see those numbers and then I think talk about any big acquisition which will dilute ROC E because all those acquisitions, although they might be strategic and they might be helpful in long run, but in medium term, they generally tend to dilute ROC E. And what we as an investor would love to see is a 20% ROC E number with 20% growth and 20% margins. We love this 20 number by the way.

Vikas Thapar: No, certainly appreciate your inputs and guidance and we are very cognizant of that. And so when we are looking at evaluating any opportunity, obviously, that is a critical aspect of the analysis that goes on and we will be very mindful of some of the feedback that we get from our investor community. Thank you.

Parag Thakkar: And please ensure that whatever acquisition you do, at least in second year of operation, it will be EPS accretive because unnecessarily if EPS gets diluted, I think the wealth creation journey which Satish, the CEO, pointed out to gets a little bit of negativity. So, I would say that these are my requests that I am not a pharma analyst, and I am an investor. So, the chronic part of the portfolio, if you can keep growing and outpacing the industry growth, I think that will be highly appreciative, whether it is gynec or whether it is cardio. I know gynec is considered a sub-chronic, but the CNS, these are the segments I think in the opening remark of the CEO we heard. So, I think the chronic part needs to grow sub

stantially and that gives us a good multiple also.

Vikas Thapar: Absolutely. I appreciate the feedback.

Satish Mehta: No, we appreciate it.

Moderator: Thank you. Next question is from the line of Banshi Desai from J. P. Morgan. Please go ahead.

Banshi Desai: My first question is on Canada business. If you can help us understand on a steady-state basis, how should we think about growth in this market, both for Mantra and ex-Mantra? And if I understand correctly, the market growth in Canada probably would be in single digits. So, what is going to be driving growth for us? Is it going to be new product launches? Or if you can comment on pricing, volume, that will be great.

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Vikas Thapar: Yes, Banshi, I will take a stab at it and Piyush, you can chime in. So, you know, for us, our aspiration is to continue to grow on a steady-state double digits for the Canadian market for the short to medium-term. While the market, as you rightly said, continues to grow probably mid single digits.

We believe that the Mantra acquisition, which only concluded less than a year back, there is a lot of green shoots from that because obviously Mantra on its own already had an exciting portfolio that they were selling in the Quebec region. Some of that portfolio we are able to take to other parts of Canada through Marcan's existing network.

And similarly, Marcan has a number of products that historically were not present in the Quebec region, which Mantra is able to take and expand in that region. And then, obviously, we continue to evaluate new products that we would like to work on in terms of the R&D pipeline or BD and licensing opportunities for the Canadian market.

Having built up a sizable presence, we are one of the leading generic players now in Canada with a business that is approaching on an annualized basis almost 200 million Canadian dollars. We think that that puts us in a very exciting position to be able to avail of our leadership to continue to grow and grab market share in that segment.

Banshi Desai: And as I understand the profitability here in this market is way superior than other international markets for us. So, should we expect that to continue?

Vikas Thapar: Generally, what we have seen is the competitive intensity in Canada for a number of products tends to be a lot less severe than one would see in other regulated markets, certainly markets like U.S. or even UK, etc. And there is obviously certain pricing regulations in how the Canadian market operates in terms of the number of generic players that are there against the innovator brand, etc.

So, as long as there is no significant disruptions to the pricing regime and the regulations, we believe that it's a good market for the kinds of product portfolio that we have, where it's a good mix of both oral solids as well as some of the complex injectables that we sell, which lends itself to a decent margin profile. So, we believe in the short to medium-term again, we can sustain those margins.

Banshi Desai: And would we still have M&A opportunities in that market?

Vikas Thapar: We will continue to look where it makes sense to do so in that market.

Banshi Desai: And my second question is on India business. And this is just a small clarification. Piyush, on

this India number that we have reported, does this include the EM contribution bit or this is excluding that?

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Piyush Nahar: This is excluding that.

Bansi Desai: And secondly, you mentioned 5,000 as our field force count. So, does this include managers as well?

Piyush Nahar: Yes.

Bansi Desai: So, excluding that what the number would be?

Piyush Nahar: Excluding that will be closer to about 4,100.

Moderator: Thank you. Next question is from the

line of Ajay Sharma from Maybank. Please go ahead.

Ajay Sharma: I was just doing some rough math, basically looking at your organic growth of 7%, right? And considering the Mantra acquisition to be about a 100 crores contribution, seems like the Sanofi part contributed only around 50 crores, which looks way below the 500 crores you were targeting. So, I mean, I was just wondering...

Piyush Nahar: No, the 7% we talked about is also ex-FCM. So, I don't think that 50 is correct. We can take this offline, Ajay, if you want to.

Ajay Sharma: Okay, but definitely it's running below the 500-crore kind of guidance which we had given at the time of the IPO. So, I am just wondering.

Vikas Thapar: Yes, Ajay, I think Piyush answered it. What he was highlighting is that you also need to factor in the FCM impact, the erosion of FCM relative to Q1 of the prior year.

Ajay Sharma: And how much would that be?

Piyush Nahar: So, Ajay, we can take the numbers offline because we don't want to talk about specific product numbers here. But I think Sanofi from our perspective, it's tracking in line with what we were expecting for that business. So, we are not seeing difference versus what we had been expected earlier.

Moderator: Thank you. Next follow-up question is from the line of Gagan Thareja from ASK Investment Managers. Please, go ahead.

Gagan Thareja: Sir, on your capacity utilization, can you give some idea, I mean, overall, where does it stand and for the new plants, where does it stand?

Piyush Nahar: So, on the new plants, if you look at it, three of them have started operations and we started supplying from them. So, if you look at Kadu, which was more focused on global oral solids,

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there we are now reaching about a 60% utilization. So, that should be breakeven from third quarter.

Mehsana there are two lines there, solids and injectables. The solids, we are now closer to about 40%. Injectables, we have just started filing from there, so that is still small. I think there you will see more product launches towards end of the year or early next year.

Biologics, again, similar to the injectables in Meh sana, we are still in filing stages. So, that will take a bit longer to change capacity utilization. Oncology, we are at 20% and that you should see ramp up coming year.

Vikas Thapar: I think, overall, just to add, we think that there is probably, cumulatively from these four facilities, the way you just described it in more detail, still about a 75-basis point margin drag on account of, obviously, them ramping up. Our older facilities continue to be at a fairly well utilization level. So, overall, as these facilities ramp up by year-end or early next year, we should get the benefit of that 75 basis points or so drag that we are currently seeing on the new facilities.

Gagan Thareja: So, if that works out to plan, you have a 75-basis point margin swing purely from the operating leverage on new facilities, and then to add to that you have the potential for PCPM improvement on your field force. So, I am just wondering, is the potential for margin improvement perhaps possibly 100 basis points or more? I understand, you know, it may, or it may not play out over a certain timeframe, but as a hypothesis, if things work per your anticipation, is that a plausible scenario?

Vikas Thapar: So, I will just take that follow-up. As we guided, we did just about 20% EBITDA margins in Q1. You know, overall we anticipate our EBITDA margin profile to be there about in the range between 20% to 21%, factoring in some of these positive upsides that are there towards year-end.

And certainly, as we exit FY '25 and look beyond, we certainly would aspire to have that margin profile improve going forward. So, you are absolutely right. We think there is about 100 basis point of margin

in profile improvement possible if we are able to execute to plan by the end of the year. And certainly, that should only get better going forward from the next fiscal.

Gagan Thareja: And I think there is also an outstanding tax dispute of around 250 crores. Have you taken any provisions for that, or do you feel the need to take any provisions for that?

Tajuddin Shaikh : It's under appeal and we have not taken any provisions, and we don't feel the need to take any extra provisions for that.

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Gagan Thareja: I think you also in the past indicated that you intend to file Amphotericin , Liposomal Amphotericin . I mean, is that something that you have already done for the emerging markets, and do you intend to see commercial benefits of that or are you in the process of filing that?

Piyush Nahar: Yes. So, if you look at Amphotericin B, we have already got approval in the UK and have launched it there. EU we have already filed . We are expecting approval this year and we are basically actively filing in the various emerging markets. So, those approvals you should start from this year but more meaningfully from next year.

Gagan Thareja: And the growth guidance that you have given in aggregate of 20% , is it possible to perhaps give a little more detailed picture specifically for different geographies? I mean, broad brush numbers would also be of great help.

Piyush Nahar: So, for India, as Satish mentioned, the focus will be to grow 200 basis points higher than the industry on an organic basis. International, I think this year, given the Mantra acquisition, we should see much stronger growth out there. But I think if you look at domestic international, our split should roughly remain at 50 %-50%.

Gagan Thareja: And any plans for Semaglutide filing in India? I think the generics come through in March of '26.

Piyush Nahar: Yes, so we are working on it and we will be looking to launch that.

Vikas Thapar: Our R&D team is obviously actively working on it and we are bullish that we should be there along with others on day 1.

Gagan Thareja: Just a clarification . On your standalone reporting, if I calculate the operating margin, it comes fairly low at around 12%. I may have gotten it wrong, but I am just sort of eyeballing it and it would seem to me that the standalone operating margin takes some other income of closer to 12%. Why is that the case if I got the number correct?

Piyush Nahar: Gagan, I think standalone has a lot of things because for our foreign subsidiaries. All the manufacturing is done here , so it depends on when shipments happens. So, I don't think standalone we will look at it. I think consol is a better picture to look at.

Piyush Nahar: I think , Neera v, we can close the session now.

Moderator: Yes, sir. We don't have anyone in the question queue. I would like to hand the conference to Mr.

Piyush for closing comments.

Piyush Nahar: Thank you all for joining today's call. If any of your queries still remain unanswered, please feel free to reach out to us. You can email us at investor.relations@emcure.com .

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Satish Mehta: And just a concluding remark from my side . We take your feedback very seriously and whatever suggestions that you have given, they will be deliberated and resulting in positive action and response from our end. Thanks . It means a lot to me whatever you guys have come, spared your invaluable time and given those feedback. Please continue doing so. And we are going to be very receptive to whatever you say .

Moderator: Thank you very much . On behalf of Emcure Pharmaceuticals Limited, that concludes this conference . Thank you for joining us , and you may now disconnect your lines.

Call: Nov 2024

Emcure

Emcure Pharmaceuticals Limited

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Ref: EPL/CS/SE/ 0027/2024 Date: November 13, 2024

To,

National Stock Exchange of India Limited

Exchange Plaza, C-1, Block G,

Bandra Kurla Complex, Bandra (East),

Mumbai – 400 051

Script Symbol: EMCURE BSE Limited

P J Towers,

Dalai Street,

Mumbai - 400 001

Scrip Code/Symbol: 544210 / EMCURE

Dear Sir/Madam,

Subject : Transcript of Earnings Call – Q2 FY25

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and further to our intimation dated October 29 , 2024, please find enclosed the transcript of the Earnings Call for t he Q2 FY25, held on Thursday , November 07 , 2024 at 6.30 p.m. (IST) .

The above -mentioned transcript is also being uploaded on the website of the Company i.e. <https://www.emcure.com> .

You are requested to take the above information on your records.

Thanking you,

For Emcure Pharmaceuticals Limited

Chetan Sharma

Company Secretary & Compliance Officer

Membership Number: F8352

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Q2 FY25 Earnings Conference Call

November 07 , 2024

MANAGEMENT : MR. SATISH MEHTA – MANAGING DIRECTOR & CEO – EMCURE PHARMACEUTICALS LIMITED

MR. TAJUDDIN SHAIKH – CHIEF FINANCIAL OFFICER – EMCURE PHARMACEUTICALS LIMITED

MR. VIKAS THAPAR – PRESIDENT , CORPORATE DEVELOPMENT , STRATEGY AND FINANCE – EMCURE

PHARMACEUTICALS LIMITED
MR. SAMIT MEHTA– WHOLE -TIME DIRECTOR–
EMCURE PHARMACEUTICALS LIMITED
MR. PIYUSH NAHAR–EXECUTIVE VICE PRESIDENT ,
CORPORATE DEVELOPMENT AND STRATEGY –
EMCURE PHARMACEUTICALS LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to Emcure Pharmaceuticals Q2 FY25 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Piyush Nahar, Executive Vice President, Corporate Development and Strategy . Thank you and over to you, sir.

Piyush Nahar: Thank you, Del. Good evening, everyone. Earlier today, we released our financials for the second quarter of fiscal 2025 along with our press release. These are also posted on our website.

We hope you all had the opportunity to review it. I'd like to bring to everyone's notice that this call is being recorded and the recording and transcripts will be available on our website.

To discuss the Company's business performance and outlook, we have on the call our Managing Director & CEO, Mr. Satish Mehta, our CFO, Mr. Tajuddin Shaikh, President, Corporate Development, Strategy and Finance, Mr. Vikas Thapar, and our Whole -time Director , Mr. Samit Mehta.

Before we begin, I want to remind everyone about the safe harbour related to today's investor call. Today's discussion may include certain forward -looking statements which must be reviewed in conjunction with the risks that our business faces that could cause our future results, performance or achievements to differ significantly from what is expressed or implied by such forward -looking statements.

At the end of the call, if you have any queries which remain unanswered, please feel free to contact us. I would now request Mr. Satish Mehta to provide the opening remarks. Thank you and over to you, sir.

Satish Mehta: Good evening. Thank you, Piyush. Good evening to all of you. Let me take the opportunity to wish you a belated Happy Diwali and of course, a very prosperous New Year. It is an absolute honour and pleasure to speak to all of you today and present our Q 2 FY 25 Results Update. Just to let you know, we released our Q 2 results today afternoon and I hope you had a chance to have a look at them. In Q2, we delivered a very strong performance. Our revenues grew by 20% year-on-year basis while our PAT grew by 38% year-on-year basis. During the quarter, all our businesses performed well.

Let me give some key business updates and Taj, of course, will walk you through the detailed financials. Some of the key developments as per the second quarter is concerned are, when we met during the road show , we talked about entering into new therapies to expand our covered market. I specifically mentioned about going for the areas where we have negligible presence and in the areas where we have to double down. I am happy to announce that we have recently onboarded a new team in our Derma to grow that business. To give adequate focus to Derma , we have set up a new 100% owned subsidiary, Emcutix to grow that business. Emcutix will be headed by Mr. Satish Narayan. Sathya brings with him over the three decades of extensive

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experience in the dermatology sector. As far as he is concerned, he started his career with Fulford , then known as Schering -Plough Subsequently, he became the Chief Executive and Managing Director of Galderma for South Asia. All of you are familiar with the brand Cetaphil . As far as this particular brand is concerned, this happened under Satish's leadership. Obviously, we are very excited about this and Satish is also building an absolutely top class, competent team for our Derma business. And you will see a lot of new prod

uct launches and initiatives in this segment going forward.

As you know, we at Emcure have a strong presence in the field of HIV. We are one of the major suppliers to the Sub-Saharan Africa and other areas for HIV. A very major development has taken place in the current quarter. We recently in -licensed Lenacapavir from Gilead Sciences

for India and Emerging Markets. This, in our view, is a path-breaking product in the ARV treatment regime and this adds to our strength in the ARV segment. The license also highlights our focus on innovation and new products. In the meantime, as I mentioned last time about Sanofi, our journey to have similar alliances will continue. In-licensing is a major part of the job which is spearheaded by me. We will continue looking out for opportunities to build our business in the domestic market.

Having said that, we recently got approval for our facility for EU GMP for our biologics. As I told you last time, our focus is going to be on domestic and emerging markets. The EU GMP approval for biologics will help us to get faster approvals in targeted emerging markets and this I see a reasonably good development going forward.

Having talked about the major developments in quarter 2, let me now talk about our key businesses. In India, we have grown at 15% in domestic business. Ex of Ferric Carboxymaltose and without factoring Sanofi, our base business has grown by 7%-8% which is broadly in line with the industry.

As you are aware, industry growth has been muted in Q 2 with Acute seeing the most impact. For us, as highlighted in the last quarter, extreme impact is still there in Q 2 growth as the product FCM went off the patent in October last year. Our objective is to grow faster than the industry as far as the domestic market is concerned which is very close to my heart. To achieve this, we have been working on multiple initiatives over the past few quarters. I alluded to in licensing sometime back, there is going to be a major thing which will be spearheaded by me. I have already talked about Derma. As far as the cardiac side is concerned, the Sanofi business has integrated very well and with this, we will also look at benefits from product synergies and co-promotion because absolutely top-class team from Sanofi which is very well integrated with Emcure is now promoting products with lot of vigour and vitality.

As you know, we are known as a women's healthcare business. Gynaec business is very important for Emcure and the gynaec business continues to do well. Our key anaemia franchise, Orofer XT, is seeing double digit growth. This has been led by awareness programs like anaemia camps and focus on growing prescriber base and as we go forward, we will double down in the gynaec segment which is a very key growth area as far as Emcure is concerned.

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Having talked about the domestic business and having told about Derma or even for that matter cardiac and double down on gynaec and also focusing on other segments, let me now turn my attention to the international business. I am happy to say that as far as the international business is concerned, on the back of differentiated portfolios is doing well and tracking ahead of our expectations.

As far as Canada is concerned, both our base business and recently acquired Mantra are doing very well. The focus here is on new product launches, complex products and market share gains and we are obviously seeing positive gains and positive signs as far as this strategy is concerned. As I told in the beginning, domestic market and emerging markets are very important to us and in emerging markets, both ARV and non-ARV segments or AR part of the business are doing very well. ARV business after two muted years, we are seeing some recovery in the market. Our order book is very strong here. What has also helped

us is new launches especially in the PEPFAR segment from our new facility at Kadi. We expect the business to see strong growth in the current year. On non-ARV front, we are seeing traction for our differentiated products. We are seeing approval for connected place in our key markets, the products which are essentially promoting for stroke and this product is very well received not only in India but in emerging markets as well. As far as EU is concerned, as we are guided, EU growth in the current year will be a bit muted. H1 growth is healthy 7% nevertheless.

Overall, with the initiatives we have taken, we hope to sustain our growth momentum. Our focus going forward will be to improve our margins led by operating leverage. I am extremely conscious of the fact that the margins have to improve. We are making positive development in that direction. Operating leverage and focusing on profitability is going to be a major area on which all of us will be focused.

With that, I would now request my CFO, Taj, to give you more colour and details about the financials for the quarter which has just ended. Thank you very much for giving me a patient hearing. I appreciate your support and looking forward to working very closely as we go forward. Thanks once again.

Tajuddin Shaikh : Good evening, everyone. As mentioned by the CEO, Q2 has been a strong quarter for us. Our revenue from operations grew by 20% year over year to INR 2,002 crores for Q 2, growing from INR 1,663 crores in Q 2 for financial year 2024. Our domestic business grew 15% year over year to INR 933 crores aided by Sanofi's portfolio, offsetting the decline due to FCM.

Ex-FCM and Ex -Sanofi registered a steady growth of 7 %-8% year over year and 3% QoQ. Our international markets which represent nearly 50% of our revenues grew at a robust 25% to INR 1,069 crores led by our EM and Canadian markets. Organically, the business grew 14%. Canada grew 51% to INR296 crores for Q 2. Base business continues to do well. Europe grew 6% to INR 362 crores for Q 2.

Emerging markets saw very strong growth of 29% led by growth in both ARV and non -ARV segments. EM sales stood at Rs 411 crores. Coming to gross margins, gross margins for the Emcure Pharmaceuticals Limited

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quarter stood at 60.6% against 62.9% in Q 2 FY 24. The decline is due to business mix. Sanofi business is at lower margins and a little bit of higher ARV sales. The base business GC percentage are stable year over year.

Our EBITDA grew 26% year over year to INR 417 crores. EBITDA margins stood at 20.8% higher than Q 2 FY -24 and Q 1 FY -25. This was partly aided by other income.

Base margins ex the one -time other income improved 50 bps QoQ as we saw operational leverage and MR productivity improvement which we have talked about before. Depreciation and amortization expenses increased to INR 97 crores from INR 70 crores year over year due to the Mantra acquisition and operationalization of four new plants. QoQ depreciation is largely stable.

Our interest cost for the quarter was at INR 46 crores which will be lower going forward due to the reduction in debt. The interest cost in the current quarter includes INR 8 crores one-time expense related to prepayment of loans. Our estimated tax rate for Q 2 was at around 26%. Our PAT for Q 2 stood at INR 202 crores growing 38% year over year. Coming to the balance sheet side, our net debt for the quarter end stood at INR 705 crores down from INR 1,558 crores at the start of the fiscal year and down from INR 846 crores at end July. Our working capital days remained stable at around 96 days at the end of September.

We can now begin the question and answer session.

Moderator: Thank you. We will now begin the question -and-answer session. The first question is on the line of Gagan Thareja from ASK Investment Managers. Please go ahead.

Gagan Thareja

: Good evening, sir. The first question is on the cash flow generation. If I look at the operating cash flow for the first half of this year versus first half of last year, there is a reduction. Can you elaborate on that? Is it largely coming from an increase in working capital?

Tajuddin Shaikh : It's primarily that the business has grown, so there is an increase in working capital, which has led to a reduction in the cash flow.

Gagan Thareja: No, but I mean, if the growth is in line with business, then there shouldn't be a reduction in absolute value of operating cash flow. Is there an increase in working capital days per se?

Tajuddin Shai kh: Working capital days is similar to what was there as of March 24.

Piyush Nahar: I think, Gagan, what's also happened is we had the Sanofi business which got added on from April 1st. So, there's a working capital addition which has happened for that.

Gagan Thareja: Right. So, that's what I'm asking. Is the working capital terms on the Sanofi licensing deal different? Is it higher?

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Piyush Nahar : No, it's similar. So, if you look at the working capital days, it remains similar, largely, versus March. I t hink last September, it was probably slightly lower.

Gagan Thareja: Okay. And, I mean, you indicate that base business ex of Sanofi and excluding, you know, the product which has gone, which has seen a loss of exclusivity is around 7 % to 8%. Is it possible to quantify, just excluding Sanofi, what would have been the year -on-year growth without considering the impact of the LOE product?

Piyush Nahar : So, ex of Sanofi just will probably have been low single digits growth that we have seen.

Gagan Thareja: And on the Gilead deal , two questions there. One, you know, Lenacapavir is a capsid inhibitor and as far as I can understand, a superior product to the current first line of treatment, which is the TLD combination. And if there is a voluntary license issued, i t could perhaps become the standard of care in the LMIC market also. So, can you perhaps give us some idea, one, of when will this deal start commercial contribution? And second, what scale can it achieve in your assessment in the markets for which you hav e the license?

Samit Mehta : Sure. So, you know, as you must have read, six players have been granted the license for 120 countries. Currently, you know, it's under the process of getting the tech pack from them. So, there's a lot of technology sharing that is happening where Gilead is sharing with us for both the

drug substance and drug product. So, once that is complete, it will follow a similar pathway like most other products, where it would be an 18 - 24 month s development cycle and then filing. And then, of course, after that, it will be, you know, whatever regulatory approvals and commercialization post that. At this point, we don't have a very concise assessment on the potential of this molecule at commercial launch.

Gagan Thareja: So, I mean, if you look at the LMIC market for ARV drugs, it is, I think, close to a billion dollars or USD 1-1.2 billion. What I'm trying to understand is, once this product comes in, your base business, which is the current first line of treatment will go down and this will go up. Does that mean that net -net for you, the sales in ARV will remain broadly what it is, because there's a shift away from one line of treatment to another line of treatment? Or do you think this will be accretive for you in the ARV market s?

Samit Mehta : I believe the potential of this product could possibly be far larger than the current ARV market. The reason being is, while today it is approved only as a treatment, I understand that trials are also going on for use of this molecule in a preventive or prophylactic indication. So, if that comes through, probably the market size itself will increase compared

to where it is today. And then, the potential could surpass the current market.

Gagan Thareja: Okay. But you don't see this sort of coming to the markets at least for the next 2 years. It's only after that, that any commercial contribution starts. Is that how it is?

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Samit Mehta : I believe it will be phase -wise. So, probably, you know, the domestic market approval and launches in India for the four players that have got the license could be earlier. Whereas, for the other markets, where you actually have to file the dossier and then depend on their regulatory authorities, it could be a little more elongated.

Gagan Thareja: And, sir, going into the second half of the year, how should we think of, growth in your various key markets, India, Canada, EU and ROW? And, in terms of margin profile, do we see a continuous improvement over the coming quarters?

Piyush Nahar : Yeah. So, I think in terms of for us, usually 2H is better in terms of growth in the international market. So, I think the guidance what we have given is overall for the full year, we expect growth to be about 20% plus. And we can maintain that. I think we will be on track to deliver that. On the margins front also, 2H, you should see better margins than what we had in 1H. I think the endeavour will be to improve margins going forward.

Gagan Thareja: And how much will the interest costs further come down by in the second half?

Tajuddin Shaikh : It will come down by around INR 25 crores. Other than the exceptional of INR 8 crores, that's going to come down anyway.

Gagan Thareja: Okay. And is there an element of any forex gain in your other income? There's a substantial jump in your other income?

Piyush Nahar : There's about INR 5 crores of forex gains, let's say.

Gagan Thareja: All right. Okay. Thanks, sir. I'll get back in the queue if I have more questions. Thanks for taking my questions.

Moderator: Thank you. The next question is on the line of Dipesh Sancheti from Mania Finance. Please go ahead.

Dipesh Sancheti: First of all, I want to congratulate the management. Excellent set of numbers. Just wanted to know where the growth going ahead will come from. Will it come from acquisition -led growth?

Or will the core business also show similar kind of 20% growth as you mentioned?

Piyush Nahar : So, I think what you mentioned is that 20% growth includes some of the inorganic factors that we have. Organically, if you look at it , overall, we have been growing at about 12% odd.

Dipesh Sancheti: Okay. And going ahead, we see acquisition -led growth in the future. I mean, I'm talking about the next two to three years.

Piyush Nahar : I think what we already stated earlier also that we do continue looking at acquisition. So that is one area we will look at. I think for us, the focus area that we have talked about is one in India is going to be the big focus market for us, where we look for brands. And historically, we haven't done that, but that is something which we will look at going forward.

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Vikas Thapar : Just to add, I think what we have guided in the past also is that in the Indian context, we aspire to grow slightly faster than overall industry growth, which we anticipate. Obviously, the industry is probably growing at high single digits. Whereas in the international part of our business, given

the mix of the geographies we are present in, we believe that organically that growth will be in the low double digits. And then, of course, where we can evaluate and vote on any acquisitions on top of this profile for both domestic and international, we will continue to be actively looking for such opportunities.

Dipesh Sancheti: For this year, since you said that H2 will be better than H1, should we expect that in FY25, we should have a

about INR 1,000 crores of pro fit?

Piyush Nahar : I don't think we are giving out profit guidance at all here. I think the guidance that you have given is on the revenue side will be 20% plus, and EBITDA margins that we talk about, about 20% to 21%.

Dipesh Sancheti: 20% to 21%. Okay, fine. Fine, I will get back in the line.

Moderator: Thank you. The next question is from the line of Alankar Garude from Kotak Institutional Equities. Please go ahead.

Alankar Garude: Hi, thank you for the opportunity. Satish, you spoke about traction in Tenecteplase in emerging markets, can you please elaborate on the key markets wherein we are seeing that traction? And secondly, do we have that 4.5 -hour approval in each of these markets or in some markets, we are still at 3 hours?

Satish Mehta: Samit will answer just to let you know that we got registration in Sri Lanka some time back and we got a reasonably big order from Sri Lanka. So, it's on the verge of getting registration in Philippines, so that can virtually happen in the next few days. We are actively pursuing in Thailand and even for that matter some Latin American countries.

Then our trial for this particular product is over in Russia. So overall we see a lot of traction for this product going forward. And as I mentioned, this is also going to be helped by the EU approval. Because you know in emerging market, if the product is approved by EU, obviously it puts it on the fast track. Samit, would you like to add something?

Samit Mehta: Sure, just to echo the key geographies that we are seeing traction are CIS, some countries in Middle East, North Africa and Southeast Asia. So far, the majority of the approvals and demand that we are seeing are for the myocardial infarction indication. There are couple of countries based on the novelty of the indication and the proven efficacy in stroke which are also beginning to import this on special access and which will also be followed by a registration in those countries.

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So, in that context to answer you whether it is a 3 -hour window or a 4 -hour window, that's not yet a part of the approval there. But given that the fact in India the package insert has the 4 -hour extension now, it should pretty much mimic that in whichever countries it gets registered for that indication.

Alankar Garude : Understood. So basically, in terms of penetration, it is safer to assume that in many of these emerging markets, there is a good growth runway ahead for the next few years and then Europe will be on top of that. Is that a fair statement?

Samit Mehta : Yes, I think in the emerging markets where it qualifies as a biosimilar for the original approved indication of MIs, the traction is higher and there is a good growth runway. The real runway will come in once we get approvals for the ischemic stroke indication as well and the facility GMP accreditation from EU should fast track that process in many countries.

Alankar Garude: Understood. The second question is you spoke about strong growth expectations in ARV in this fiscal. Can you firstly comment on the current scale of the ARV business and if possible, split between India and international? And maybe a sub -question there would be given the lumpy nature of the business, is it possible to comment on the outlook for FY26 as well? Thank you.

Piyush Nahar : So, ARV when we are talking about is largely the international business which we have in the rest of the world markets. I think in domestic what we had highlighted even last year itself is that it has become very small. For the current quarter about roughly half of the rest of the world market business was ARV and full year also it will be roughly about similar for us in terms of the Rest of the world market.

Vikas Thapar : Yes, I think we have a fairly strong order book on the ARV products that we will

be servicing

for the rest of the year. So, we think that we have fairly good visibility for FY25 for the ARV segment.

Alankar Garude: And possible to comment on FY26 outlook for ARV?

Piyush Nahar : I think it is too early. It is probably next quarter around.

Satish Mehta: It is a tender driven business to that extent it is very difficult to have a guess. But at the same time if you look at the traditional outlook for last five years, we have been consistently meeting

the numbers. But at the same time, a definite answer is difficult because it is a tender driven business.

Alankar Garude: Fair enough. So basically, sir the question there is I mean we are talking about improved margins in the second half and our understanding is margins in ARV would be lower than the corporate average for us. So, the question then is which are the key segments which are going to drive better margins in the second half for us assuming ARV continues to remain strong in the second half?

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Piyush Nahar : So, I think for us it is a couple of factors. One is some of these operating leverage for both from the factory side and also as the MR productivity keeps on rising that drives out. And secondly some of the non -ARV business in the emerging market that is more back -ended into 2H. So that as it picks up you will see that margin traction coming through.

Vikas Thapar : And of course, on the India business side we continue to undertake efforts for gaining some operating leverage from the productivity improvements as well.

Alankar Garude: Understood. And one final question. On an organic basis apart from Gynaec which are the key therapies you expect to drive out performance over the market say in the next 2 -3 years?

Piyush Nahar : So, if you look at for the next 2 -3 years Gynaec is one area. Cardio I think is where you will see a growth picking up for us especially with the Sanofi integration now fully behind us. As you mentioned among the newer areas Diabetes and Derma are the two areas that we will be putting a lot more focus on . We are seeing a lot more product launches there. CNS based on the Tenectase that we are seeing a lot of growth out there. On the more acute side where your anti -infectives and vitamins where we have added the 500-field force on the Zuventus side that is where we expect the growth to come through.

Alankar Garude: Understood. That's it from my side. Thank you.

Moderator: Thank you. The next question is from the line of Gagan Thareja from ASK Investment Managers . Please go ahead.

Gagan Thareja: Thanks for taking the question. Is it possible for you to give some more flavour of how your Zuventus and the Gennova businesses have fared in the first half of the year? How do you see them panning out in the second half of the year?

Piyush Nahar : Gagan, we are not breaking it up right now. I think you have seen the full year numbers of how Zuventus and Gennova are doing. But I think Zuventus is broadly in line with what we see in the domestic market that you are seeing. Gennova is doing slightly better out there with some of the bio similars doing well. But we are not breaking that up right now.

Gagan Thareja: You are starting this new subsidiary. You put in a team in place. Any vision or aspiration for this that you can share perhaps with a 3- or 5-year time window in mind? How do you see this evolving?

Piyush Nahar : I think as we have been talking about, Derma is one of the focus areas we want to be present in . With the team that we have building it out there, I think the idea will be to launch a lot of differentiated products which has been Emcure's focus and strategy. You will see that similar thing replicated out there. I don't want to put out guidance or even in terms of targets on where we want to be. But that is going to be one of our key drivers going

forward.

Gagan Thareja: Is it possible to break down your base business domestic growth , ex of Sanofi into volume and new introductions in price broadly?

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Piyush Nahar : If I look at ex-Sanofi , ex-FCM because that has a big price delta. Volume growth has been about 3-4%. Pricing is up another 2 -3%. And new products is another 2 -3% broadly .

Gagan Thareja: You are basically saying that volume growth has been reasonably ahead of the IPM volume growth for your covered business?

Piyush Nahar: Yes.

Gagan Thareja: You expect to be able to sustain this kind of volume growth going ahead?

Piyush Nahar: I think that is our focus and that is what we have been targeting out.

Gagan Thareja: Is it also possible to understand your current PCPM and how does it stack up versus the first quarter and versus comparable quarter of last year , that is Q 2 of last year ?

Piyush Nahar: First quarter we were at 6.3. In Q 2 we are at about 6.6. Last year same quarter we were at about 5.9.

Vikas Thapar : I think we had obviously guided towards that by FY25 end our aspiration is to be in that sort of high 6s territory and we are very happy with the Q2 performance and we think that should

hopefully continue to move in that direction as well.

Gagan Thareja: Have you also had to discontinue any product because of regulatory reasons? I think under the irrational FDC list there was one drug from Emcure. I don't remember the name but I do remember there was one drug for Emcure. Is it possible to give an idea of which drug was that and what was its contribution?

Satish Mehta: The drug that we had was Etodolac + Paracetamol. That is the drug which has been discontinued. At the same time as far as that particular drug is concerned the contribution is less than INR10 crores.

Gagan Thareja: Okay. All right. And for the four new plants that you set up, how is the capacity utilization faring for each of them currently?

Samit Mehta: We have four plants which we mentioned. The first one was the oral solids facility at Kadu. There the capacity utilization has picked up very well primarily because as CEO mentioned right up front we also started using that facility for some of the ARV supplies especially under PEPFAR. The second plant is our Emerging Markets plant in Mehsana. There the injectable facility has very low utilization at present it is still filing products. The Oral Solids facility is closer to 50% because a lot of site transfers for Europe and Canada have happened there. Biosimilars facility, given the fact that it has just got EU accreditation, now is the time when we will start utilizing it for doing a lot of validation batches and filing products as well. And in terms of the oncology block at Sana nd, that also is seeing good momentum in terms of increased capacity utilization.

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Gagan Thareja: And the Canadian acquisition, how has that one fared for you in terms of is it tracking in line with your expectations? And in terms of margins, where does it stack up currently versus your overall average margin with site transfers and so on what is the scope of taking margins up there?

Vikas Thapar: In fact, we are very happy with the recent acquisition of Mantra. In fact, for the current year, it is probably tracking slightly higher than our own expectations for the first half. They have partially benefited from some of the supply disruptions, given some of the peers ran into issues with the regulatory agencies, which created some short-term opportunities for that business as well, which we were able to capture the market share.

In terms of profitability, I think broadly it is tracking in line or slightly higher than the overall profitability average from an EBITDA margin profile of the entire business. So ver

y happy, but

I think we think that this business will continue to fare well in the remainder of FY25. And as we look towards FY26, just given what we acquired it, the number of synergistic opportunities to take the products, as we highlighted in the roadshow, both some of their products for the rest of Canada, as well as our existing Canadian businesses' products for the Quebec region. So, we think that that will continue to unfold over the next 12 months as well.

Gagan Thareja: Thanks again for taking my questions. I wish you all the best. I will get back in the queue for more if I have.

Moderator: Thank you. There is a follow-up question from Gagan Thareja from ASK Investment Managers. Please go ahead.

Gagan Thareja: Thanks. One question on the India business, and this is not specific to the company, but it seems that acute companies with perhaps a higher share of acute in their portfolios have really struggled for growth throughout the first half of this year. I can understand that companies which have a high share of NLEM would have struggled to show growth, but even for companies which have a lower share of NLEM like you as well, it's been a bit of a challenge. Any thoughts around what has led to this and what should we expect as a baseline growth for the acute share or the acute part of the Indian pharmaceutical market?

Piyush Nahar: I think, Gagan, it's difficult to bring out the industry. We were expecting a bit of pick-up, especially with the monsoon and all, but that hasn't happened. I think we'll wait for some more time before we can give you a proper update on what is driving that, the slow growth in acute.

Satish Mehta: Gagan, it's very difficult to hazard a guess. There are lots of theories which are being flouted around. Somebody says that generic business is taking their share, Jan Aushadhi is playing, and even for that matter, the new stores, so that the government of India is very actively starting. So, it's very difficult to come to any conclusion. Maybe it will take some time before we know what's happening.

Gagan Thareja: Okay. And the sales force addition, the field force addition that you've done, is it in your geographical areas or do you believe that there is more to capture in your existing strongholds?

How have you sort of strategized around the manpower addition, if you could give some idea of

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what thought went into the absolute value of headcount increase and how you positioned it in various markets?

Vikas Thapar : You know, it's a combination of both those aspects. As we had highlighted, the additions which were roughly 50% of the net additions were on our Zuventus subsidiary side where one of their divisions was becoming quite a large division with a number of mega brands. So, there they went in for a vertical split in those geographies so that we could give more attention to detailing those key brands and be able to add any new launches in the near future as well.

So, there it wasn't necessarily geographic expansion, but rather just bringing that focus attention to the strong brands. On the Emcure side, which is the more chronic , some of the more sub - chronic segments, there we did go in for some geographic expansion, particularly where we're historically very strong in the metros and tier 1, some of the expansion took place to really cater to more of the tier 2, tier 3 geographies. So, that's where we saw some of the additions take place.

And we're happy in both the cases, how that's tracking overall.

Gagan Thareja: And what's the current attrition rate for your India salesforce?

Satish Mehta: It's in line with the industry.

Gagan Thareja: Alright. Final one, sir, from my side. How should we think of growth for your European business? I think for this year, you mentioned perhaps it's only towards the last part of this year that the gr

owth might start kicking in. How should we think about FY26 growth for the European business?

Piyush Nahar : I think for Europe, our target will be going forward to be in the double -digit growth.

Gagan Thareja: Thanks. I'll get back in the queue. Thank you.

Moderator: Thank you. As there are no further questions from the participants, I would now like to hand the conference over to Mr. P iyush Nahar for closing comments.

Piyush Nahar: Thank you everyone for joining today's investor call. If you have any queries which st ill remain unanswered, please feel free to get in touch with us. Thank you. Have a good evening.

Satish Mehta: Have a good evening. Thank you very much.

Moderator: Thank you. On behalf of Emcure Pharmaceuticals, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2025

Emcure

Emcure Pharmaceuticals Limited

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Ref: EPL/CS/SE/0015 /2025 Date: February 11, 2025

To,

National Stock Exchange of India Limited

Exchange Plaza, C-1, Block G,

Bandra Kurla Complex, Bandra (East),

Mumbai – 400 051

Script Symbol: EMCURE BSE Limited

P J Towers,

Dalai Street,

Mumbai - 400 001

Scrip Code/Symbol: 544210 / EMCURE

Dear Sir/Madam,

Subject : Transcript of Earnings Call – Q3 FY25

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and further to our intimation dated January 24, 2025 , please find enclosed the transcript of the Earnings Call for t he Q3 FY25, held on Thursday , February 06, 2025 at 5.30 p.m. (IST) .

The above -mentioned transcript is also being uploaded on the website of the Company i.e.

<https://www.emcure.com> .

You are requested to take the above information on your records.

Thanking you,

For Emcure Pharmaceuticals Limited

Chetan Sharma

Company Secretary & Compliance Officer

Membership Number: F8352

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“Emcure Pharmaceuticals Limited

Q3 FY25 Earnings Conference Call”

February 06 , 202 5

MANAGEMENT : MR. SATISH MEHTA – MANAGING DIRECTOR & CEO

MR. TAJUDDIN SHAIKH – CHIEF FINANCIAL OFFICER

MR. VIKAS THAPAR – PRESIDENT , CORPORATE

DEVELOPMENT , STRATEGY AND FINANCE

MR. SAMIT MEHTA– WHOLE -TIME DIRECTOR

MR. PIYUSH NAHAR—EXECUTIVE VICE PRESIDENT ,
CORPORATE DEVELOPMENT AND STRATEGY

Emcure Pharmaceuticals Limited
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Moderator: Ladies and gentlemen, good day and welcome to Emcure Pharmaceuticals Q3 FY25 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Piyush Nahar, Executive Vice President - Corporate Development and Strategy . Thank you and over to you, sir.

Piyush Nahar: Thank you, Rutuja. Good evening, everyone. Earlier today, we released our financials for the third quarter of fiscal 2025 along with the press release. These are also posted on our website. We hope you all had the chance to review it. I would like to bring to everyone's notice that this call is being recorded and the recording and transcripts will be available on our website. To discuss the company's business performance and outlook, we have on the call our Managing Director & CEO - Mr. Satish Mehta, CFO - Mr. Tajuddin Shaikh , President - Corporate Development , Strategy and Finance, Mr. Vikas Thapar, and Whole -time Director - Mr. Samit Mehta.

Before we begin, I want to remind everyone about the safe harbor related to today's investor call. Today's discussion may include certain forward -looking statements which must be reviewed in conjunction with the risks that our business faces that could cause our future results, performance or achievements to differ significantly from what is expressed or implied by such forward -looking statements.

At the end of the call, if any of your queries remain unanswered, please feel free to contact us at Investor Relations email id . I will now request Mr. Satish Mehta to provide the opening remarks.

Thanks and over to you, sir.

Satish Mehta: Thanks, Piyush. Good evening, all. It's a pleasure to speak to you all today and present our Q 3 FY25 results update. At the outset, I would like to thank you all for joining the Emcure family, which has grown substantially post -listing. Before listing, we had 20 -25 equity holders and now we know the family is more than 140,000 and that puts enormous amount of responsibility on me as CEO , and all of us at Emcure are acutely conscious of our responsibility.

Post-listing, we at Emcure have worked on a 5 -year plan to deliver industry -leading growth and personally, I am very excited about this. This will be led by in -house innovation - R&D is one of the major strengths that we have. It will also be led by M&A and in -licensing. In this earnings call today, I will talk about what we are doing on Derma as we go along and also tell you about our strategy as to what we intend to do in ophthalmology and our other key products that we intend to launch in the near future.

There are other areas we are working on, which we will talk about as we go forward. To get back to the results that we released today, I am sure you guys had a chance to look at our results. Our Q 3 revenue grew by 18% year -on-year and our adjusted PAT grew by 36% year -on-year.

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Let me now give you some key business updates. We will have question and answer session post my opening remarks.

Let me start with the international business, which continues to do very well on the back of our differentiated portfolio. In our Canada business, Mantra which we acquired last year in the month of November, is now fully integrated and doing exceedingly well as shown in the results of North America.

In the emerging markets, what pleases us is the strong growth that we have seen in non-ARV segment.

In EU, as we guided earlier, the growth in the c

urrent year will be muted . Going forward for the next year, in EU, we expect that it will also be back on track as far as the growth trajectory is concerned.

As far as the international business is concerned, I expect the growth on the back of differentiated products and I would like to draw your attention to one key opportunity that is on the verge of getting completed - which is Liposomal Amphotericin B . We have filed the product across several of our target markets and we are now seeing approvals flow through. We are very

positive on this opportunity. Incidentally, I told you in the last meeting as well that the product has been approved in the UK and is doing exceedingly well.

Now, having spoken about the international business, let me now turn my attention to the domestic business which is very, very close to my heart and it means a lot to all of us in the company. The domestic business in the quarter has grown by 12% and now I would like to draw attention on the following.

During the quarter, we restructured our cardio-diabetes portfolio by cross-pollinating our and Sanofi products. This is very important because one of the things that has happened is that we have got the Sanofi team - more than 240 people joined us – and they come with strong backgrounds and great connections with cardio-diabetes. So to that extent, our initial goal and strategy was to ensure that they get assimilated with the Emcure culture and eventually, we would like to make use of this highly talented and respected field force to promote our high margin products. We saw some restructuring and cross-pollination in the current quarter and this will obviously have some impact because as you know when the products are transferred from one division to another, it takes some time to get the traction. So we are going through that particular phase. Also, as far as acute is concerned, acute segment continues to have muted growth for the industry.

Our objective in India is to grow faster than the industry. If you look at Emcure's success, it has been essentially driven by differentiated products and my company has given lots of first launches like chirality or iron preparations or even for that matter TNK-tPA for both MI and stroke and Asparaginase for Leukemia to name a few. We have brought many products for the first time to India and have made them great successes.

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Now, I would like to draw your attention to some of the areas on which we are focusing. I told you in the last meeting that we have started Derma subsidiary under the name Emcutix. This is now fully operational. Last time I had spoken about Satya who is heading Emcutix. He was earlier the Chief Executive Officer of Galderma. He has now built up a team of 200+ and we will see new launches for the business starting from FY26. This will include both in-house and partner products. Satya comes with a lot of expertise and experience in global alliances and I do expect in-house and partner products in our portfolio going forward.

As you all know, Derma is a big market of USD 3.6 billion, not necessarily conventional Derma that we talk of but at the same time we also talk about cosmetology, products for geriatric and so forth and so on. So obviously we are very excited about Derma.

The other segment that we will take up in the next few months is ophthalmology and the reason being the in-house product Bevacizumab for wAMD which will help us enter in this particular market. We have a patented device as far as Bevacizumab is concerned. Currently we are going through Phase 3 and in due course of time as far as this particular product is concerned we will launch in the market. If you look at the strategy that Emcure has pursued, what we have done in every segment, we have an anchor brand, on the back of that we have launched man

y products.

As far as Bevacizumab is concerned, it should be the anchor brand to make a foray in ophthalmology as and when it completes Phase 3 and gets approved.

I spoke about Derma tology and ophthalmology and obviously we will build on our strength and double down on our strength. As you all know, we are leaders in women's health. In the women's health segment, we have recently launched products in key important segments and spaces of PCOS and pre and postmenopausal support where we had some therapy gap.

I spoke about Bevacizumab for ophthalmology but at the same time, on biosimilar, a lot of other work is going on. We are on the verge of getting recombinant Asparaginase cleared by the office of DCGI. It should happen in the next 6 months' time because we have completed most of the studies and this product is very important because currently the Asparaginase we are getting is from natural source and this recombinant product will be a major breakthrough because it will give a product of absolutely outstanding quality.

Finally, as I have been telling all along, ours is one company which is very strong in both biologics and chemistry. So obviously, we are also working on GLP-1 and I am very confident that we will be in the first wave of semaglutide launches in India and the product will be vertically integrated. Apart from that, as I told you last time, we already have a facility which is approved by EU for filling the product and also tablets as and when we launch.

While I am talking about the domestic market where we are taking a lot of initiative in terms of entering Derma, making it big, apart from that, Sanofi initiative and making our position stronger in the field of cardio-diabetes, then having plans to go in for ophthalmology in due course of time and even as far as oncology is concerned where we have a reasonably good position to strengthen that portfolio by giving some biologics as we go along. We will do that but at the

same time, we are also extremely mindful about the productivity of the field force on which we are focussing our attention.

I am very sure with these new initiatives and new launches, we will be accelerating our organic growth momentum and also improve our margins. I have been in the industry for more than 40 years as you all know and I am the founder member of this company. Yes, we are doing exceedingly well in the international market but for me, the main objective is to put the domestic market on track and we need to grow more than the industry growth and that is my very immediate goal and objective for which I am giving my undiluted attention to ensure that the domestic growth also picks up in the next few months.

With this, I would now request my CFO, Tajuddin to give you more details on financials and after that, I am happy to field any questions that you may have. Thank you very much for your patient hearing.

Tajuddin Shaikh: Good evening everyone. I will provide you some of the key financials before we open for Q&A.

Our revenue from operations for Q3 grew by 18% year-on-year to INR 1,963 crores.

Our domestic business grew by 12% year-on-year to INR 888 crores. Our international markets grew at 23% to INR 1,075 crores led by our non-ARV business to emerging markets and the Canadian markets.

Canada grew 34% to INR 352 crores in Q3. As you are aware, Mantra business was consolidated from November '23. Base business continues to do well and for the 9 months has grown at mid-teens.

Emerging market sales for Q3 saw very strong growth of 40% to INR 365 crores led by growth in both non-ARV and ARV segments. Europe grew 2% to INR 358 crores for Q3.

Coming to gross margins, gross margins for the quarter stood at 60.1% against 62.7% in Q3 '24.

This decline is due to business mix. Sanofi business is at lower margins. The base business

business GC

are stable year-on-year.

Our EBITDA without other income grew 23% year-on-year to INR 362 crores. EBITDA margins stood at 18.4%. The margins are up YoY led by operating leverage and better productivity.

Depreciation and amortization expenses increased to INR 97 crores from INR 84 crores year-on-year due to the Mantra acquisition and operationalization of 4 new plants. QoQ depreciation is flat.

Our interest cost for the quarter was at INR 32 crores led by reduction in our borrowings. Our effective tax rate for Q3 was at 32%. This is higher due to the one-time adjustment of INR 15 crores. Ex of this, the tax rate stood at 26%.

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Adjusted PAT before the one-time tax impact stood at INR 171 crores, a growth of 43%.

Reported PAT stood at INR 156 crores.

Our net debt at the quarter end stood at INR 600 crores, down from INR 705 crores in Q2. Our working capital days remained stable at 96 days.

We will now begin with the Q&A.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Bharat Shah from ASK Investment Managers. Please go ahead.

Bharat Shah: Hi. Two or three questions. In the initial remarks you mentioned that Emcure is likely to be the first one to launch Semaglutide in India. But I heard a similar point being made by Eris Lifesciences two days back. You also talked about the strongest or the largest portfolio in the women's healthcare. But I thought that that number probably belongs to Mankind. So I am a bit confused about both of those.

Samit Mehta: So this is Samit. I will take your question on Semaglutide. So as you are aware, Semaglutide's loss of exclusivity is in March 2026 for India. We expect there would be quite a few approvals and we will be one among them. That is the endeavour that we are making. So it is not that we will be first to market, we will be in the first wave of entrants that will be able to enter at the loss of exclusivity.

Bharat Shah: And women's health care portfolio?

Vikas Thapar: Yes, I think you are correct that Mankind, particularly post-acquisition of the Bharat Serum portfolio, in absolute magnitude would be larger. I think we were basically highlighting that historically we have always enjoyed a leading position in women's health care.

Bharat Shah: That clarifies. Secondly, you also mentioned that margins would improve going ahead. But when I look at the margins, they are so modest that they only can go up. They are so much below the industry margins that, or rather than industry margin, let me put it comparable model firms operating in this area. So margins in many cases about 18% are quite underwhelming. And therefore, I would be curious to understand what kind of long-term trajectory you think these margins can be.

Vikas Thapar : Sure. So I think when you look at our margins, it is important to look at kind of the current mix of the business, which is obviously a mix of roughly half of the business being a domestic business, which includes both a fairly strong chronic as well as an acute segment. So obviously, you know what a typical industry margins of those segments are.

And we believe that we are more or less in line with that blended average of industry margins for the domestic portfolio. At the same time, we took on a significant portfolio of products for the diabeto-cardiac range of Sanofi, which obviously comes at a different margin profile. As we had indicated in the past, as we unlock some synergies, and our CEO mentioned some of the

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restructuring efforts that we undertook even in the current quarter, we think that the blended margins of the India business will definitely improve as we see higher productivity and some of the near-term excitement

ing launches over the next 12 months in the Indian context as well.

We also have roughly half the business on the international side, where some portion of that business does include the ARV segment, where the margins tend to be more like mid-teens profile. So one has to look at the blend of, the overall international business. And then, of course, there are certain new areas that we are investing in. So for example, our new subsidiary Emcutix for the Derma division is a brand-new initiative. We have already hired a team of 200. We will be launching several products over the next few months and so that division, for example, will take some time to ramp up and get to what we would consider decent margins. And finally, as we had highlighted in the past, 4 of our facilities were recently operationalized over the last 18 months. So as these continue to ramp, will further lead to some operating efficiency. So it's really a blend of all of these aspects where we believe the margin profile will continue to improve going forward.

Bharat Shah: So if I look at, let's say, next 3 to 4 years, would you like to have some benchmark or an idea as to where you think you belong and where the margins would reside eventually?

Vikas Thapar : See, I think looking at our own trajectory of where we think the different verticals are going to ramp, we believe that we should definitely be getting about a 300 to 400 basis point improvement in the margin profile over that time horizon. That will be the endeavour.

Bharat Shah: One last bit. Probably I could not hear it clearly. There was a mention that reported profit after tax is 156, but the adjusted one is 171. If I heard it right, I wanted to understand what was that adjustment all about?

Tajuddin Shaikh: So it's a prior period tax charge which is being charged to the P&L in this quarter with respect to the prior years.

Vikas Thapar : This was a INR 15 crore one-time tax charge relating to a prior period.

Bharat Shah: Okay, fine. That helps. Thank you.

Moderator: Thank you. The next question is from the line of Kunal Randeria from Axis Capital. Please go ahead.

Kunal Randeria: Good evening. The first question is on domestic business. So can you share what is your growth, organic growth, excluding the Sanofi portfolio? And how much of the impact is there of the FCM issues that you had?

Piyush Nahar: So if I look at the organic ex-FCM, we have grown at about 4%. And FCM would have impacted the reported growth by about 3% odd.

Kunal Randeria: Right. So your growth should be organic growth, be around 7%. Is my understanding correct?

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Piyush Nahar: 4%. Organic ex-FCM is 4%.

Kunal Randeria: Got it. That's helpful. Secondly, I think Satish sir mentioned that you're entering into ophthalmology and mentioned that you are going to get wAMD as one of the indications. So just wondering whether you'll be targeting these niche areas or your portfolio would be a lot more broad-based?

Samit Mehta: Yes. So, you know, in ophthalmology, the entry would be through this product, Bevacizumab.

And within that, this wet AMD indication we see as a reasonably sizable opportunity. Post that, there are two or three more indications for Bevacizumab itself within Ophthalmology that we will be pursuing and in addition to that, we will also build our portfolio.

Given that Emcure has inherent strength in sterile products and most of the ophthalmology products are also sterile in nature, it's going to be fairly straightforward for us to build a portfolio around it. So between Bevacizumab, some of this portfolio and where we're also looking at some active in -licensing opportunities, we think the entire basket for ophthalmology should be pretty robust.

Kunal Randeria: Alright. But is Bevacizumab used for ophthalmology in India? I'm not sure.

Because globally, I

don't think there's any acceptance of conducted trials for it.

Samit Mehta: No. So globally, Bevacizumab for wet AMD is already approved in UK. And it is globally used off-label rampantly for wet AMD. In fact, in a few countries, it is already been, you know, added in the essential list for the Ophthalmology indication. What we are doing in India through this clinical trial is, get it on -label, but also through our patent delivery and device system, create some IP around it, which will have much better patient compliance as well as ease of use for healthcare practitioners.

Kunal Randeria: Alright. And just a second follow-up on this only. Are there other players who already have Bevacizumab approval in India marketing for this indication? Or is it just oncology for them?

Samit Mehta: No. No one has this indication approved on -label. However, anecdotally, we are aware that some of the Bevacizumab products that are approved in India are getting used off -label for this indication. However, given the nature of the product and the fact that it is not ophthalmic grade, there have been many serious side effects, including losing vision and eyesight that have been reported in the press.

Kunal Randeria: Got it. And just last one, if I can, regarding Emcutix. Just wondering, since you've already had 200 people on board now, what kind of portfolio do you intend to commercialize? I mean, is it medical Derma or would it be cosmoderma? So, if you can share a bit more details.

Samit Mehta: Yes. So, we already have a portfolio of prescription Derma products. We are supplementing that with a few cosmeceuticals as well, cosmetology products. And the idea also is, eventually, in the medium term, target a few OTC brands as well. So, it will be a pretty comprehensive Emcure Pharmaceuticals Limited

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portfolio. And again, as is Emcure's standard way of looking at the market, a lot of the product portfolio will be differentiated.

So, some of the areas like geriatric Dermatology, which has not been fully exploited or is somewhat of an unmet need. Emcure will create some niche products there as well. And there is also going to be active in -licensing that will happen for this portfolio.

Kunal Randeria: Would you also be then just, like a division, would you also be doing mAbs for let's say psoriasis or these kinds of indications?

Samit Mehta: mAbs for Derma or ophthalmology?

Kunal Randeria: So, just as we have ophthalmology, will you also do for Derma? For psoriasis, for example?

Samit Mehta: So, you know, they are not immediately in our in-house portfolio, but you are right, there are a few mAbs approved, especially for indications like atopic dermatitis and psoriasis. And we are talking to a few innovator companies to evaluate if we could partner with them for specifically these products in India.

Kunal Randeria: Understood. That's very helpful. Thank you and all the best.

Moderator: Thank you. The next question is from the line of Alankar Garude from Kotak Institutional Equities. Please go ahead.

Alankar Garude: Hi, thank you for the opportunity. Sir, you identified cardiac as a key focus area and especially with the Sanofi portfolio coming in, we would have imagined that the numbers look better. But if you look at secondary sales data, growth clearly doesn't seem to be very strong. You spoke about that restructuring earlier, but is there any other challenge you might want to highlight on the cardiac side?

Piyush Nahar: So, Alankar, I think as Satish sir has implied, in this quarter because we did this restructuring. The idea for Sanofi for the first 6 months was to stabilize the business because we transitioned to a new company, to stabilize the team. This quarter was when we actually started working on getting synergy benefits out of there.

Now, as you can imagine, moving around products

across divisions, there was a bit of impact

that we had on the sales for the current quarter. That is why you are seeing an impact on the secondary sales. I think there we are quite positive as now the products are stabilized in their new divisions. You will see a lot of cross-sales, co-prescriptions coming through and that should

see an uptick going forward.

Alankar Garude: I mean, not just for say this quarter or maybe the last few quarters. In general, if I look at growth in the cardiac segment for us as reported by IQVIA, the numbers have not been at par with what the therapy growth has been. So just trying to understand, I mean, there was a senior leadership change as well a couple of years back on the chronic side. So any steps you might want to highlight even before say Sanofi came in, any impact of that coming in, addition of MRs as well,
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any other changes which should help give us more confidence on the growth trajectory in cardiac going forward?

Piyush Nahar: So I think in terms of the IQVIA and AIOCD, our tracking has been a bit lower than what we tracked and looked at internally. I think we had discussed this earlier also. Before this quarter, we were tracking closer to 10% in the cardiac segment. This quarter has slowed down a bit. I think in terms of the measures, there's been a lot of work which has gone in terms of Doctor list improving, how we promote our products, a lot of work on scientific detailing. As you said, there have been a lot of team building exercises done. There's a full new team on the cardiac segment which is now driving that, including some which have come off from the MNC side. So there are multiple initiatives that we have taken out there.

Alankar Garude: Understood. And this impact of restructuring which you spoke about is likely to normalize from the fourth quarter or it could continue for some time before it normalizes completely?

Piyush Nahar: I think we should start seeing some improvement from fourth quarter onwards. So it may not be fully getting normalized, but it should improve from what we have seen this current quarter. We should see an upper trajectory.

Alankar Garude: Understood. The second question is, Satish bhai, you were alluding to the in-licensing initiatives in the previous call as well, and you spoke about it earlier as well. Now, which are the key therapeutic areas of focus for us? And maybe a sub-question there is, given many companies are actively looking at in-licensing opportunities, what are the IRR thresholds we are working with?

Satish Mehta: As far as the therapeutic areas are concerned, oncology, nephrology and metabolic are the three areas, and obviously derma and ophthalmology in which we are making some foray. So these are the areas we are looking at. If you recollect, Alankar, last time also I told you that as far as I am concerned, I have grown because of the support of multinationals.

We are in pole position. Number of discussions are in advanced stage, so I'm not in a position to disclose but these are the things that should happen in due course of time. So these are the areas on which I'm focusing. To reiterate oncology, nephrology, metabolic, cardio, derma and ophthalmology. So that's what we are doing very focused.

Piyush Nahar: And in terms of payback, even if you look at Sanofi, the idea is where we can get the brand, synergize them with a team and have a rub off effect both in terms of our products and growing those products. So if you look at Sanofi, there wasn't an upfront payment that we made out there. So I think then we will be quite conscious of where it fits strategically for us. Where I think payback becomes important is where we looking at innovative products which you want to get first time to the market.

Satish Mehta: I mean, just to give you an exam

ple as Samit mentioned some time back, we are also thinking of being in the first wave of Semaglutide. So having a competent field force with metabolic, that
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will be a great advantage going forward for doing the scientific detailing. So to that extent, this cross-pollination about which I spoke, so this type of products and even for that matter about a product like Elaxim which we launched a few years back for MI, that particular product is also being given to this particular team because I believe they will be in a position to do better scientific detailing to the doctors.

So lots of initiatives are being taken and as I said in my opening remarks, this is very important to me, so personal attention is being given. Piyush rightly said, we should see some positive results in Q4, but definitely in the first quarter of 2025 for sure.

Alankar Garude: Understood sir, that's helpful and maybe one question before I come back is, can you elaborate on the utilisation levels across the four new facilities Pune, Sanand, Mehsana and Kadu?

Piyush Nahar: So Pune is now at peak utilisation and it was there even last year. That's what led us to setting up our Kadu and Mehsana plants. Coming specifically to those plants, Sanand is now closer to about 60 odd percent utilisation.

Oncology is still in early stages because we are still ramping up -- the filings are still coming

through. In terms of Kadu, that is now getting closer to break even . I think by the end of the fiscal year that should be at break -even levels. Mehsana, there are two lines there, we have injectable block and the orals. Orals is now 5 0% plus utilised. Injectables will probably take another 12 -18 months before we get to optimal utilisation.

Alankar Garude: Understood. Thank you

Moderator: Thank you. The next question is from the line of Alok Dalal from Jefferies India Pvt. Ltd. Please go ahead.

Alok Dalal: First question is on the guidance. In August, the company had given a guidance of achieving 20% revenue growth and margin in the 20 %-21% range. Are you on track to achieve that for the full year?

Piyush Nahar: Given domestic h as been a bit slower, I think on the top line side we'll be probably closer to 18%-19%. On the margins front, I think we are guided for 20%, including the other income. I think what we'll end up at without the other income is closer to 18.5%-19%.

Alok Dala l: Piyush, for the 9 months, what is the contribution of ARV sales to the company?

Piyush Nahar: For 9 months, half of our emerging sales would have been the ARV.

Alok Dalal: Half of emerging?

Piyush Nahar: Yes.

Alok Dalal: At the start, you mentioned that emerging market growth is being driven by non -ARV product segment. Which are those product categories and markets where the growth is coming?

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Piyush Nahar: Non-ARV, if you look at it, we are present across four key areas. LATAM is a big market for us. Sec ond is the MENA region. Third is Asia, which is more the neighbouring countries like Sri Lanka, Mauritius, Philippines, Myanmar. In terms of the product portfolio, it is the more differentiated products - chiral products, some of our biologics, complex injectables, those are the ones.

The differentiated portfolio is what is leading to this growth out there . Some of our biologics, we are now seeing approvals coming through in key markets. Even some of our injectables pipeline including Amphotericin , whic h has started getting approvals now in some of the markets.

Satish Mehta: Just to add to what my colleague has said, as far as the business in emerging markets is concerned , that's the function of approvals. The company has taken a deliberate decision to f ile more differentiate d products and whatever we have filed 18-24 months back,

we are now getting the traction.

So that's the reason you are seeing that uptick as far as the emerging market is concerned . And as I told in my opening remarks , we at Emcure, we are very optimistic about Amphotericin B and which is getting you know traction in countries . We are getting virtually 1 or 2 approvals every month.

Alok Dalal: You mentioned current year for Europe will be muted. Should we expect a pickup in FY26 , towards the high single digit growth mark?

Piyush Nahar: Yes, that is correct. Alok, as we mentioned, t he key products for which we are expecting approvals , those are more backended . And so those we're expecting , start of the fiscal year '26 and that should drive the growth going forward.

Alok Dalal: Okay. And last question is on Semaglutide launch in India in 2026. So assuming a few companies launch at the same time, what will be the edge for Emcure amongst all the competitors ?

Samit Mehta: A couple of thi ngs, I think the fact that there's a large degree of vertical integration that's something that should help us . And the other thing also is that , like was mentioned earlier , the fact that we have a very trained field force in the metabolics area is somethi ng that should help us get a head start for this product .

Satish Mehta: One more thing I will tell you , technically what happens is that some of the se manufacturers who get the approval , they are inclined to give it to 5 -6 people at a time and they keep on competing with each other. So it's my belief , for a product like Semaglutide , if you want to stay in the market and do a good job , in that case you must have complete control of the supply chain.

So that's one area where we are vertically integrated including the API injectable s and tablets that we will be making. And as Samit rightly mentioned, i t will be in the hands of highly

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competent trained people. So that's the reason we are very bullish about it. The market is huge ,

so I think there is good scope going forward .

Alok Dalal: Satish bhai, any plans to take Semaglutide overseas , any markets being targeted ?

Samit Mehta: We look at it in two phases. One is some of the nearby markets where the clinical trials we are doing for India , where the acceptance is there , those will be in Phase 1. And in some of the more regulated markets , an entirely different strategy will be required which we are pursuing in parallel, so they will be kind of Phase 2 .

Alok Dalal: Samit, in general how big can this opportunity be , India plus International combined ? For Emcure rough ballpark, what are you guys thinking?

Samit Mehta: It is a very difficult number to put because in India the product's not really been officially available and the supplies have been so limited. At present the numbers look very small but given there could be a situation of unconstrained supply , it will also require some element of market shaping so it could turn out to be very large.

Satish Mehta : I'll just tell you that I regularly subscribe to The Economist and sometime back, Semaglutide had appeared on the front page. And the number one product in the world right now is Keytruda of Merck Sharp. It does around \$27 or \$28 billion and The Economist is projecting sales of something like a \$100 billion for this particular product along with Eli Lilly's Mounjaro . So it is anyone's guess.

I don't have a crystal ball but based on whatever we are reading and even for that matter the various indications for which Semaglutide is getting the approval like it has also got approval for chronic kidney, diabetic kidney and even for heart ailments it works. So I think it is anyone's guess . Only thing that we can say it appears (underline the word) to be a path breaking molecule and should have huge potential so no wonder many people are chasing a

and we are one of them

and we are probably better placed because we have complete control on the entire value chain.

Moderator: Thank you. The next question is from the line of Gagan Thareja from ASK Investment Managers please go ahead.

Gagan Thareja: Good evening. So the first question is around, you know, the brand which saw patent expiration, I think OROFER, same. Yes, you indicated the impact on the quarter sales was 3% because of the expiration. Can you also quote the same figure for nine months?

Piyush Nahar : Give me one second. Nine months would have been about closer to 5%.

Gagan Thareja: So you're saying that, I mean, in the reported numbers, there's a 5% impact year -to-date of this one brand alone, which has brought down your sales for the domestic. And the base business for the quarter grew by 4%, excluding this one. And for nine months, how much would the base business have grown? Ex of Sanofi?

Piyush Nahar : About 6.5%. 6% to 7%

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Gagan Thareja: 6% to 7%. Okay. So essentially, I mean, for the year, the incremental sales is all Sanofi linked. I mean, if I do the math roughly, 6.5% netted off from 5%, 1% - 1.5% growth on your base business, and the rest coming from Sanofi.

Vikas Thapar : No, I think just to clarify, we're saying our base business, Ex -FCM, is growing 6.5% year to date, and would have been higher by another 5% if not for FCM. And, of course, Sanofi for part year adds to it.

Piyush Nahar : Yes, so if I look at organic including FCM our growth would have been closer to about 1% to 2%, which Ex FCM would be about 6%, 6.5%

Gagan Thareja: All right. So I mean given that this has been, an unusually weak year for acute – I mean it's a departure from the past growth in the acute segment but is it reasonable to assume that this is the new normal in acute or do you feel that come next year we might see a recovery in the market itself ? How should we then think of Emcure 's portfolio in the domestic market from a growth perspective next year?

Piyush Nahar: So I'll start up and then Satish Sir can add up more. So I think acute this year has been a bit weaker. Our view is that we should see some pickup going forward next year and I think for us internally what we're working on are some of new initiatives and a product pipeline to drive growth. So what we have done in Dermatology or our Ophthalmology launches or expanding our white spaces in women's health or in diabetes side and oncology side , all these will allow us to drive better than industry growth going forward. So that is going to be the target for us.

Satish Mehta: Our strategy will be the segments in which we are present we would like to have growth which is in line with industry , maybe 50-100 basis points more than the industry , but at the same time to grow more we will be focusing on areas like Dermatology , I'm bullish about it, ophthalmology and going forward for oncology , you would hear a lot of things from our end. So that's the way we will go about.

So basically you know whatever base business we have, have growth which is in line with industry that needs to be fixed up that is something I told you in my initial remark and apart

from that you know focus on ophthalmology, dermatology and double down on oncology . That will be the strategy that my company would be pursuing by which we'll be having growth which is better than the industry average .

And as far as acute is concerned , I agree with Piyush, it should happen but at the same time if you look at the trends , generic -generic is possibly making inroads in acute because shifting to generic -generic in a cute because the treatment is typically for five to seven days , is possibly going to happen whereas chronic once people are on a particular medication they are reluctant or hesitant to change. This is my personal observation I don't have

any data to substantiate this

but that's the trend you know that I have been watching from a distance.

Gagan Thareja: Is it also possible to bifurcate your domestic sales to your subsidiary divisions also, Gennova and the other one - and your own portfolio?

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Piyush Nahar: Are you are asking for the bifurcation of domestic between Gennova and Zuventus ?

Gagan Thareja: Yes, Gennova , Zuventus and Emcure separately.

Piyush Nahar: I don't think we're breaking that out because there's a lot of this thing in that . So when we report our annual numbers , you will have that . But I think there's a lot of interdependencies that we have in there , so not breaking that out.

Gagan Thareja: I mean if it's difficult to enumerate , at least qualitatively or rank order wise is it possible to give some flavor or some idea of how growth would have been for this year

Piyush Nahar: So I think if I look at it , Zuventus is largely an acute portfolio . Most of the semi -chronic and chronic is on the Emcure side. So Emcure is better out versus the Zuventus side. The Gennova portfolio gets mixed out where it fits in , in that sense.

Gagan Thareja: And for the Sanofi basket , how is the sales accounted for? Do you net off what you have to pay in terms of sourcing cost to Sanofi and then report the sales or do you report the sales at ASP and then net out everything else in the cost line?

Piyush Nahar: Yes, so basically the net sales is booked in our sales and then whatever we buy the products from Sanofi at , that comes as your COGS level.

Gagan Thareja: Okay . And sequentially , why has the gross margin come down further from Q 2 to Q3?

Piyush Nahar: Q2 to Q3 is largely mix driven between international versus domestic and between the product itself in the international segment.

Gagan Thareja: And if I go back to your Q2 commentary , I think there was an indication that margins would sequentially keep improving , but from Q 2 to Q3 there's a drop. How should we think of Q4 and thereafter starting from here?

Piyush Nahar: Yes, I think for the current quarter that was --slightly lower largely because our domestic , as we said, was a bit muted , so that led to the decline that you're seeing QOQ . I think going forward , we should see some improvement in the margins . But I think for the full year , we'll end between 18.5% to 19 %.

Gagan Thareja: Okay . I would presume that bringing it down a notch from where you had originally pegged it, would that be a fair assessment?

Piyush Nahar: Just slightly. I think what we had indicated earlier was including the other income , about 20% which would have been closer to about 19% which is slightly lower , 18.5% to 19 % is what we're now talking about.

Gagan Thareja: And other income has also come down very sharply in the quarter . Any reason for that?

Piyush Nahar: So that's largely because there's a forex loss about INR 7 crores , which is impacting it.

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Tajuddin Shaikh : And last quarter , there was a sale of an asset which showed in the other income.

Gagan Thareja: Okay. All right . And on Semaglutide , since you are very strong in Canada and Semaglutide goes off patent in the Canadian market also just about at the time -- if I understand it correctly broadly around the time it goes off in India , would you be there in the Canadian market?

Samit Mehta: We're definitely going to be filing our product in the Canadian market . But at this time , the way the timelines are looking it is unlikely that we will make it in the first wave. It'll probably be in the second wave once some of the other patents have also expired.

Gagan Thareja: And that would be how further out from the first wave?

Satish Mehta: I would expect anywhere between 8 to 12 months.

Gagan Thareja: All right

and Semaglutide , I mean while there's this talk about this being such a large market . Once generic entry is there , I'm presuming there'll be price erosion and fairly steep price erosion because it's a product where everyone is very interested to get in . Given that circumstance and given also the circumstance that from a pricing perspective it may not suit the wallet of a fairly large chunk of the Indian population , how do you think of the uptake of Semaglutide ? And third obvious point is that the innovators are also now talking of pre-empting generic entry and coming in with their own product in the market sooner. So between all of these three , how do you see this market unfolding over its launch in India?

Samit Mehta: So, today , the price expectation is not really set because the product is though approved in India has never been made available and I'm speaking specifically of the two injectable products . So in that context , I think the price will be determined by the players who enter . It should also be said that the API is quite complex . So while there could be many brands but in terms of number of companies making and especially like Emcure being vertically integrated are likely to be limited so there we should be able to have a COGS advantage.

We actually see the entry or the availability by the innovators as very positive because A) it will also set the price expectation and B) innovator will be able to shape and create a much larger market and also since they're getting so many additional indications approved the total market size in India should grow larger .

And at the end of the day , like we said a couple of times earlier as well , if you have the right trained field force with the doctor connects already present , you will have a head start . So I think across these three or four parameters Emcure is quite well positioned to have a reason to win.

Gagan Thareja: Final two questions from my side. One is are you backward integrated on Semaglutide? Will you be doing your own API in this and second is can you also give the PCPM for the third quarter and also you know compare it Q -o-Q and Y -o-Y?

Samit Mehta: Semaglutide - we will be vertically integrated . In fact the API is already developed in R&D and we have given the samples to our formulation team for the development as well.

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Piyush Nahar : On the PCPM for the quarter we are at about 6.1 versus last year about 5.6.

Gagan Thareja: And on Q 2, I think the number was closer to 6.5, 6.6 ?

Piyush Nahar : Yes.

Moderator: The next question is from the line of Alankar Garude from Kotak Institutional Equities.

Alankar Garude: So firstly do we have a 100% stake in the derma subsidiary?

Piyush Nahar : Yes.

Alankar Garude: Okay so we are not given any equity to the management team, the new management team?

Piyush Nahar: No.

Alankar Garude: Okay. Secondly can you provide the broad breakup of the \$65-\$70 million annual ARV sales which will be doing broadly in FY25 across various agencies?

Piyush Nahar: So I think it's mostly going to be the South Africa business and the Global Fund.

Satish Mehta: And just to answer your question because I know where you are coming from Alankar, the dependence on PEPFAR fund is very , very limited. Couple of million dollars. \$2.4m or \$2.5m to be precise. So there is no dependence on the PEPFAR. So to that extent you know I think that business is not really going to be affected by whatever decisions the Trump administration is taking.

But at the same time I am sure you must have read that this grant has been restored as far as HIV is concerned. That also you must have read. But our dependence is practically negligible.

Alankar Garude: Understood sir. That's helpful. And maybe a final one. You spoke about the five year plan involving R&D, M&A, in-licensing. P

possible to elaborate a bit on this? What does this entail?

Is this specific to India? Or exports also is a big part of this five year plan?

Piyush Nahar: So I think what Satish Sir has highlighted is that we are looking at a more 5 -year corporate level plan which includes both India and international. As we have earlier said , for us the focus from an M&A perspective, especially large ticket , is going to be India. And similarly in-licensing , I think India remains in focus. I think on international we already do a lot of in-licensing work especially in Canada and UK markets where we have quite a strong presence. But where we are looking at more big ticket items , it's going to be India that we look at.

Alankar Garude: Okay. And anything you want to highlight on R&D? I mean currently we would be spending say about \$10-\$15 million dollars on biologics, biosimilars, R&D , if I am not mistaken. So any plans to increase spends on biologics, biosimilars going forward or any other differentiating areas within R&D which you would like to highlight?

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Piyush Nahar: So our R&D spend is around 4 %-5%. And I think even going forward that is what we look at. And this includes the spend which we are doing on biologics, even some of the differentiated products and all. Because if you look at it, given the type of business, R&D ideally, if you look at peers should be lower but the type of work that we do leads to about 4 %-5%. And that's what we would like to maintain at.

Moderator: Thank you . Next question is from the line of Bharat Shah from ASK Investment Managers. Please go ahead.

Bharat Shah: I just wanted to understand the debt and cash levels ?

Tajuddin Shaikh: Debt is close to INR 600 crores today, net debt. Gross is 800 and 200 is cash and net debt is 600.

Bharat Shah: And when do we think we will become more likely to become free of debt?

Vikas Thapar : So outside of any sort of M&A, we think that probably within the next couple of quarters, there should be enough free cash flow generation to pare down debt in next two to three quarters max.

Bharat Shah: By Mar '26, are we likely to be cleared of all the debt? Is that what you are saying?

Vikas Thapar : Yes. From internal cash flow generation, yes. To the extent that there is any sort of M &A opportunity, obviously that number could change.

Bharat Shah: Subject to M&A or any other such action. Other than that, we should be net cash balance sheet as on Mar '26?

Management: Yes.

Bharat Shah: Thank you.

Moderator: Thank you.

Piyush Nahar: If there are no more questions , we can end the call now.

Moderator: Sir, we have one question in the queue.

Vikas Thapar : Okay. We can take one last question.

Moderator: Yes which is from Gagan Thareja from ASK Investment. Please go ahead.

Gagan Thareja: Thanks for the follow-up. One question on Canada, while this year the number will look strong because of the acquisition, is it possible to give some idea of how the like-for-like growth in Canada would have been in the quarter? And how should we think of this geography, ROW, and Europe come FY26? And also, if you could talk a little on connected players, how do you see that product evolving?

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Vikas Thapar : I'll take a part of your question vis-à-vis some sort of high-level guidance on the various components of the international business. So we think that Canada will continue to grow a very healthy double-digits - mid-teens sort of profile on the base business with the acquisition fully absorbed. Piyush , you may have a specific number for like-for-like for the quarter, I think that was his question.

Piyush Nahar: Like-for-like is about 25%.

Vikas Thapar : About 25 %-ish for the quarter, but we think t

hat once we have the benefit of having cross -

pollinated the portfolios, a mid-teens sort of growth profile is what we're targeting for the Canadian market. For Europe as you heard , from a muted low single-digit growth, we'll be targeting a high single-digit growth for Europe.

And then for the emerging market outside of the ARV segment , we think that will obviously be relatively flattish, the non-ARVs will continue to grow fairly well for us. I think it should be in the ballpark of about aiming for 20% sort of growth profile of that business.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for closing comments.

Piyush Nahar: So, thank you all for joining today's investor call. If any of your queries still remain unanswered, please feel free to get in touch with us. You can write to us at investor.relations @emcure .com.

Thank you and have a good night.

Moderator: Thank you. On behalf of Emcure Pharmaceuticals Limited, that concludes this conference.

Thank you for joining us and you may now disconnect your lines.

Call: May 2025

Emcure

Emcure Pharmaceuticals Limited

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E-mail: corporate@emcure.com Website: www.emcure.com CIN: L24231PN1981PLC024251 Ref: EPL/CS/SE/ 0038 /2025

Date: May 28, 2025

To,

National Stock Exchange of India Limited

Exchange Plaza, C-1, Block G,

Bandra Kurla Complex, Bandra (East),

Mumbai – 400 051

Script Symbol: EMCURE BSE Limited

P J Towers,

Dalai Street,

Mumbai - 400 001

Scrip Code/Symbol: 544210 / EMCURE

Dear Sir/Madam,

Subject : Transcript of Earnings Call – Q4 FY25

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and further to our intimation dated May 13, 2025, please find enclosed the transcript of the Earnings Call for the Q4 FY25, held on Thursday, May 22, 2025 at 3.30 p.m. (IST).

The above -mentioned transcript is also being uploaded on the website of the Company i.e. www.emcure.com.

You are requested to take the above information on your records.

Thanking you,

For Emcure Pharmaceuticals Limited

Chetan Sharma

Company Secretary & Compliance Officer

Membership Number: F8352

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“Emcure Pharmaceuticals Limited

Q4 FY25 Earnings Conference Call”

May 22, 2025

MANAGEMENT : MR. SATISH MEHTA – MANAGING DIRECTOR &

CHIEF EXECUTIVE OFFICER
MR. TAJUDDIN SHAIKH – CHIEF FINANCIAL OFFICER
MR. VIKAS THAPAR – PRESIDENT , CORPORATE
DEVELOPMENT , STRATEGY AND FINANCE
MR. SAMIT MEHTA– WHOLE -TIME DIRECTOR
MRS. NAMITA THAPAR -- WHOLE -TIME DIRECTOR
MR. PIYUSH NAHAR – EXECUTIVE VICE PRESIDEN T,
CORPORATE DEVELOPMENT AND STRATEGY

Emcure Pharmaceuticals Limited
May 22 , 202 5

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Moderator: Ladies and gentlemen, good day and welcome to the Emcure Pharmaceutical Limited Q4 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Piyush Nahar, EVP, Corporate Development and Strategy from Emcure Pharmaceuticals Limited. Thank you and over to you, sir .

Piyush Nahar: Thank you, Sejal. Good afternoon, everyone. Earlier today, we released our financials for the fourth quarter of fiscal 2025, along with our press release. These are also posted on our website.

We hope all of you had a chance to review it. I'd like to bring to everyone's notice that this call is being recorded and the recording and transcript will be available on our website.

To discuss the company's performance and outlook we have on the call, our MD & CEO, Mr. Satish Mehta; our CFO, Mr. Tajuddin Shaikh; our Whole -time Directors, Ms. Namita Thapar and Mr. Samit Mehta; and our President, Corporate Development , Strategy and Finance, Mr. Vikas Thapar.

Before we begin, I want to remind everyone about the safe harbor related to today's investor call. Today's discussion may include certain forward -looking statements, which must be viewed in conjunction with the risks that our business faces that could cause our future results, performance or achievements to differ significantly from what is expressed or implied by such forward -looking statements. At the end of the call, if you have any queries remaining unanswered, please feel free to contact us.

I will now request Mr. Satish Mehta to provide the opening remarks. Thank you and over to you, sir.

Satish Mehta: Thank you, Piyush. This is Satish Mehta, MD & CEO. Good afternoon to all of you. It's a pleasure and honor to speak to you while I'm speaking on the annual results for the FY '25. You have seen the results , Q4 '25 revenues grew 19.5%, led by 25% growth in domestic business and 16% in the international business, we ended FY '25 with a top line growth of 18.5% and margins of 18.6% and this is very much in line with the guidance we have given earlier.

I must say that FY '25 has been a transformational year with multiple milestones . We got listed on stock exchanges with extremely strong response from the investor community , which means a lot to all of us. In the domestic market, we successfully integrated the Sanofi cardio business into our portfolio. We sharpened our focus on derma segment with launch of our subsidiary, Emcutix. We expanded our women 's health portfolio. We entered into OTC segment with product range under Arth and Galact brands. In international markets, we successfully expanded our presence in Canada with integration of Mantra subsidiary.

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Let me now brief you on the key highlights of the quarter and year. Let me focus on the domestic market. In Q4, we had a strong performance from our domestic business. It was led by women 's health and cardio and aided by derma.

I'm very happy to inform that as far as the organic growth for the quarter is concerned, it is 10% and if we exclude FCM, which went off patent, then the growth is 12%. Happy to inform the restructuring of our cardio -diabeto business is complete, and we saw a return to normalization during the quarter. We expect this restructuring to drive growth going forward.

Key brands saw double -digit growth in the quarter as in Orofer XT, Maxtra, P ause, Proxym, Augpen , Vylda , Tenectase and Asomex. All these key brands saw st

rong double -digit growth
in the quarter.

As I have been telling all along, Emcure's strength is its differentiated portfolio, which again helped our Q4 growth and will drive faster than industry growth in the current year. Let me now focus on some of the key portfolio expansions that we are doing as far as the domestic market is concerned.

In women's health, we launched a portfolio of products in menopause and PCOS segment. We are for the first time, offering doctors and patients a comprehensive portfolio to address the unmet needs in these segments. I'm referring to menopause and PCOS. We are also, in the process of deepening our presence in gynaecology segment and will further have launches in FY '26.

Our derma subsidiary launched its first of differentiated products like PRX -PLUS and Flawzilo. Further pipeline of products, which will augment our basket of products over the next 12 months, including some of the first launches that we'll be doing through Emcutix, our derma division. I'm also very happy to say our derma division chief, with his strong background at Galderma and deep understanding of the derma business, is helping us unlock collaboration opportunities which I am really excited about.

I'm also very happy to inform that our ready-to-use ophthalmic grade Bevacizumab for wAMD with a patented technology is in Phase III and we expect in the current financial year to launch this particular product, which will be our foray in to the ophthalmic segment.

We are very bullish about this particular product, which is from our Gennova subsidiary, which is dealing in biologics. We have also filed for approval R-Asparaginase in oncology, which will be the first time the product will be available in India.

Let me take a few seconds to talk about R-Asparaginase. The R-Asparaginase that we have currently is imported from China and it is coming from the natural sources. As far as this particular product is concerned, it has been developed in-house and is recombinant ensuring batch to batch quality which would prove beneficial to patients who are suffering from blood cancer.

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I'm also happy to inform that we are now well on track to be in the first wave of launches post expiry for semaglutide. We are absolutely on track and we'll be in the first wave of launches post expiration of this particular product.

Having spoken about the domestic business, now let me now turn my attention to international market, which has shown strong growth in the current year. Emerging Market grew by 27% in FY '25. FY '26 should also witness strong growth led by traction in our differentiated portfolio, especially in biosimilars and Amphotericin B. Amphotericin B, as I mentioned earlier, is poised to be a game changer for us in the emerging markets.

As far as Canada is concerned, it continues to outperform. In FY '25, the growth was 35%, including full year Mantra performance. Base business continues to grow healthy double digits. We have a very healthy pipeline, and we expect this business to continue to see strong performance going ahead.

Now let me focus on European Union. As I mentioned earlier, we received approval for Amphotericin B Liposomal for the European market, and I'm pleased to inform our shareholders and analysts that this is the first generic to receive approval in the EU.

This is a significant achievement, as Amphotericin B Liposomal is a highly complex product — a challenging molecule and injectable — and this is the first generic approval in the European market. We also acquired Manx Healthcare's portfolio. This will help us to expand our product range, basket of products that we offer in U.K. and will give us a very strong pipeline going forward.

We expect growth of European Union to be driven by Amphotericin B and Manx's portfolio. I'm also pleased to share

that, as far as Europe is concerned, we have a fairly robust product pipeline — similar to what I mentioned about Canada — which is expected to receive approvals in due course.

With near-term product pipeline intact, we have recently formed a Scientific Advisory Committee, which includes globally reputed scientists to help develop our long-term portfolio strategy. In fact, earlier this month, we held a meeting in New Jersey with this committee, which includes truly world-class experts in their respective fields.

Our focus area is going to be in 4 areas which I would enumerate. One is the complex injectables. Second is biosimilars, the third is new drug delivery routes for existing molecules targeting better efficacy or new indication. The key focus area will be CNS and derma, and fourth we will also be working on ADC, antibody drug conjugates.

Now having spoken about various geographies, I spoke about domestic business. I spoke about Canada. I spoke about emerging markets. I've shared my outlook on our progress in Europe and now let me turn to the broader outlook for FY '26.

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Key focus area will be on execution. I am a strong believer on execution because everyone has strategies but the key to success is execution and also the focus will be on improving our profitability. We expect to see top line growth of 13% to 14% in FY '26 with around 150 bps margin improvement, which will happen over the course of the year. I know that the bottom line is required to be improved and my entire team, entire management team is committed to work in that direction.

I would also like to highlight that since everyone is speaking about the U.S. tariff and pharma pricing - as you know, that before listing the company, we demerged our American business. To that extent, we are largely insulated from the vagaries of the U.S. market. Post our demerger, the exposure to U.S. is less than 3%.

I must say that it has been a year since Emcure got listed on stock exchange. From a small family, strong family, we have grown into a larger family of investors. We have our dreams and our own responsibilities.

For me, it is Emcure 2.0, which is a new company. I started this company. I'm the founder member. Till we got listed, it was Emcure 1.0. Now it is Emcure 2.0. It's a new company and we are obviously focusing on higher growth with better margins and much, much higher ROCE target.

At Emcure, we have chartered a 5-year road map in which FY'26 will be our first year of that vision. We hope to have a reasonably strong year ahead of us with many challenges that will be announced at an appropriate time. I can only tell you that we at Emcure are very excited with the opportunities lying ahead of us and fully focused on building a strong team to execute on whatever opportunities there are.

India stands out well in global context and Emcure looks ready to seize the opportunity as far as pharma is concerned. And with focus on domestic, emerging markets, Europe and Canada, we are well poised to take the opportunities which will come our way. We hope to keep reporting stronger and better numbers as we go along year after year, and we would also like you to judge Emcure performance on an annual basis rather than every quarter.

All I can say while signing off that best of Emcure is yet to come and we are all committed, my team members of entire Emcure are committed to give great value to the shareholders.

With that, I would turn to Taj.

Tajuddin Shaikh: Good afternoon, everyone. Thank you for joining us today. I will take you through some of the key financial highlights for the fourth quarter Q4 FY '25 and full year FY '25. The fourth quarter highlights. Revenue from operations for the quarter grew by 19.5% year-over-year to INR 2,116 crores, up from INR 1,771 crores in Q4 FY '24.

The domestic business

grew strongly by 25% year-over-year to INR 929 crores, driven by early benefits from division restructuring and the addition of Sanofi's portfolio despite a decline in Emcure Pharmaceuticals Limited

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FCM. Excluding Sanofi, domestic growth was around 10% year-over-year and excluding FCM, impact was 12%.

International markets maintained solid momentum, growing 16% year-over-year to INR 1,187 crores led by rest of the world markets and a strong presence in Canada and Europe. ROW markets grew impressively by 39% year-over-year to INR 481 crores, with strong contributions from both ARV and non-ARV portfolios. Canada reported a 6.1% growth to INR 310 crores. Europe saw a modest growth of 2% year-over-year, reaching INR 396 crores.

Gross margins for the quarter stood at 57.8%, down from 62.1% in quarter 4 of FY '24, impacted by changes in business and product mix. EBITDA, excluding other income, grew 25.2% year-over-year to INR 390 crores, with EBITDA margins at 18.4%, supported by operating leverage and productivity gains even amid low gross margins. Depreciation and amortization were flat quarter-over-quarter at INR 97 crores. Finance cost was INR 39 crores, reflecting lower borrowings. Q-on-Q cost is higher due to onetime cost of INR 10 crores related to early payment.

The effective tax rate stood at around 25%. Profit after tax came in at INR 197 crores, showing strong growth of 63% year-over-year.

Now I'll talk about the full year FY '25 highlights.

Revenue from operations grew 19% year-over-year to INR 7,896 crores. The domestic business grew 16.4% to INR 3,660 crores, supported by the Sanofi portfolio. Ex FCM and ex Sanofi, domestic growth was around 8% to 9%.

International markets grew 20% to INR 4,236 crores with strong performance from Canada and emerging markets. Canada grew to INR 1,252 crores, benefiting from robust base business performance and the Mantra acquisition. ROW markets rose 28% to INR 1,510 crores with sustained growth in both ARV and non-ARV segments. Europe grew at 4% to INR 1,474 crores solidifying its base.

Gross margins for the year were at 60.1%, a decline from 62.8% in FY '24, primarily due to Sanofi and ARV product mix. EBITDA, excluding other income, grew 19.4% year-over-year to INR 1,469 crores, with EBITDA margins remaining stable, aided by operational efficiency gains. Depreciation and amortization rose to INR 384 crores from INR 312 crores in FY '24, owing to Mantra acquisition and commissioning of a few plants. Finance costs for the year stood at INR 176 crores, reflecting lower borrowing levels, inclusive of AS 116 and Mantra related costs. The effective tax rate for FY '25 was 27%. PAT stood at INR 707 crores, a growth of 34.1% year-over-year. The Board has recommended a dividend of INR 3 per share.

On the balance sheet side, net debt was reduced to INR 488 crores, a significant improvement from INR 1,558 crores in FY '24. Our working capital days remained stable at approximately 98 days.

With that, I'll now open the floor for questions.

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Moderator: Thank you very much. The first question is from the line of Amlan Jyoti from Nomura. Please go ahead.

Amlan Jyoti: My first question is regarding the margin expansion that you said in FY '26, of around 150 bps. Could you please clarify how do you plan to achieve this next year?

Vikas Thapar: Yes. I think it's a combination of factors. Obviously, we have operating leverage as the business continues to scale, higher productivity from some of the recently hired field force and in particular some of the newer divisions. Of course, some of the restructuring we did vis-a-vis the cardio-diabeto division and the Sanofi portfolio along with our own cardio products will also lead to some ongoing synergies.

And also, it's going to be driven

by some of the mix of some of the newer product launches

which will bring in better gross margin profile. As we highlighted, in the current year, we had a healthy mix of ARV business but obviously, that comes with a slightly lower gross margin profile.

So as some of the faster parts of the international business and non-ARV components in the emerging markets, Canada and Europe continue to scale, that will also drive margin expansion on the gross margin side as well. So, I think a combination of these efforts, which the management team is very focused on is what's going to drive that 150-basis point expansion that we have emphasized for next year.

Amlan Jyoti: Sir, regarding the restructuring that you're talking about, Sanofi has this been completed? Or do you see restructuring related costs for a couple of more quarters?

Vikas Thapar: No, the restructuring is completed. There was no cost as such. It was more a realignment of the field force and the divisions so that we can basically offer a wider basket of portfolio consisting of both Emcure's products and some of the Sanofi brands. And so, we think that with that sort of increased focus, what will happen, hopefully, is that we will see better uptake in terms of the entire basket being offered and that should lead to continued growth and productivity from that field force.

Moderator: The next question is from the line of Alankar Garude from Kotak Institutional Equities.

Alankar Garude: Sir, can you broadly divide the 13%, 14% year-on-year top line guidance across domestic and international?

Piyush Nahar: So, I think for what we'll be looking at, the domestic, the target is to grow 200 basis points higher than the industry. So that will be about your low double digits type of growth. I think international is where we are expecting more around a mid-teens type of growth.

Alankar Garude: Understood. And there, Piyush, would it be fair to say that the Orofer FCM LOE impact is now completely behind us?

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Piyush Nahar: So, there is still some impact and as I think in the readout also, there is still about a 1% to 2% impact in the quarter. But I think that we'll be able to manage it out. So even in this quarter, if you look at it, ex FCM, we grew at 12%, including FCM, the growth was 10%. Namita, if you want to add on that.

Namita Thapar: In fact, in the FCM, the prices have stabilized and we're also seeing market share increases because there was an influx of small players and quite a few of them have exited at this point. So FCM will now have an upside.

Alankar Garude: Got it. The other question was on Sanofi. Post the restructuring, can you talk a bit about what has changed in the business? You touched upon it briefly in your opening remarks. But also, if you could quantify it, in the sense when you had acquired it, the sales were broadly around INR 500 crores, then there was this restructuring over the past 6, 7 months. So firstly, what were Sanofi sales in FY '25? And secondly, what is your expectation from the portfolio given all the changes?

Piyush Nahar: So, yes, I think this year, Sanofi sales would have been about INR 440 crores to INR 450 crores. And there was also impact what we had is because there were a few products which are in shortages. So that impacted us. I think going forward, Namita, if you can highlight what we're looking at.

Namita Thapar: So, in Sanofi, for a large period of time, they had not been spending promotional expenses on some of the legacy and key products like Cardace. And so, what we have done is we've taken a lot of our cardiologist KOLs and invested heavily in education activities, scientific meetings, which was not done for several years on Cardace.

The second thing is we've done cross-pollination as we had committed, which is some of our Emcure strong cardio portfolio, c

ardio products, we have now shifted to that team so that there is a cross learning and cross-pollination of products as well as we have added reps in that team and added headquarters in that team.

So overall, we started off by spending more and then shifted some of our brands and then added reps and territories. So, it's been a very calibrated and structured approach towards the Sanofi project initiative.

Alankar Garude: On that front, Namita, if you can talk about how quickly should we get back to normalized growth in the Sanofi business or it's already done, given that you spoke about restructuring having been completed, should we expect a pretty strong growth right from the current quarter, the first quarter of FY '26?

Namita Thapar: I think Piyush has already explained about how, when you compare Q4 to Q3, you already saw that growth in domestic business, which is primarily because of the restructuring efforts. And then he also gave guidance for the following year, where we said we'll be 200 points over the market. So, I think it's fair to say that these 2 numbers are representative of all the efforts that we put in.

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Alankar Garude: Got it. And maybe one final question before I come back in the queue. A clarification on, firstly, the margin guidance. You spoke about 150 basis points over the course of the year. So, just wanted to clarify, if you can clarify whether this is a full year guidance or the exit run rate?

Piyush Nahar: No, this will be a full year guidance.

Alankar Garude: Got it. And on gross margins, Piyush, quite low, both sequentially as well as year-on-year in this quarter. Can you help explain the reasons for the same?

Piyush Nahar: This is largely driven by our mix. So, if you look at sequentially, a big part is the Sanofi and ARV portfolio, year-over-year. Sequentially, I think it's more the product mix especially you have on the international side.

Vikas Thapar: So, if I can just chime in. So, year-over-year, I think it's about 250 basis points reduced GC compared to the prior year-over-year quarter. And like Piyush said, that's predominantly driven by the Sanofi and ARV component being relatively higher this year vis-a-vis last year. The base business gross margins are actually up slightly compared to prior year Q4.

And on a sequential basis, he's right, it's more of a mix of domestic versus international, some of the timing aspects of that. And so, I think in terms of the gross margin profile of the business, other than some of these mix issues, we feel very good about where the business is. And like I said, the pipeline is going to continue to drive that margin upwards.

Alankar Garude: Sorry to harp on this. You spoke about the sequential decline in margins, linked it to the domestic international mix. But given the sharper domestic growth in this quarter, was just a bit surprised with the sequential decline in gross margins. Was it the case that ARV sales were higher in Q4 as well?

Piyush Nahar: So not just ARV. I think what happens in some of the emerging markets, the business mix, right, there are some distribution business, some third-party business, where your GCs will be lower, but you don't have a big SG&A. So that product mix plays out in Q4.

Moderator: The next question is from the line of Gagan from ASK Investment Managers.

Gagan: So, on your Canada sales for the fourth quarter, it's dipped sequentially from INR 352 crores to INR 310 crores. Is it just a quarterly phenomenon and not much to read in it?

Piyush Nahar: Yes. So, Canada, I think we had mentioned last quarter also that last quarter was a bit heavy because there was some sales which got preponed booking. So that impacted in Q4. I think what you mentioned is, if you look at for the full year, the base business grew in mid- to high teens for us in FY '25.

Gagan:

Okay. When you say base business, you mean both your entities together?

Piyush Nahar: Yes.

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Gagan: Okay. All right. And is it possible to give the PCPM for the quarter and compare it with the third quarter of the year and fourth quarter of the previous year?

Piyush Nahar: Sure. For the quarter, we were at 6.3. Last quarter, it was 6.1 in Q3. Last year same quarter, we were at 5.4.

Gagan: 5.4. Right. And is it also possible to further sort of enumerate, while you mentioned higher growth in your exports, is it possible to give some flavor of how it splits up between ROW, EU and Canada in terms of growth for FY '26?

Piyush Nahar: So, I think Europe, what we'll be targeting is on the high single digits. Canada, as I said, we continue to aspire to grow in teens level. Emerging markets is where we see the substantial growth of closer to 20% odd.

Gagan: Okay. But that should be driven more by your non-ARV piece going ahead?

Piyush Nahar: Yes.

Vikas Thapar: That's correct.

Gagan: Okay. And for the year, your operating cash flows are lower compared to last year despite a fairly strong growth. Can you perhaps explain a little more there?

Tajuddin Shaikh: Yes. You see this because of Sanofi business, our working capital requirements went up and that's the reason you see the operating cash flows being a little lower.

Gagan: Okay. And going ahead, in terms of working capital you indicated it was fairly stable. So, I was just wondering?

Tajuddin Shaikh: Yes. So, it was from 96, it's going to 98 days, but the business has also grown. So, in value terms, the working capital value has gone up.

Gagan: Yes, I get that. I get the absolute value thing. Is working capital likely to remain stable or because working capital might be different in the export markets compared to the domestic markets. Are we, therefore, looking at FY '26 being a year where working capital in days would perhaps rise?

Tajuddin Shaikh: No, it would be the same or similar, about 98 to 100 days is what we're looking at.

Gagan: 98 to 100 days. Right. Thanks. I will get back in the queue. Thank you.

Moderator: Thank you. The next question is from the line of Dhawal from Jefferies Group. Please go ahead.

Dhawal: Hi, team. Thank you for taking my question. Just wanted to know what are you guys doing in the ADC area? And do we have the tech or we will be relying on some partnerships? What will be the key geographies and in next 2 years, are there key molecules that are nearing patent expiry in any of the key markets? That's my first question?

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Samit Mehta: Sure. Hi, this is Samit. So, specifically talking about ADC, I think this is the first opportunity for us in terms of real collaboration between our biologics arm and the small molecules given that we started off with an antibody that will be made by Gennova and then have the linker and payload from the chemistry side.

So, in that context, we are already evaluating the landscape and doing some preliminary trial work. As and when we develop the product, it will definitely be something that we will be looking at global in the sense of India plus emerging markets because that's the kind of opportunity we see here.

And the IP landscape in this context is quite open. It's not a biosimilar we are looking at. This will be more where we will have some kind of our own IP protection through a novel linker.

Dhawal: And the development will require clinical trials, right?

Samit Mehta: Absolutely. It will require in my understanding, Phase I, II and III. And here, we are evaluating

some collaboration opportunities as well and also looking at outsourcing some of the elements of the entire clinical pathway.

Dhawal: Okay. Got it. And possible to quantify our ARV sales in FY '25? And within the

segment, do

you see any risk in a 3 - to 5-year period because of launch of new molecules coming up in emerging market?

Piyush Nahar: So, I'll just answer on the split. So about roughly half of our rest of the world sales is ARV.

Samit, do you want to talk about the product type?

Samit Mehta: Sure. I think if at all, the treatment paradigm changes over the next 2 to 5 years, which is likely, I think we are best positioned because of the fact that we are one of the only 6 licensees for Lenacapavir. So, eventually, if the treatment shifts from TLD to Lenacapavir, I think we will have the opportunity to encash on both.

Vikas Thapar: Yes. And I think, obviously, we'll be vertically integrated on Lenacapavir and the fact that this may be prescribed prophylactically as well gives us a huge advantage. And so, we think we're well positioned even for the medium term on the ARV segment.

Satish Mehta: And I believe like clearly Lenacapavir should be profitable, I believe because there will not be very many players going forward.

Dhawal: Makes sense. Last question, for past 2 years, have seen a trend where Q1 is registering best gross margin. And over the quarter, it's in a declining trend. So, what's been the reason behind it? And do you expect there's some seasonality or it was because of various portfolio mix and there's no particular trend?

Vikas Thapar: Yes. I think our international business does tend to be a little bit more back-ended towards the year. And so, to that extent, particularly as Canada has continued to scale aggressively and when we look at even some of the emerging parts of the business, I think international business as a

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whole, vis-a-vis domestic market. And then within that, some of these segments, that's why you see a little bit of this mix issue happening as you go through the four quarters. But beyond that, nothing else.

Piyush Nahar: Yes. So, I think it depends on the product mix. So that's why we said, I think GC, if you probably look at for the full year because between quarters, depending on what product mix happens in a quarter, there will be variations there.

Dhawal: Okay. And just on the GC, oil prices have gone down quite materially. Many of the raw materials are multiple derivatives of these crude products. So, are we seeing some moderation in raw material prices or there's no impact?

Samit Mehta: No. I think, except for some of the solvents, we are not seeing crude prices impacting anything. Hopefully, it does help us with some of our logistics costs, which have really shot up over the last 4 or 5 years. But in RMs per se, barring few solvents, we're not really seeing that impact happening.

Dhawal: Okay. Thank you. That answers my questions. Thank you.

Moderator: Thank you. The next question is from the line of Girish Bakhru from OrbiMed. Please go ahead.

Girish Bakhru: Just first question was again on ADC side. Just on the ADC side, if you could elaborate, what is the like I know you talked about some IP-based linker but is there like a full library or suite of products that you are planning under Gennova and Emcure?

Samit Mehta: No, it will be a very calibrated approach. I think, at least initially, it will be a very low-risk strategy in terms of choosing an antibody and a payload, which is already tested, which is why I said the IP will come through the linker and also in terms of payload, most of the people are using derivatives of certain approved molecules. So that's the pathway we will follow as well. And once we have product in market, that's when I think we'll go a little more aggressive in creating, like you are mentioning, a library of products there.

Girish Bakhru: And you are doing conjugation yourself as well?

Samit Mehta: I'm sorry, could you just repeat that question?

Girish Bakhru: Sorry, I was asking, are you

doing conjugation as well of antibody to the payload linker?

Samit Mehta: Absolutely. The entire integration will be in-house starting with the antibody, the linker, the payload as well as the conjugation and achieving the desired DAR.

Girish Bakhru: Okay. And this Asparaginase product, you mentioned last time also, the recombinant one. Is it different from PEG-Asparaginase because that is already launched, right?

Samit Mehta: Yes. So, I'll just give you some insight there. The natural product that comes from China is L-Asparaginase. Today, the product that is in the market is the PEGylated version of

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L-Asparaginase. However, that is the second -line treatment in Pediatric . ALL, the first line continues to be L -asparaginase and that's the one which has severe quality issues. That's the one we have made into recombinant. So recombinant asparaginase will be the first line and second line will continue to be the Peg L-asparaginase.

Girish Bakhru : Okay. And this will be the first you will be the only player. You don't see any competition here? Samit Mehta: Not in the recombi nant. Right now, at least from whatever publicly available data on SCC or CDS , still looks like on the recombinant, we are the only filers. Of course, globally, Spectrila is the brand, which is from Medac, Germany, and our bio studies have been performed a gainst that product.

Girish Bakhru : Given the current market -- I don't know the market, what is the market for asparaginase right now in India?

Samit Mehta: So, a couple of things. There's both Asparaginase usage happening in India, but this asparaginase API after being imported from China is being formulated and supplied to multiple countries. So totally, that market in our estimate between India and these exports could be in the range of INR 100 crores.

Satish Mehta : INR 150 crores.

Samit Mehta: INR 100 crores to INR 150 crores is the estimate that we based on export data and Indian data.

Satish Mehta: Export data. But at the same time, a lot of this formulated asparaginase is being exported to emerging markets. And that's where sending a recombinant molecule, which is technically and qualitatively much better than what is going right now should help us going forward.

Girish Bakhru : Understood. And just a bit on the domestic si de. I know Emcutix is not that old a subsidiary right now. But can you talk about how many portfolios will come under it, in terms of number of products? And how much percentage is actually cosmetic derm a?

Satish Mehta: No. This is a fledgling company. We started really the operations only in the month of January. but I must tell you that the Chief Executive that we have, he comes to us from great background. And to be honest with you, when I started this division, I did n't know that as far as derma market is concerned, it consists of so many things.

My understanding was that as far as derma is concerned, typically, what we promote to the dermatologists and that's where we talk about atopic dermatitis or for that matter, fungal infection, alopecia and so forth and so on. But now I understand there is something much beyond that, like cosmetology is doing fabulously well.

We also have products for geriatric or even for that matter, products which are required for antipollu tion. And all these areas, we are entering. And with Italian collaboration, we have very recently launched about which I spoke that is PRX -PLUS.

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Just a couple of days ago, in a presentation by our Chief Executive, it was highlighted that this particular p roduct is intended for skin tightening an area where treatments typically involve s conventional Botox and other injectable procedures. And this particular pro

duct is immensely

liked by the dermatologists and we launched only a month back and we have almost 290 doctors who have started prescribing this particular product.

And this is essentially coming in the field of cosmetology. So , this is just one example I'm giving you. So , to that extent, we, as a company, we are very excited about the foray in the dermatology and a lot of things, lots of things will happen going forward.

Piyush Nahar: Yes. In terms of launches, I think the number of SKUs will be much higher. But we already have about 8 brands and there will be another 6 in the pipeline, which will come over the next 12 months.

Vikas Thapar : And these 8 that we are talking have just recently been launched. So , it's a fairly robust portfolio for the next fiscal year.

Satish Mehta: One of the products that we launched that is also with new technology for acne, where the technology is microsphere. And this is a product which is significantly better than the existing products, that is for acne, the acne moisturizer, the acne spot removal, all these things that we are doing.

Piyush Nahar: Yes. And in terms of cosmoderma versus prescription, I think it will be equal split between the two.

Girish Bakhru : Equally split, okay. And just also on the split across therapies, if I see. So , 3, 4 years down the line, do you think the contribution from HIV and iron products that should significantly change, and derma and other therapies should increase?

Piyush Nahar: I think HIV will come down significantly. Iron, yes, so as I think some of the CNS, derma,

Opthal do come in, iron will see a decrease. But even in iron, I think we see a significant growth potential still.

Samit Mehta: I think iron as a percent will go down because others grow but in absolute numbers, we still see huge growth potential in iron.

Satish Mehta: Would you like to say something, Namita, on iron because since you are promoting. Yes, would like to hear from you.

Namita Thapar: I mean, 57% women are anaemic and 30% men are anaemic . So, there is a huge pote ntial in terms of just people who are not aware that they need it. So, I think the market will continue to grow. Like we mentioned earlier, we are also increasing our presence in menopause, PCOS and endometriosis which are 3 areas that are rapidly growing. So, it will be a two -pronged strategy of whatever is big, make it bigger and then also have some exciting new launches in these progressive markets.

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Moderator: The next follow -up question is from the line of Gag an from ASK Investment Managers. Please go ahead.

Gagan: The first one is the debt. To what scale do we see debt reduction in FY'26? And barring inorganic, do we see becoming debt -free by close of the financial year FY'26?

Tajuddin Shaikh: Yes, we probably see being debt -free by the end of financial year FY'26.

Gagan: And in terms of your capex, is it possible to enumerate the budget for FY'26 and FY'27, if that's also possible?

Vikas Thapar : Yes. I think we've historically guided to probabl y in the range of about INR 350 crores. And I think we'll be somewhere in that range, give or take, INR 25-50 crores .

Gagan: Great. And also, you in the last quarter talked of quite a few in -licensing programs, which might come to fruition in a short term. Any further elaboration on any of these if they are due in FY '26 and in which areas?

Piyush Nahar: So, we have in the Emcutix, the PRX -PLUS, which we launched is one of those in -licensed products that we have. Others, I don't thi nk there's anything we can talk about.

Moderator: The next follow -up question is from the line of Alankar Garude from Kotak Institutional Equities.

Alankar Garude: Satish bhai, you mentioned about being well on track to be in the first wave of launches for semaglutide in India. Given tha

t you are vertically integrated here. Does it mean that this confidence is coming basis, the progress on the trials? I'm just asking this because we hear mixed feedback about the difficulty in clearing the trials even in India.

Satish Mehta: I will ask Samit to take that question.

Samit Satish Mehta: No, absolutely. I think in terms of the timelines on the trials, we are on track. We also are quite confident about the probability of success on these trials. I think one uncontrollable is the speed of regulatory clearance. And that's something we really need to make sure goes as per plan to be able to be in this first wave. But at least whatever is under our control in terms of the trial time lines as well as our probability of success, we think we have the molecule well understood.

Alankar Garude: And have we filed in Canada yet?

Samit Mehta: Not yet b ut that is actively on the cards.

Alankar Garude: Okay. The second question was if you look at the ex-ARV ROW sales growth, assuming ARV was half of the ROW sales in FY '25, the ex -ARV growth seems to be in low single digits. Now you spoke about strong gr owt h in ROW in FY '26 and possibly the margin guidance also alludes to a lower ARV mix in FY '26. So one is, what drove the relatively lower growth ex ARV in ROW in FY '25? And what will change secondly in FY '26?

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Piyush Nahar: So, ex ARV growth was up in teens, not in single digits for us in FY '25. I think going forward, in terms of where we have a lot more confidence in terms of the visibility for the product launch approvals that we are getting for some of our differentiated pro ducts like Amphotericin B or even some of the biosimilars. So , it is led by those approvals flowing through.

Alankar Garude: Okay. What was the ARV sales number in FY '24 in ROW?

Piyush Nahar: ARV slightly higher than 40%.

Alankar Garude: Okay. Okay. The other question was on recent acquisition of Manx. Any clarification on the size as well as the margin profile of this asset?

Tajuddin Shaikh: Yes. So , we're expecting this year to have sales close to USD 15 million to begin with. And we have a portfolio of about 100 molecules which we have acquired.

Vikas Thapar : So out of that portfolio that we acquired, there's obviously at least about 40% or so that are were already commercial molecules and approved. So that's where we're confident about the sales emanating from these ongoing sorts of molecules where we, even as part of the transaction, took on some component of inventory and then we'll continue in terms of selling those products. And then I think what's exciting is for our ability to take some of the yet to be approved molecules and be able to commercialize those as well going forward.

Alankar Garude: Understood. And what is the margin profile of Manx at the moment?

Vikas Thapar : We acquired the entire portfolio. We think that will give us reasonably good EBITDA margins in line with what we would be expecting for the overall Europe portfolio.

Alankar Garude: Got it. One final question. What has been the organic growth in Canada in FY '25?

Piyush Nahar: It would have been about mid - to high teens .

Moderator : The next question is from the line of Bharat Shah from ASK Investment Managers.

Bharat Shah: So, you talked about growing the turnover in the current year, FY '26 by about 13% to 14%, hopefully, more at the higher end. And the improvement of margins by about 150 basis points, of which about 19.5% for the year gone by to about 21%. Both on the top line as well as on the margin improvement, is the year following also we have some such ambition or this is confined only for the current year FY '25, FY '26? In other words, INR 10,000 crore FY '26, FY '27?

Vikas Thapar : So, I just want to make one small correction to your question and then I'll take the question. I thi

nk our full year EBITDA margins was closer to 18.5%, not 19.5%, as you mentioned. And if you include other income, then yes, you get closer to 19.5%. And so , you're right that the 150 basis points that we are guiding to is on top of that number. So , in that range of 20% to 21% depending on whether you include the other income or not.

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When it comes to looking at more of a 2 - to 3-year outlook, we fully appreciate and understand that when you look at some of the peers in the industry, we still feel that we have further room to improve on the margin aspects of the business and there's a lot of efforts, as I mentioned, being put on that.

And we firmly believe that as the business continues to grow, there's no reason why we should not continue to see enhanced margin profile even 2 to 3 years out. I think in the past, we've also guided to over a 3 - to 4-year period, probably a 300, 400 basis point sort of improvement in the margin profile of the business .

While I don't want to give any specific number but suffices to say that off of our exit, if we aspire to grow 13% or 14% next year and would still have ambitions to grow double digits organically the year after. And of course, we're going to continue to look for M&A opportunities and in-licensing opportunities. So , we're very, very bullish about crossing c ertain milestones a couple of years out.

Bharat Shah: So, which would mean that this 13% to 14% growth that you outlined for the current year FY '26 similar journey should be expected for FY '26, FY '27. And whether margins will improve by 150 basis points or not like in the FY '26 but some further improvement in margins is what you are envisaging for the year going ahead?

Vikas Thapar : So, I think directionally, I would agree with that. However, I think let's go through the cours e of the year and we'll certainly continue to give updated guidance further

Satish Mehta: As I mentioned in my opening remarks, we are long -term players. We are committed to creating great value for the shareholders in the next 5 years. But now we are esse ntially focused on the current year.

So, to that extent, as I mentioned in my earlier remarks, the entire emphasis will be our execution to ensure that whatever guidance we are giving in terms of 13% -14% whether way of growth and 150 points increase in EBI TDA, that's what we are committed to. So , it's going to be a mix of short term and midterm and long term. But long term, of course, the aspirations are there to become and get it to a big league.

Vikas Thapar : I think we have time for probably one or maxim um two more questions.

Bharat Shah: Yes. Only just one last point there. Since on all key competitive factors or aspects, you would agree that Emcure is still behind some of the other firms. And therefore, we need to try harder, I would say ?

Vikas Thapar : Yes. So that, as I mentioned, I think it's obviously, if you look at the various components of our business mix, the endeavour is always to maximize the potential of each of the different segments. And certainly, along with growth, the margin expansion is very much on top of the senior management's min ds. I think we can move on.

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Moderator: The next follow-up question is from the line of Dhawal from Jefferies Group.

Dhawal : Just one doubt. We have recently set up this Emcure Generics Private Limited. What is that ? Is it about entering trade generics, or is it something else?

Vikas Thapar : Yes. So , I mean, we've made a limited beginning. But obviously, with the trade generics, the profile of that business, we feel that it's important to have that housed in a separate entity with a separate team, obviously has its own channel. And so , we'll have a very, very calibrated

approach. But certainly, we are also going to be present in a limited way in the trade generics segment as well.

Moderator: As there are no further questions from the participants, I would now like to hand the conference over to Mr. Piyush Nahar for closing comments.

Piyush Nahar: Thank you all for joining today's investor call. If any of your queries still remain unanswered, please feel free to get in touch with us. Thank you and have a good day.

Moderator: Thank you. On behalf of Emcure Pharmaceuticals Limited, that concludes this conference.

Thank you for joining us and you may now disconnect your lines.

Call: Aug 2025

Emcure

Emcure Pharmaceuticals Limited

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Date: August 13, 2025

To,

National Stock Exchange of India Limited

Exchange Plaza, C-1, Block G,

Bandra Kurla Complex, Bandra (East),

Mumbai – 400 051

Script Symbol: EMCURE BSE Limited

P J Towers,

Dalai Street,

Mumbai - 400 001

Scrip Code/Symbol: 544210 / EMCURE

Dear Sir/Madam,

Subject : Transcript of Earnings Call – Q1 FY26

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and further to our intimation dated July 28 , 2025 , please find enclosed the transcript of the Earnings Call for the Q1 FY26 , held on Thursday , August 07 , 2025 at 3.30 p.m. (IST) .

The above -mentioned transcript is also being uploaded on the website of the Company i.e. www.emcure.com .

You are requested to take the above information on your records.

Thanking you,

For Emcure Pharmaceuticals Limited

Chetan Sharma

Company Secretary & Compliance Officer

Membership Number: F8352

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"Emcure Pharmaceuticals Limited

Q1 FY '26 Earnings Conference Call"

August 07, 2025

MANAGEMENT : MR. SATISH MEHTA – MANAGING DIRECTOR &
CHIEF EXECUTIVE OFFICER

MR. TAJUDDIN SHAIKH – CHIEF FINANCIAL OFFICER

MR. VIKAS THAPAR – PRESIDENT , CORPORATE
DEVELOPMENT , STRATEGY AND FINANCE

MR. SAMIT MEHTA– WHOLE -TIME DIRECTOR

MR. PIYUSH NAHAR–EXECUTIVE VICE PRESIDENT ,
CORPORATE DEVELOPMENT AND STRATEGY

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Moderator : Ladies and gentlemen, good day, and welcome to Emcure Pharmaceuticals Limited Q1 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

Today, we have on call Mr. Satish Mehta, MD & CEO; Mr. Samit Mehta, Whole -time Director; Mr. Vikas Thapar, President , Corporate Development, Strategy and Finance; Mr. Tajuddin Shaikh, CFO; Mr. Piyush Nahar, EVP, Corporate Development and Strategy.

I now hand over to Mr. Piyush Nahar. Thank you, and over to you, sir.

Piyush Nahar : Thank you, Ashish. Good afternoon, everyone. Earlier today, we released our financials for the first quarter of fiscal 2026 along with the press release. These are also posted on our website.

We hope you all had a chance to review it. I'd like to bring to everyone's notice that this call is being recorded, and the recording and transcripts will be available on our website.

Before we begin, I want to remind everyone about the safe harbor related to today's investor call.

Today's discussion may include forward -looking statements, which must be viewed in conjunction with the risks that our business faces that could cause our future results, performance, or achievements to differ significantly from what is expressed or implied by such forward -looking statements. At the end of the call, if any of your queries remain unanswered, please feel free to connect with us.

Now I'll request Mr. Satish Mehta, our MD & CEO, to provide the opening remarks.

Satish Mehta: Thank you, Piyush, and good afternoon to all of you. It's a pleasure to speak to you again post our first quarter results of FY '26. I am pleased to share the positive results of your company to start off the fiscal year ahead. We had a strong start to the fiscal year with all businesses, all verticals showing excellent growth. Overall, our revenue grew by 15.7% year -on-year, while EBITDA grew by 20%. Our PAT grew by 41%, and we reported our highest quarterly profits of INR 215 crores, I repeat INR 215 crores.

Let me now provide key business updates for the quarter . Our domestic business grew faster than the industry in the quarter . We saw strong growth in all our key therapies Gynaec , Cardiac, Anti-infective and Vitamins. As I told you in the last call, our new initiatives that we have taken in Derma and consumer wellness are seeing a positive trend and strong traction. We expect Derma as well as consumer wellness to become our key growth drivers in times to come.

We continue to take steps to strengthen and synergize our domestic business. We expanded our partnership with Sanofi for the diabetes segment. You are aware that is part of the public domain.

We'll now be marketing and distributing Sanofi's oral diabetic portfolio, with key brands, Amaryl, and Cetapin . These two brands will be promoted from 1st of August.

As you know, 15 months back, we also added the cardiovascular portfolio, and we have done a reasonably good job. Now with this cardiovascular portfolio along with metabolics, I'm pleased to tell my shareholders that your company is emerging as a strong player in the field of cardio -
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diabetes segment . We were strong in cardio , with Amaryl and Cetapin , have every reason to believe that we will also emerge as a player to return with in metabolic diabetes segment as well. I am pleased to inform that we are strengthening our team with some significant additions. I'm happy to welcome Mr. R.S. Vasan into the Emcure family as President - India

business. He

brings with him rich experience in managing India formulation business for the last 40 years,

with various multinational and Indian companies. And as far as his last 15 years, he was associated with Sun Pharma. We remain confident that we'll continue to grow above industry during the year with the steps that we are initiating, and I'm confident about our journey in the domestic business. With some briefing about the domestic business, let me now move to the International segment.

Our International business grew strongly by 20% with all the verticals and geographies seeing good traction. Our Canada business continues to show strong growth led by market share gains and new launches. Our rest of the world, we call it as emerging markets is also seeing strong traction in both ARV and non-ARV segments. This is led by new product approvals in our target countries. I told you that we have a reasonably strong presence in ARV, but at the same time, the strategy is to strengthen non-ARV segment, and this is driven by unique products that we are selling in the Emerging Markets. I'm happy to inform that EU grew double-digit growth, and we have a healthy pipeline going forward.

As mentioned in my last call, Emcure has embarked on a journey of growth and improved margins through innovation, partnership, and newer geographical reach. This is the first year of our 5-year vision to take Emcure into the next orbit. I repeat, this is the first year of our 5-year vision to take Emcure into the next orbit.

During this period, our focus will remain on building strong foundation through investments in new technologies, processes and above all, people to deliver highly profitable and above average growth. I'll repeat our focus will remain on investment in new technologies, processes and people to deliver highly profitable and above average market growth.

Emcure remains an India focused company with huge opportunity to tap the unmet medical needs of over 1.4 billion people. We are very, very committed to the domestic market. All I can say is that we at Emcure are very excited in this phase as we see a huge opportunity unfold ahead of us.

We remain focused on building a company that creates everlasting value for all its stakeholders. I'm very satisfied with what we have achieved so far and even more excited about what lies ahead of us.

I will end my opening remarks by saying, watch this space as more exciting opportunities unfold, helping make your company one of the most admired companies within the pharmaceutical industry. Watch out for this particular space as together with new people, your companies will emerge as one of the most admired company within the pharmaceutical industry.

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Let me touch base on another topic of interest before I conclude. We all keep on talking about tariffs and what's happening with the Trump administration. Unfortunately, but true that 50% tariff has been announced on exports from India and you never know what is going to happen about the pharma industry only President Trump knows about it.

But I want to highlight that your company is predominantly insulated from US market with our exposure to US being less than 3%. Let me repeat that as far as Emcure is concerned, your company is predominantly insulated from the US market with our exposure to US being less than 3%.

With these remarks, I will now pass on the call to my CFO, Tajuddin Shaikh, to share the financial details of last quarter before we open up the floor for your questions and answers. Absolute pleasure in talking to you, and thanks for making it convenient to attend the call which means a lot to me personally and obviously to the company for your continued interest in Emcure. Thank you very much.

Tajuddin Shaikh : Good afternoon, everyone. Thank you for joining us today. Before we move to the Q&A, I'll

take you through some of the key financial highlights for the first quarter. Revenue from operations for the quarter grew by 15.7% year-over-year to INR 2,101 crores, up from INR 1,815 crores in Q1 FY '25. The domestic business grew by 9.4% year-over-year to INR 995 crores driven by strong performance across all key therapies.

International markets maintained solid momentum, growing 22% year-over-year to INR 1,106 crores. Emerging markets grew impressively by 42% year-over-year to INR 360 crores with strong contributions from both ARV and non-ARV portfolio.

Canada reported a 16.4% growth to INR 342 crores. Europe saw robust growth of 12.8% year-over-year, reaching INR 403 crores. Gross margins for the quarter stood at 61.8% versus 57.8% in Q4 and 62.4% in Q1 of '25. The change was driven largely by product and business mix.

EBITDA, excluding other income, grew 20.1% year-over-year to INR 404 crores.

EBITDA margins stood at 19.2% versus 18.5% in Q1 '24 and 18.4% in Q4 '25, supported by strong operating leverage and productivity gains. Depreciation and amortization was flattish

quarter-over-quarter at INR 99 crores. Interest cost was INR 27 crores, reflecting lower borrowings. The effective tax rate stood at 26%. Profit after tax came in at INR 215 crores, showing strong growth of 41% year-over-year.

With that, I will now open the floor for questions.

Moderator: The first question is from the line of Mr. Amey from JM Financial.

Amey: Basically, the 9% growth, which we have delivered this year in India, is it fair to assume that this base is on the normal base as well, if you can give us the breakup in terms of the volume and price for this 9% growth for the quarter?

Piyush Nahar : Sure. Yes, this is on a normalized basis . I think in terms of the price volume, volume would have been about 4% price about 4% and about a 1% to 2% of new launches that we have.

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Amey: So is it fair to say that from the negative trajectory of volumes in post COVID for 2 years than last year around 2% volume growth, what we have seen. Now we are moving towards like 4% to 5% kind of a volume growth for the full year?

Piyush Nahar : Yes. That is what we are targeting.

Amey: Sure. And going ahead because there will be diabetes sales additions happening, right, from the Sanofi. So how should we look at the number for the full year? Is it possible to quantify how much of the sales coming in from the Sanofi Diabetes portfolio?

Piyush Nahar : Sanofi would roughly be about INR 200 crores portfolio annualized . So, we'll get about 9 months of that in the year.

Satish Mehta: 8 months we'll be getting in the current year. And on an annualized basis, it is INR 200 crores.

Amey: Got it. And in terms of MR addition, has there been any MR addition for diabetes or we will be working with same cardio metabolic MR

Piyush Nahar : So we already have three divisions in the cardio diabetes space . So we're not adding new MR s. This will get fit in the current one.

Amey: Sure. And the last question I have on the FCM performance, if you can elaborate for this quarter how the performance will be especially now the competition has been largely settled in

Piyush Nahar : So I think on the prescription side now, we're seeing revival on growth. So this quarter, Orofer FCM grew in double digits for us. So that is doing well for us. I think where we are seeing still a bit more challenging is on the institution side, where some of the competition is still there at lower pricing. But I think on the promoted side, we are seeing traction and revival.

Satish Mehta: And just to add , I mean, the promotion, we are essentially focusing on quality and certain parameters where we are better than the competitors , because as you know, this particular product we brought in the country for the first

time. So we are having a lot of data and the scientific promotion is also helping us. And we are getting the traction going forward. And as Piyush rightly said, in prescription market, we are doing well. But when it comes to the question of institutions, the challenges remain.

Amey: Got and just last question, like how much would be the mix in terms of prescription and institutional for us for that particular product franchise?

Piyush Nahar : Orofer FCM or for the overall?

Amey: For FCM franchise

Management: I think now a majority will be prescription -driven now.

Amey: Okay. Sure, sure. So that should start reflecting in our performance in the subscription.

Moderator: The next question is from the line of Mr. Alankar from Kotak Institutional Equities.

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Alankar : You had spoken about further launches in FY '26 in the women's side segment in the previous quarter. Can you take us through the progress on that front?

Piyush Nahar : So yes , at, we have launched two areas. One is we talked about the PCOS and second is on the menopause . Both of them have been launched in last quarter. I think as we have talked about last time, these are new concepts we are trying to establish in the market. So early days, but we are seeing good traction out there. But I think for them to become material will take time because we are still establishing these concepts out in the market.

Alankar : Understood. And also, if you can comment Piyush , on the performance of the Iron portfolio in this quarter?

Piyush Nahar : Have the numbers of Iron portfolio

Management: So Gynec has done very well for us, which includes largely iron . I think there, we are doing much ahead of the industry. So even if you look at IQVIA, the IQVIA reflection is about 13 -

odd-percent growth in the Gynec segment . And so all of our XT continues to grow in double digits. FCM has already talked about on the prescription side, we are again now in double-digit growth. So that Iron segment is now back on growth move for us.

Alankar: Understood. Just one question there before I get into the international business. So on FCM, a clarification, if I take into account both the prescription business as well as the institutional business, was there any drag at all if I look at the reported domestic growth in this quarter?

Piyush Nahar : It would still be about 1% drag. So ex of that would have been about 10.5%.

Alankar: Okay. So adjusted for Orofer FCM , the growth is about 10.5% in India? Okay. Got it. Then on the international bet, was there any meaningful benefit of the Amphotericin B launch in Europe in this quarter? Or we expect the ramp -up to be more gradual towards the course of the year?

Samit Mehta: Yes, this is Samit. In UK, yes, we have started actively supplying. However, in Europe, as we had told you over the last call, we got the approval under the DCP and each country typically takes anywhere between 3 to 5 months for its own national approval , which we expect to start from the end of this quarter. So I think the ramp -up in the second half of the year will be much higher than what we will see in H1.

Alankar: Understood. That's helpful. And a quick one on ARV and non -ARV. Now Satish sir mentioned about good growth in both ARV and non ARV in ROW , what was the AR V contribution in this quarter?

Piyush Nahar : ARV would have been roughly about half of it.

Alankar: Sorry, you mentioned 50%?

Piyush Nahar : 50%, yes.

Alankar: And final question from my side, any update on the filing of semaglutide in Canada?

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Samit Mehta : Yes. In Canada this month, we will be executing our filing batches. So I think we continue to be on track to file towards the end of this fiscal year.

Alankar: Got it. And in India, I'm assuming we are on track to be among

get the first wave of launches, as you had mentioned earlier.

Samit Mehta : Yes. That continues to be our effort.

Moderator: The next question is from the line of Mr. Gagan Thareja from ASK Investment Managers Limited.

Gagan Thareja : Is it possible to give some flavour on how the Sanofi i Cardiac portfolio is doing for you or 1Q of this year compared to last year ?

Management: So the Sanofi portfolio, I think it's broadly similar to what we have reported for the overall domestic growth , it's been going in line with that. I think our target for Sanofi has been to grow that in line with the IP M. And I think that's what we have been there in Q1.

Gagan Thareja : And on the additional diabetic portfolio that you acquired from Sanofi, is it possible to understand the rationale , are these drugs not generally not seeing a slower sort of growth given that we've had a new generation of drugs coming in for diabetes or these still constitute the first line of treatment and therefore, will you expect them to grow healthily?

Satish Mehta : Gagan this is Satish Mehta. Sulfonyleurea continues to be first kind of treatment and products like Glycomet and others, they continue to have traction. If you recollect in the call so that I had probably a year back at that time, I was trying to communicate to my equity holders that we would like to be strong in, skin care, dermatology and we would like to be strong in metabolics. As far as skincare is concerned, we took a big step by getting somebody like Sathya starting Emtix and getting traction. And as far as metabolic s is concerned, this is a hook , Amaryl which will connect me to all the major consulting physicians and diabetologists with the help of that I feel that there will be profound effect on other products and will do well.

As you know, our brand Vylda -Vildagliptin is doing quite well. That's one of the top 3 brands post LOE . So with Amaryl coming to the fold, our position in the diabetics segment, metabolic s will significantly strengthen and that will also help us when we go for semaglutide as and when we get to LOE.

So this is plan of overall strategic thinking because with Amaryl , we get a good connect with the doctors and obviously, the same doctors are my potential prescribers to Semaglutide as well.

Gagan Thareja : Okay. And was the sales force also transferred to Emcure from Sanofi for these?

Satish Mehta: No, that Piyush explained some time back. We already have 3 divisions in CARDIO -DIABETO . So this is going to be one of the divisions.

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Gagan Thareja : All right. And is it possible to understand the contribution? I mean I understand it's early days, but it's still possible to understand how the Derma and Consumer Wellness divisions are ramping up? Any flavor would be helpful here?

Satish Mehta: Currently, we are in the investment mode. I mean, we just started a few months back. And even you know, in pharma, the gestation period is 18 - 24 months but at the same time, the beauty is we are getting prescriptions. I mean the unique products we are launching in the Derma segment and also whatever Namita is doing in Arth that is obviously very well received. But this is a patience game. It's not going to happen in a day. It has taken me 30 years to get the company to this level.

Vikas Thapar : I think just to add. I think what we had guided last time is that overall, we think that these 2 new initiatives should drive about 1% or 2% additional growth in our overall domestic business. So I think we're on track for delivering that for the year.

Satish Mehta: Thanks, Vik. Very helpful.

Gagan Thareja : And one more, sir, on the Asparaginase and the wet AMD product, any further updates on when you believe you can come into the market with these?

Samit Mehta : Sure. So for the Asparaginase we have already submitted our dossier

to the DCGI and we're

waiting to hear from them in terms of when they constitute the SEC and when it will be reviewed.

So fingers crossed there. And on the wet AMD also very positive in the sense that we should be completing our clinical trial by the end of September. So whatever time it takes after that to compile it dossier and submit it to the CDSCO. So very hopeful that at least one, if not both, should get approval in this financial year.

Gagan Thareja : A final one from my side, sir, you could give us the latest gross debt position for the company?

Tajuddin Shaikh: Latest gross it is around INR 700 crores.

Moderator: The next question is from the line of Mr. Bharat Shah from ASK Investment Managers Limited.

Bharat Shah : Satish Bhai, it was good to hear the 5-year journey that you outlined, which will be marked by not just new partnerships but new innovation, driving new products and geographies and is underpinned by investment in people processes and technology. So that's the session to hear that we feel that on a sustained basis, the growth will come in, so which this quarter is marked it we'll have to wait.

Just to put a little bit of scepticism on that, if you pardon me, but ultimately, in the pharmaceutical business, sustained and predictable growth will come only from the fresh portfolio of products. The well-aligned therapeutic areas. And all of that is to be driven by new products developed through the sustained research effort.

But a large part of our portfolio, my impression is more me too. And therefore, how do we aspire to remain on a continuous growth journey? Or what are the steps being taken so that we address these game on Internet behind half the business and...

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Satish Mehta: Bharat Bhai can I?

Bharat Shah : Yes.

Satish Mehta: Bharat Bhai let me a step back and tell you, in 1995, when I began my journey as everyone dissuaded me, from entering into the market and my friends from multinational's went to the extent of saying Satish Bhai you will get beaten up. Market is very fragmented, very, very competitive and you are one of last entrant.

Now when I'm talking to you in 2025, the reason why we have done well is because of science, innovation, and technology. And I take pride in telling everyone that as far as my company is concerned, it is in the forefront in launching new products and we're giving new products to the industry.

To give you a few examples, I gave more than 11 products in the field of Chirality. S-Amlodipine S-Metoprolol, S-Etodolac they have been doing exceedingly well. We gave Ferrous Ascorbate for the first time. We gave Ferric Carboxymaltose about which Amey asked some time back.

Similarly, we have given 7 biosimilars and now Samit just told you some time back, we were talking about Asparaginase, we are talking about Bevacizumab. So to that extent, as far the gene of the company is concerned, it is driven by science and technology, and we are doing a lot of work in R&D. To that extent. I'm very confident that going forward, my company will be in a position to bring new products because Bharat Bhai you are spot on. The competition is very intense as far as me-too products are concerned. To that extent for any company to survive and make headway, it has to focus on science and technology, and that's one area where we are committed, and we are taking a lot of steps in that direction. Samit, would you like to add something.

Samit Mehta : I think when we spoke about the 5-year vision internally for each of the years, we have already

identified which is the product launch for which a lot of the work has already been done, whether it is filing batches or submissions. So we have very crystal -clear clarity on each of these 5 years, the one big blockbuster products.

So for example, like we did mention Lipos

omal Amphotericin B similarly across the years, building on the liposomal platform. There are a few other products there's, of course, GLP -1s and within that, some incremental innovation that we're doing. And of course, towards the end towards year 4, year 5, there will obviously be what we've spoken about earlier and which we've hone stly started efforts the whole space of ADC.

Satish Mehta: Vik, would you like to add something ?

Vikas Thapar : I think it's covered.

Bharat Shah : So basically, what we are seeing is it is not merely a reason good to say kind of a statement, but in other words, it's not just good English , but there is a decent mathematics behind it.

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Satish Mehta : Absolutely. There is absolutely a clear vision and game plan as far as the lowest therapeutic segment is concerned. So the strategy will be clear. One R&D will drive. , the second thing, we like to work with multinationals. We have demonstrated by working with Sanofi, we've got a big portfolio, something similar will happen and third part of the strategy, we'll be working at a global level to get some products like Samit mentioned about A DC or maybe something in Phase I pick them up and see whether we can develop for the domestic market. So there is absolute clarity at the senior level about the way the new products will launch in each and every therapeutic segment Bharat Bhai .

Bharat Shah : Yes, that is very heartening to know. A related question, you mentioned Satish Bhai that this 5 - year journey will be marked with above average growth rate. And co uld you be a little more specific as to what is meant by that? Will it be double -digit or very healthy double -digit, what kind of growth did you have in mind? And also on the margin, make a comment, from 20% -odd that we now wait. Do you think our margins a lso, what kind of trajectory would hold out?

Satish Mehta: So I will break it in 2 parts. As far as the growth part is concerned, I will answer , margin part Vik will answer. As far as growth is concerned, I would like to have 2% more than the industry growth, whether we are talking about India or other markets, okay? Other markets are also very, very competitive, Europe and Canada so that will be the aspiration. If you grow by more happiness. But at least now as well, the basic objective will be to grow by 2% more than the industry growth in various markets. And regarding margin, we have been talking that there is a journey towards the desired results, I will ask him to opine on that, Vik?

Vikas Thapar : Yes. So what we have guided, if you can hear me, is that from the rough margins that we've guided to for this year, we should continue the journey of increasing our margin profile by about 300 - 400 basis points over this 4 to 5-year journey, which will be driven by obviously both productivity g ains in terms of our India business as well as improving our gross margin profile with the business and product mix that we will be working on in the pipeline .

And overall operational effectiveness in terms of just the scale economies we will get as we continue to scale different verticals within our business.

Bharat Shah : Which means about 20% operating margins now over the 5 -year period, it should be somewhere in the end of 23% - 24%.

Vikas Thapar : That continues to be the goal and aspiration that we'll be working towards.

Bharat Shah : And one last thing. When do we think the INR700 crore debt on the books is likely to become zero?

Vikas Thapar : If I can just add there, we had guided on the debt was that barring any M&A , that should be approaching close to zero even by the end of the current fiscal year. Having said that, 2 of our recent announcements, one was the acquisition of product portfolio for Manx , which is going to be paid for in various milestones as well as our recent announcement o

f acquiring the minority

stake from Zuventus I think these 2 initiatives will obviously add to our gross debt position which will probably push out our debt approaching zero by at least 1 to 1.5 years going for ward.

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Having said that, both of these initiatives, we think, are going to be very accretive and I think its money well spent over what we have announced.

Bharat Shah : Sure. Thank you very much. And all the very best Satish Bhai and the entire Emcore team.

Satish Mehta: Bharat Bhai we value very much your support and thanks to all for participating. And kindly feel free to reach out to us any time. We are available 24/7. We value your support.

Bharat Shah : Much appreciated.

Moderator: The next question is from the line of Mr. Tushar Manudhane from Motilal Oswal Financial Services.

Tushar Manudhane: Thanks for the opportunity. Joined which a bit late so I'm not sure if you have already addressed. But just wanted to understand on the gross margin front quarter-over-quarter, where it's a business composition in terms of geography has not changed much, but we've seen good improvement in the gross margin. If you could just elaborate on that first?

Piyush Nahar : So the gross margin, I think what we indicated last time, right, it's largely driven more by the product mix in the international market. So I think you have to look at more at an annual level.

At an annual level, I think what we had indicated is we expect this year to be about 50 basis points higher than what we ended last year, but between quarters, you will have variations depending on the product mix that you have across businesses.

Tushar Manudhane: And therapy-wise as far as the India market is concerned, of course, there's secondary data available, but if you could throw some light in terms of these therapies, we have sort of performed better than the industry and where we have dragged?

Piyush Nahar : So I think Cardiac and Gynaec, Gynaec we have done much better. Cardiac also has been more in line. I think. Others, I think we have more and less in line in the industry which has -- what has driven it before as I talked about is some of the new launches and all which have come up.

Tushar Manudhane: And as far as the emerging market is concerned, where we have seen on a year-on-year basis, sharp increase in the revenue, but how to think about it on an annualized basis for next 2, 3 years?

Piyush Nahar : I think for this year, what we had indicated is that for the emerging markets, we expect to grow in high teens to 20% around that.

Satish Mehta: And again, what will happen to Emerging Markets when we are talking about, say, ARV and non-ARV, ARV is a function of winning the tender, so there is an element of uncertainty. So it's very difficult to predict to know what happens though the company is in a good position. And as far as non-ARV is concerned, that is also a function of getting registration in various countries.

And if you get the registrations for some marquee products that we market in case there will be uptick. So I think one can as Piyush rightly said, when we talk about the base business that I mentioned some time back, normal growth was 2%, that will be the aspiration. But suppose if Emcure Pharmaceuticals Limited

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we get to know some of the products registered for which the number of fights are pending, there will be obviously be an upside.

Tushar Manudhane: And as far as, let's say, operational cost, is it going to have some meaningful increase, let's say, FY '26 FY '27, or is it more to do with like inflation linked increase?

Piyush Nahar : I think it's largely inflation linked and the business growth driven.

Tushar Manudhane: Sir, as far as our business growth is more than the inflation, then effectively, it should help get much superior EBI

TDA margins as we go along right?

Piyush Nahar : Yes, that is the intention.

Satish Mehta: That's what Vik was indicating.

Tushar Manudhane: Yes. So I meant to ask effectively that should reflect in itself, where FY '25 at least the EBITDA margin or Q1, it was similar to the fourth quarter or first quarter. So I'm just trying to ask that when do we see that improvement in the margins?

Vik Thapar : I think what we had guided last time was that even on operating cost side, we should see about 100 basis point improvement vis-a-vis last year on account of both of these areas, a better productivity with the Indian field force as well as some of the scaling of the business and better utilization of our manufacturing facilities. So overall, as the business continues to grow healthy double digits and inflation where it is. That's where we feel bullish that we'll continue to get roughly that 100 basis points of expansion that we had indicated.

Moderator: The next question is from the line of Mr. Alankar from Kotak Institutional Equities.

Alankar: Samit, you mentioned about working on an incremental innovation in GLP-1. Can you please elaborate on that?

Samit Mehta : Sure. So in terms of some of the approved GLPs, we are looking at some tweaking in terms of improving the compliance through different dosage systems and the incremental innovation within the formulation space.

Alankar: Okay. And I mean, currently, our filing both in India as well as markets like Canada would be through the synthesis route, right?

Samit Mehta : Yes, that is going off patent in 2026. The fermentation route, the semisynthetic is going off in 2028. So we'll be fully synthetic right now.

Alankar: Fair enough. The other question was on the Zuventus acquisition. Now due to this acquisition, will there be any change from an operational standpoint in the acute businesses?

Satish Mehta : Nothing changes.
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Alankar: Okay. Fair enough. And the final question is more of a clarification on what Vik just mentioned. I think in the previous call, we had spoken about 150 basis point EBITDA margin expansion for FY '26. So is it 100 basis points or 150 basis points guidance for FY '26?

Vik Thapar : So I was specifically alluding to the opex portion of it as 100 basis points, Piyush just mentioned that we also anticipate 50 basis points expansion in our gross margins based on the product and business mix.

Moderator: The next question is from the line of Mr. Gagan Thareja from ASK Investment Managers Limited.

Gagan Thareja : The first one is on the ARV, I believe there's going to be a retendering cycle this year, later this year. Any idea you can give us in terms of whether funding agencies from a budgeting standpoint are going to be constrained or that is not a constraint whatsoever?

And secondly, Lenacapavir category now has been post the Phase III trials, even WHO strongly recommends for prophylactic benefits to take up in a category? How do you see this evolving over a period of time, do you see Lenacapavir becoming the first line of treatment perhaps in the next 2, 3 years?

Satish Mehta : First question, you take Lenacapavir, Samit will take and I will also chime in.

Piyush Nahar : Yes, on the tendering, I think as of now, we haven't heard anything that there have any constraints on happenings. I think most of the tenders are continuing as normal. So we haven't seen that impact.

Samit Mehta : And in terms of Lenacapavir, absolutely not entirely certain how long the duration will be for that becomes the treatment of choice because different countries and different agencies have to change their adoption protocol. But definitely in the medium term, it should be one of the dominant therapies as far as the ARV space goes.

Satish Mehta : Gagan, one more thing I would like to tell you, if you see the latest issue of economist, they are

extensively covering HIV and a couple of constraints, I would like to flag off one as far as the PEPFAR funding is concerned to restore, but at the same time against \$3.5 billion that they have been giving it has been reduced to \$2.9 billion if I remember correctly.

The second thing that has been happening in the Americas and in the most generous in terms of contributing to global fund, there also the funding has been reduced. So I think what really happens after couple of years as in we Lenacapavir the market. I think the product, this article also says that Lenacapavir is going to be a game changer. But the funding of global funding, PEPFAR funding, then all the governments, which will be interested in buying that will also play a very important role because unlike what is happening right now, like TLD, it is not going to be that cheap. I believe. Samit, can I say that?

Lenacapavir, it's going to be a game changer, but at the same time, there will always be a cost attached to it. So we will wait and watch how it plays out. But it's technological breakthrough.

Let's accept that. It's a big thing.
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Gagan Thareja : And is it possible to give some idea of the EU business growth ex of the bank's numbers, which I believe would have been there in the contribution for the first quarter?

Piyush Nahar : Manx was quite small. It has been about \$1 million to \$2 million in the quarter. I think Manx will ramp up over the quarters.

Gagan Thareja : And is it possible to give any idea of how you see the scale up in Liposomal Amphotericin and Tenecteplase, over the next, let's say, 2 to 3 years what sort of scale? Is it possible here? And also in the other 2 products, which are under trials for you? Any possible idea?

Samit Mehta : Sure. So in terms of Liposomal Amphotericin, like I mentioned, we have approvals in a lot of the major markets, but there are still a few big markets where our product is likely to get approved in the near future. The kind of capacity we have created and the bets we have taken on this product are pretty significant because there are 2 different facilities with large lyophilization capacities that we have installed and are ready to churn out product. So I don't see any constraints coming in, in terms of capacity. And I think the full effect of all the approvals and the max volumes will probably materialize in the next 12 months across different geographies, probably in Europe and UK and U.S. will be more near term in the next 4 to 6 months. But some of the

other big Emerging Markets where the full potential will probably take 12 months.

Satish Mehta : Now the second question that he asked was regarding Tenecteplase and other...

Samit Mehta : Yes. I'll come to that as well. So on Tenecteplase players as well, not only are we seeing new registrations slow in for the original indication of MI, which is your Myocardial Infarction . But surprisingly, there's a lot of interest and uptake also happening, which is doctor driven from those countries for the indication of stroke. There are countries which have started picking up small volumes on a name patient basis they are seeing excellent results, and they are now pushing towards getting full registration, which will then have a log -fold increase in terms of the kind of uptake that happens.

So Tenecteplase is going to be, again, in the next 18 to 24 months, a very dominant product for us. And in terms of the other 2 in the pipeline as far as clinical channel, I'm assuming you're referring to r-Asparaginase and Bevacizumab there as well the trials have been done, keeping in mind a dossier that can be submitted across all the emerging markets.

So for example, for r-Asparaginase , the reference product is the EU approved product. And hence, once that approval comes through, we should also be able to file

across a lot of different

countries where there is a severe unmet need. So overall, across these 4 products, we see the next 18 to 24 months having a significant ramp -up.

Gagan Thareja : Sure. That's great. A final one from my side, sir, Canada, is it -- is the Q1 growth sustainable for the full year?

Vik Thapar : Yes. So in Canada, I think the growth is sustainable. We had basically been guiding to sort of a mid-teens growth rate for the Canadian operation as a whole. And we're very happy with the Mantra acquisition, which continues to track even ahead of our own expectations at the time of doing the deal and some of the synergies, even at a product level being rolled out across Canada
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as a result of that continue to play out. So we are very bullish on continuing that momentum for Canada.

Moderator: The next question is from the line of Bhavesh an Individual Investor. Yes, Mr. Bhavesh go with the question please. As there is no response from the participant, we'll move to the next. The next question is from Bharat Shah from ASK Investment Managers Limited . Please go ahead.

Bharat Shah: Satish bhai, more than a question. I just wanted to site a comment. When you were referring to the ARV portfolio, internationally and the contribution from America to the program, which is supported and you referred to the generosity , which has declined. But I just wanted to say, America and generosity are oxymoron of terms. I thought I'll just put that a little bit of a view on that.

And then to a question , based on the 5 -year region plan that we have done, in terms of capital expenditure on assets, I suppose, more or less we are in place. In other words, it's unlikely that we will be incurring material capital expenditure in buying, putting more assets manufacturing assets. Is that understanding right?

Vik Thapar : I can take that question. So, what we had been guiding to is that we expect annualized sort of capex spending in the range of about INR 350 crores a year. If you look at that, roughly about INR150 crores of that goes towards more repair and maintenance capex and about INR 200-odd crores is earmarked for. Some top -up investments for capacity enhancements or product -specific type capex requirements that we have. So barring anything else. I think that's the range that you're going to see on the capex front. Of course, we will continue to evaluate and be aggressive in terms of any M&A or strategic alliance or in -licensing deals, which may have some capital allocation there, our focus areas are obviously going to be India first and foremost and some of the emerging markets to the extent that we have an opportunity to get some product both on portfolios in places like Europe, like we have recently done in Canada, we'll continue to evaluate as well. But by and large, you're right that most of the infrastructure required to cater to our 4, 5 year growth plan is already well in place.

Moderator: The next question is from the line of Bhavesh an Individual Investor.

Bhavesh: Congratulations on a good set of numbers. My question is with respect to the cash and cash equivalent as on June 30, 2025. So I just wanted the number?

Tajuddin Shaikh : Yes, INR 200 crores.

Bhavesh: Including the investment?

Tajuddin Shaikh : Yes.

Bhavesh: So why there is no other income in this quarter then?

Tajuddin Shaikh : There's a very small amount of other income. The amount of cash is at the end of the quarter. Throughout the quarter, you don't have cash used to reduce debt.

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Bhaves: And one more thing , sir, I'm a user of your Emcure Aqua Oat Moisturizing Cream . And just wanted to provide an honest review about it. So it's a really good formulation and the cream does the job quite well. So I just wanted to appr

eciate it. And will be a consumer and also a long -term shareholder of the company. Thank you.

Satish Mehta : Bhaves, you are going to get line extension and absolutely super packing top of the line matching the global standards in the next 2 or 3 months. And we share one thing in common.

I'm also a big time fan of Aqua Oat and I also utilize the product. Ex tension, which is quite exciting. And I like it. If somebody likes my product, it makes me feel happy .

Bhaves: So I'm using it for the last almost couple of years. So one Derma she recommended me. So she was the HOD of KEM hospital. So she recommended me that go for Aqua Oat , it will reduce your sensitivity of the skin. So it has been a helpful cream for me. And it's the plus point of the cream is a fragrance free. So a lot of screens in the market have fragrance and alcohol. So that doesn't seem ...

Management: I mean many times what really happens, so I've seen that on some fragrance, so it goes for i tching also. That also happens.

Bhaves: I have one package at home like whenever it gets over, I bought another one. So thank you for you and all the best for the future quarters.

Moderator: Thank you as that was the last question for the day, I would now hand the conference over to Mr. Piyush Nahar for closing comments. Over to you, sir.

Piyush Nahar : Thank you all for joining today's investor call. If any of your queries will remain unanswered, please feel free to get in touch with us. Thank you.

Satish Mehta : Thank you very much. This is Satish Mehta. Your feedback means a lot to me . We feel very enlightened by the inp uts given. And we are committed to improve , committed to take whatever suggestions coming from you very, very seriously. And we will go to for your company with more vigor than ever before, because you give us a lot of motivation. Thank you very much.

Moderator: Thank you. On behalf of Emcure Pharmaceuticals Limited , that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Nov 2025

Emcure

Emcure Pharmaceuticals Limited

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E-mail: corporate@emcure.com Website: www.emcure.com CIN: L24231PN1981PLC024251 Ref: EPL/CS/SE/ 0089 /2025

Date: November 17 , 2025

To,

National Stock Exchange of India Limited

Exchange Plaza, C-1, Block G,

Bandra Kurla Complex, Bandra (East),

Mumbai – 400 051

Script Symbol: EMCURE BSE Limited

P J Towers,

Dalai Street,

Mumbai - 400 001

Scrip Code/Symbol: 544210 / EMCURE

Dear Sir/Madam,

Subject : Transcript of Earnings Call – Q2 FY26

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and further to our intimation dated November 03 , 2025 , please find enclosed the transcript of the Earnings Call for Q2 FY26 , held on Tues day, November 11 , 2025 at 03.00 p.m. (IST) .

The above -mentioned transcript is also being uploaded on the website of the Company i.e. www.emcure.com .

You are requested to take the above information on your records.

Thanking you,

For Emcure Pharmaceuticals Limited

Chetan Sharma

Company Secretary & Compliance Officer

Membership Number: F8352

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"Emcure Pharmaceuticals Limited

Q2 FY '26 Earnings Conference Call"

November 11, 2025

MANAGEMENT : MR. SATISH MEHTA – MANAGING DIRECTOR & CHIEF

EXECUTIVE OFFICER
MR. TAJUDDIN SHAIKH – CHIEF FINANCIAL OFFICER
MR. VIKAS THAPAR – PRESIDENT , CORPORATE
DEVELOPMENT , STRATEGY AND FINANCE
MR. SAMIT MEHTA– WHOLE -TIME DIRECTOR
MR. PIYUSH NAHAR - EXECUTIVE VICE PRESIDENT ,
CORPORATE DEVELOPMENT AND STRATEGY

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Moderator : Ladies and gentlemen, good day, and welcome to Emcure Pharmaceuticals Limited's Q2 FY '26 Earnings Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Piyush Nahar. Thank you, and over to you, sir.

Piyush Nahar : Thank you, Danish. Good afternoon, everyone. Earlier today, we released our financials for the second quarter of fiscal 2026, along with the press release. These are also posted on our website.

We hope you all had the opportunity to review it.

I'd like to bring to everyone's notice that this call is being recorded and the recording and transcripts will be available on our website. To discuss the business performance and outlook, we have on the call our Managing Director & CEO, Mr. Satish Mehta; our CFO, Tajuddin Shaikh; our Whole -time Director, Samit Mehta; and President - Corporate Development Strategy and Finance, Vikas Thapar.

Before we begin, I want to remind everyone about the safe harbor related to today's investor call. Today's discussion may include certain forward -looking statements, which must be viewed in conjunction with the risks that our business faces that could cause our future results, performance or achievements to differ significantly from what is expressed or implied by such forward -looking statements.

At the end of the call, if any of your queries remain unanswered, please feel free to contact us. I will now request Mr. Satish Mehta to provide the opening remarks. Thank you, and over to you, sir.

Satish Mehta : Thank you, Piyush. Good afternoon all. This is Satish Mehta. It's a pleasure to speak to you post our second quarter FY '26 results. During the quarter, we saw sustained momentum in all our businesses, which helped us to deliver overall revenue growth of 13% year -on-year; and our highest quarterly profits of INR 251 crores, representing a 25% PAT growth with highest quarterly profits of INR 251 crores. We remain on track to deliver the high -level guidance we have given at the start of the year.

As I have been communicating all along, partnerships with best-in-class MNCs to complement our business and internal R&D efforts will continue to be an important part of our growth strategy.

You would have seen our announcement yesterday that we have partnered with Novo Nordisk to build a second brand of semaglutide, Poviztra, this is a step in that direction. This indeed is a key initiative for us.

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We have been talking about how we see significant potential in the GLP market, given the fact that India has 25 crores obese /overweight population. The partnership gives us an early entry in the obesity market versus the rest of the competition and positions Emcure to shape it.

Now let me provide you with key business updates for the quarter. Overall, we continue to execute on our strategy of growing in teens and improving base margins. We continue to invest in top -class people, processes and products.

Coming to the domestic business, we continue to see good traction in the business. We are executing well on our strategy. The benefits of this are reflecting in our growth with the business growing higher than the industry at 11% in the quarter. We saw growth in all our key segments, namely , gynec and cardio. Our new areas of derma, consumer and diabetes continue to do well, and we are ramping up as per our expectations.

We have now completed the purchase of the minority stake in Zuventus, which allows us to fully

consolidate the business. We also expect some synergies on the back -end going forward. We remain confident that we will continue to grow above industry.

Now I would like to move to the international segment. Our International segment grew strong at 16% plus, with all geographies seeing strong traction. Europe saw a very strong growth of 22% in the quarter, led by ramp -up of Amphotericin B and some benefits of Manx that we acquired about which we spoke to you in the past. We expect Amphotericin B to see launches across Europe by year -end. Our Canada business continues to see strong growth and grew 17%, led by market share gains and new launches.

Our Rest of the World business growth was led largely by non -ARV segment, which grew in teens. We have a strong product pipeline and are very positive on the growth going forward. Let me conclude by saying, overall, we are progressing well in our 5 -year plan to take Emcure from good to great.

With these remarks, I will now pass on the call to Mr. Taj, my CF O, to share the financial details of the last quarter with you before we open the floor for question and answer. Thank you very much.

Tajuddin Shaikh : Good afternoon, everyone. Thank you for joining us today. I'll take you through some of the key financial highlights for the second quarter. Revenues from operations for the quarter grew 13.4% YoY to INR 2,270 crores, up from INR 2,002 crores in quarter 2 of FY '25. The domestic business grew by 10.6% YoY to INR 1,031 crores, this is led by strong performance across all key therapies. International markets maintained strong growth momentum, growing 15.8% YoY , INR 1,238 crores.

Europe saw a strong growth of 22.7% YoY , reaching INR444 crores. Canada reported a healthy 17.5% growth to INR 348 crores. The emerging markets grew 8.6% YoY to INR 446 crores, with strong contribution from non -ARV portfolio.

Gross margins for the quarter stood at 60.8% versus 60.6% in Q2 of FY '25. The change was driven largely by product and business mix. EBITDA excluding other income was up 15.2%

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YoY to INR 439 crores. EBITDA margin stood at 19.3% versus 19% in Q2 FY '25 and 19.2% in Q1 '26, supported by our operating leverage and productivity gains.

Depreciation and amortization for the quarter was INR 105 crores. Interest cost was INR 33 crores. The effective tax rate stood at 26%. Profit after tax came in at INR 251 crores, showing strong growth of 24% YoY . Net debt for the quarter was at INR 837 crores. The debt has increased primarily due to partial payout of the ZHL stake purchase.

With that, I will look forward for questions.

Moderator: Thank you very much. The first question comes from the line of Foram Parekh from Bank of Baroda Capital Markets. Please go ahead.

Foram Parekh : Congratulations on the good set of numbers. My first question is on the Novo Nordisk deal that we have announced yesterday. I see that we are the exclusive distributor on this Novo Nordisk thing, semaglutide. So how big do we see this opportunity to be? Can it be bigger than the Sanofi's in -licensed portfolio? Some color that if you can just share, how big do you see this opportunity?

Vikas Thapar : Yes. This is Vik. I'll take this question. So obviously, in terms of potential, as the CEO mentioned, there's more than 250 million people living in India with generalized obesity. And if you add abdominal obesity, the population is as high as 350 million.

So obviously, the scale of this challenge of obesity or people being overweight is very, very large. While we don't want to put a number to how large the opportunity could be, but we believe that it has certainly a large potential.

And obviously, we're excited about the partnership with Novo to handle the brands for this drug because we feel that having an early -mo

vement advantage and an opportunity to shape this market

will allow us to fully capture our share of that potential market that will play out over time.

Foram Parekh : Yes. That's helpful. But I was just looking out like in a chronology if we have to do it. Like Sanofi's in -license portfolio would be around INR 200 crores for us. So do you expect this opportunity to be bigger than the Sanofi's opportunity?

Satish Mehta : If you allow me to say, as far as Sanofi is concerned, we got the portfolio which was already existing, means it is known. They have been promoting these products for a very long time. This product we will be launching and we're going to various segments for the first time. So let it play out over a period of time, and we'll keep you posted on a quarterly basis about the progress that we are making.

Foram Parekh : Sure. That's helpful. My second question is on the margins front. I see EBITDA margin is around 19% for a couple of quarters now, 8 to 10 quarters in a row. So would it be fair to assume that our EBITDA margin will be stable around 19% or do we expect it to increase going forward?

Piyush Nahar : So Foram, I think what we have even guided at the start of the year, we expect the margins to go up. So this quarter's 19.3% odd that we are seeing that includes the new Sanofi in -licensing
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that we did. So I think what we have guided for is we expect this year the base margins to improve by about 150 basis points. I think we'll be on track for that.

Foram Parekh : Sure. Okay. And my last question is on the debt side. I think a couple of quarters back, we had alluded to becoming debt free in FY '26. But this quarter, in this H1 balance sheet, I see debt increasing. So are we on track to become debt -free by the FY '26?

Piyush Nahar : So Foram, when we have guided for FY '26, that was without any acquisitions. As you have noticed in this quarter end, basically in the last few months, we have acquired the remaining stake in Zuventus. So the debt increase that you are seeing is because of that. So I think with post that acquisition, we expect now to be debt -free by end of next year. So it'll take about 18 to 24 months.

Foram Parekh : Okay. That's helpful. Thank you.

Moderator: Thank you. Our next question comes from the line of Tushar Manudhane from Motilal Oswal Financial Service. Please go ahead.

Tushar Manudhane : Sir, firstly on Poviztra, where patent expiry is sort of in March '26 anticipated. So from that perspective, how does this deal help? Because in this case, we are not going to use Innovators brand. And do we have area demarcation in terms of certain regions or areas where there will be sort of exclusivity for Emcure or certain areas where Novo Nordisk will be selling? If you can clarify these two please?

Vikas Thapar : I think if you look at the construct of this deal, obviously, post -LOE, we anticipate a very crowded market in India. And so the ability to partner with Novo and launch this brand ahead of the competition and allowing ourselves to shape the market and have brand recall versus being lost in the crowd probably 4, 5 months down the line is something that we feel strongly will allow us to succeed in terms of our aspirations for the market share and what we think the potential of the brand is.

In terms of the market, obviously, one of the rationale for Novo to look to partner this product is based on Emcure's strength not only in terms of our distribution network across India, but our more than 5,000 field force covering various specialties. And we think that this is a brand that obviously has co -morbidity issues and can be prescribed by a number of different specialists. And so Novo is very excited about partnering with a company like Emcure, where we can take this brand to the nook and corner of India as well as, some of the specialties, parti

cularly where

Emcure is already very strong.

Satish Mehta : Let me add something Tushar, for you that as far this Poviztra is concerned at the global level, it has been used to go by almost 40 million people. The other thing as far as Novo is concerned, they have enormous amount of clinical data, a lot of Phase IV data and also the real data.

So to that extent, what will happen in terms of science, I think it will be of tremendous help in shaping the market because as far as this particular product is concerned, this is in terms as biological injectable, not a chemical entity. To that extent, having this product in shaping the
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market will go a long way because we'll be going with enormous amount of scientific data when we go to the doctors.

Tushar Manudhane : Got it. And just secondly, just in terms of is there any area demarcation or certain areas to be addressed by you or you will be sort of able to sell even where Novo Nordisk is selling?

Vikas Thapar : Yes. We'll be able to sell where Novo is also selling.

Tushar Manudhane : And secondly, on the balance sheet side, there is a reasonable increase in the inventory for the past 6 months. Is this to do with certain product launches for export or for Indian market, if you just clarify on that as well?

Tajuddin Shaikh : Yes. So what happened is for the European market, we are anticipating some new launches and even the Canadian market, and that's where the inventory has gone up. So inventory based on the forecast for the H2, the H2 forecast is a bit higher. On that basis, inventory has been accumulated to that. Over the next 6 months, we see inventory normalizing .

Tushar Manudhane : Got it. Thank you. That's it for my side .

Moderator: Thank you, sir. Our next question comes from the line of Sudarshan Padmanabhan from ASK Capital.

Sudarshan Padmanabhan : Yes, thank you for taking my question. Congrats on a good set of numbers. My question is when

we look at the last 3 to 4 quarters, we have done very well in terms of penetrating into the chronic space, cardio diabetes, whether it is through acquisition or in -licensing. If I look at probably the way things are moving forward with the tie-up with Novo Nordisk, this seems to be gathering well. So some color with respect to how do we see the chronic portion of the business improving from here and also on the newer therapies?

The second part of the question is partly you answered about the MR activity earlier that we are one of the very few companies who have built a fair amount of manufacturing capabilities as well. So as these manufacturing capabilities comes into the fore in terms of complex launches globally, I'm looking about more of longer term, how do we see the business moving towards, say, 25% and where do you see the coverage?

Satish Mehta : No. As far as chronic is concerned, of course, about association with Sanofi or even for that matter, the products with the company is launched in terms of chirality and others. And I am also inclined to take, as far as gynec is concerned, it is sub -chronic. So that will keep on getting traction as we go along. And semaglutide will also come in the same category because as far as semaglutide is concerned, we also possibly have a treatment over a period of 6 to 8 months as I understand. So chronic business, going forward, we will keep on getting traction.

Vikas Thapar : I think on the second part of your question regarding the margin expansion and the in-house manufacturing capabilities, I think directionally, that's absolutely correct that if you look at our pipeline, we have a very exciting mix of some complex injectables, some of the biosimilars we want to take to the emerging markets. And so some of these products, obviously having control

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of the supply

chain and the manufacturing in-house is going to bode well in terms of launching these in various markets internationally.

And I think we have guided all along that over the next 3 to 4-year horizon, as the product mix changes and also in the domestic market with some of the addition of the chronic portfolio ramping up, we do think that the margin expansion happens along with the MR productivity going up as well.

Having said that, I would also just urge you to think about, as we highlighted that an important pillar of our growth will continue to be in -licensing opportunities with some of the leading MNCs. And so obviously, to that extent, those margins have to be sort of looked at in conjunction with those opportunities.

But obviously, those opportunities tend to be very ROCE lucrative. And so to that extent, if you look at the base business and the product mix of that, we're very, very bullish in terms of expanding our margins, as we have guided. But then, of course, we also will continue to look for these types of layering on opportunities of in -licensing arrangements that will still be very cash flow positive and ROCE positive into the whole mix.

Sudarshan Padmanabhan : Sure, sir. Do you have any target in mind with respect to how much of chronic are we targeting, say, in two, three years and how much margin we would be looking at?

Piyush Nahar : I think for us, the focus will be to grow the chronic. But also the other pillar for us, a big pillar is the women's health, right, which effectively gets classified as acute. So there also, we see a lot of opportunities. So it's not going to be very significant because we see both of the pillars going quite well.

Sudarshan Padmanabhan : Sure. So one final question before I join back the queue is as we scale up and as the profitability improves, our ability to generate cash also improves quite drastically. So how do we look at deploying the cash? I mean would our target be more so towards domestic? If so, what are we looking at? Or is it export market? So what are we looking at over here?

Vikas Thapar : Certainly, I think we have stated in the past as well that M&A will continue to be an important part of our growth strategy. And to that extent, domestic market, which is our single largest market, we will definitely be active in looking for M&A opportunities there. There will obviously be a combination of certain segments where we're barely present or not present today. So if we have an opportunity for portfolio that allows us entry or more meaningful entry into a segment, that's something we would certainly evaluate. Segments where we're already strong, obviously, we want to build on our strength there. So if we have a complementary portfolio that we can add in the segments where we're strong and present is another area we would certainly be aggressive on looking at for the domestic market.

Outside of that, in the rest of world markets, there's probably a dozen or so key markets where we think have a bright future. We're obviously already strong in Canada, in U.K. and other parts of Europe. So if we have bolt-on acquisition opportunities to add to what we already have there and the team that already is handling the front end in those markets, certainly, we would look at

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M&A opportunities, like we did, for example, with the Manx portfolio recently earlier this year in the U.K. market.

So I would say, these are the key areas that we would focus on in terms of deploying some of that cash that we're able to generate.

Sudarshan Padmanabhan : Sure, thanks a lot. I will join back in the queue.

Moderator: Thank you. Our next question comes from the line of Utkarsh Kedia from BFS. Please go ahead.

Utkarsh Kedia : Thank you so much for the opportunity. I actually wanted to ask , how the new drug Poviztra is different

from Mounjaro? And can we meet the growth levels of Mounjaro in India?

Samit Mehta : Yes. The two molecules, they are different. Obviously, Poviztra is semaglutide, and is the second brand of Wegovy, which is semaglutide. Mounjaro is tirzepatide. So that's the difference between the two. And we strongly believe that the kind of success that Lilly is seeing with Mounjaro can be replicated even with this product, given that there's much more extensive data and some additional indications that this has a approval for.

Utkarsh Kedia : And also one more question. Can you please throw some light on the biosimilar space? How it is progressing as of right now?

Samit Mehta : Sure. So on the biosimilar space, from our existing portfolio, we are seeing more approvals in the emerging markets for tenecteplase , both for myocardial infarction as well as the acute ischemic stroke indication.

And as far as the pipeline goes, we have completed our Phase III of Bevacizumab. We believe it's gone up very well, and we should be submitting our file for evaluation by the SEC and subsequent approval by the regulators in the next few weeks.

Utkarsh Kedia : Okay, sir. Thank you so much. That answers my questions.

Moderator: Thank you. Our next question comes from the line of Alankar Garude from Kotak Institutional Equities. Please go ahead.

Alankar Garude : Sir, is there now any restriction on Emcure launching the generic presence of Ozempic or Wegovy in international markets?

Vikas Thapar : No. This agreement with Novo is specifically for the Indian territory, no restrictions for outside of India.

Alankar Garude : Okay. So basically, our plans, Vik, for filing in Canada by the end of this fiscal will continue as planned?

Vikas Thapar : That's correct.

Alankar Garude : Okay. The second question is, can you talk about the performance of the Sanofi portfolios more in detail, both the cardiac one as well as the diabetes one? Because last year, we had seen after

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the restructuring exercise, some erosion in sales in the cardiac portfolio. So, if you can just, maybe if not quantitative, qualitatively comment on how has been the growth in cardiac as well as diabetes?

Piyush Nahar : Yes. I think the cardiac portfolio is now back starting in line with the industry growth. So there, I think , as we had even last quarter mentioned, we are seeing normalization now. I think there, as we mentioned the one idea for taking up portfolio is growing our own brands. And that synergy effect now we are seeing reflecting out. So the last few months , we have seen some of our own products, which go as co -prescription, there, we are seeing enough significant uptake, which is helping drive the cardio portfolio overall.

Diabetes, it's been two, three months. Initially, they're tracking very well. I think Sanofi, if you look at historically, they have not been focusing on this portfolio. So with us now actually promoting it out, we are seeing a healthy growth there in that portfolio. So it's tracking in fact better than what we had even targeted out.

Alankar Garude : Got it. So the other question is, we spoke about licensing earlier as well, and then when we announced this deal yesterday. Given the focus on licensing, is there any threshold you have in mind at which you want to keep the contribution of the in-license portfolio in India?

Vikas Thapar : Yes. I mean I think, in aggregate, with our mindset is that if we can do deals that are somewhere in the ballpark of mid -teens EBITDA margins and then has a rub -off effect on our entire portfolio, I think that would be sort of a high -level threshold.

But then obviously, each deal in each product category will have its own dynamics at play, which may deviate slightly up or down from that. But broadly speaking, I think that's the threshold that we would try to touch for, as

an aggregate for all the in-licensing deals.

Alankar Garude : Vik, my question was more around the sales contribution of the licensing portfolio, the in-license portfolio for the domestic market. So is there any threshold you have in mind around the sales contribution for that?

Satish Mehta : It's difficult to say, the threshold or what is the percentage because as far as we are concerned, when building the company, there are three areas which are very close to our heart. Number one, that we should keep on building on the big brands that we have. That's one area which we'll be focusing.

Second area, as far as R&D is concerned, it's probably best in class. So we are very strong, one of the rare companies which is strong in biologics and chemistry and very good front end in terms of formulation.

And the third area is in-licensing. To that extent, as we go for in-licensing number 1 and number 2, as you know, building our own brands. And apart from that, the second one, coming through from our R&D, that also is going to play an important role.

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So to that extent, the bias always be in terms of ensuring that we don't become disproportionately from, what I would say, dependent on the in-licensing deals. Our endeavour is obviously to get products from our R&D and make our brands bigger.

Vikas Thapar : I think it's also a function of we have a number of divisions across different specialties with our field force calling on specialists across. So, wherever we think that there's in-licensing opportunity along with either an existing team or a team that comes with that opportunity, where we think we could do justice to it and it's going to be accretive to our overall profitability; we wouldn't certainly rule it out.

So there's no threshold as such. I think what the CEO said is, the first preference is obviously going to be to keep building our own portfolio. And where we can complement it with in-licensing and it meets those aspects, we will certainly continue to look for more and more of those opportunities.

Satish Mehta : And just to add to what Vik said, say, for example, the diabetic portfolio that we got from Sanofi, and I also mentioned in my last meeting that as far as diabetology is concerned, we need to do a lot of work. So with this particular portfolio and Sanofi people also joining post their retirement or whatever, in Sanofi, it is obviously helping our products as well. And that is also going to play an important role as we go along.

Alankar Garude : That's helpful. The other question was on the international markets. Firstly, on ARV pricing, how has been the pricing over the last few tenders, say, for instance, we had the South African tender recently? And broadly, can you comment on the outlook for the ARV business, especially out of India?

Piyush Nahar : So, Alankar, the pricing has been largely stable. I think even in the new South Africa tenders and all, we haven't seen much impact on the pricing. So that has been stable. I think for our perspective, we have quite a good, healthy order book. So we have visibility for the current year and even the next year.

Satish Mehta : Yes, Alankar, really, this was the outlook for the very recent, you know, the recent tender for South Africa has gone our way. So not only current year, but we are also covering for the next year. So that's going on well.

Samit Mehta : And then, of course, Lenacapavir, we are getting closer. We should start applying for submission and approval across different countries and that should drive. We are also in talks with a few of the other innovator companies for their novel molecules. So the pipeline is also very healthy in terms of whatever the upcoming treatment regimens are.

Alankar Garude : Got it. And one final clarification. Then, Piyush,

you talk about margin expansion of 150 basis

points base margins, you said. You are excluding the Sanofi diabetes as well as the Novo deal, right?

Piyush Nahar : Yes.

Alankar Garude : Understood. Yes, that's it from my side. Thank you.

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Moderator: Thank you. Our next question comes from the line of Rajakumar Vaidyanathan from RK Investments. Please go ahead.

Rajakumar Vaidyanathan : Thanks for the opportunity. Sir, my question is on the Sanofi portfolio. So first question is, do you expect, given that these brands have a less or low penetration in Tier 2 and Tier 3 cities? Do you expect the growth from this portfolio to be better than the other domestic pharma segment?

Piyush Nahar : I think the Sanofi portfolio, if you look at, these are all quite old molecules, right? So, they have a brand recall even in the smaller markets, but I think where the business has been done well is they have not been promoted for the last many years. So, we do expect, it to see revival. I think what we are targeting is to grow more in line with the industry.

Rajakumar Vaidyanathan : Okay. And the second question is currently, you have a distribution and marketing agreement. So, I don't know whether these products are produced by Sanofi's own factory or is they're using CMOs to do. So is there an opportunity to kind of get that piece also over a longer period of time?

Piyush Nahar : So as of now, these are mostly produced by Sanofi.

Rajakumar Vaidyanathan : Okay. So you're looking at leveraging this partnership further? Or it will kind of stay here for the medium term?

Satish Mehta : Very difficult to say as of now.

Vikas Thapar Yes, I think in terms of looking at, you know, Emcure playing a role in the manufacturing, it's something that obviously, if it would make sense to both sides, it's something that is a conversation that we could have from time to time, but that's not a priority in terms of the sales and distribution aspect of the partnership.

Rajakumar Vaidyanathan : Okay. And lastly, Sanofi has kind of stopped the R&D on diabetes segment for a long time before. So I just wonder if at some point of time, if they want to divest the portfolio with, will Emcure be interested to acquire those brands?

Satish Mehta : That is speculation. We will see. Of course, having said that, you know, one thing you know that as far as we are concerned, we want to play a bigger role in metabolic. So, to that extent, any opportunity comes our way, we will be more than happy to look at it favorably.

Rajakumar Vaidyanathan : Okay, sir. Thank you so much.

Moderator: Thank you. Our next question comes from the line of Rahul Jeewani from IIFL Capital Services Limited. Please go ahead, sir.

Rahul Jeewani : Yes. Thanks for taking my question. Sir, on this domestic business growth of 10.5%, which we have seen during the quarter, can you comment in terms of what was the organic growth for the portfolio excluding the Sanofi oral anti-diabetes brands?

Piyush Nahar : Yes, except that, it has been at 8.5% -9%.

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Rahul Jeewani : Okay. So and this quarter, you would have seen the, let's say, contribution from the diabetes portfolio to the extent of 2 months?

Piyush Nahar : Yes, roughly about 1.5 months.

Rahul Jeewani : Okay, sure, sir. And so 8%, 8.5% growth on the organic side?

Piyush Nahar Yes.

Rahul Jeewani : Sure, sir. And sir, obviously, last year or let's say, in the last few years, we got impacted in terms of organic growth in the India business because of patent expiry for FCM. But now given that FCM patent expiry is also in the base, when do you think that this organic growth for us, let's say, starts moving to a double-digit kind of a number?

Piyush Nahar : So if you look at last quarter, in Q1, we were at double digit. I

think last quarter, as you have

noticed across the industry, there was some impact that we had because of the GST changes. So

I think going forward, we should be at that double-digit growth level.

Vikas Thapar : I think what we've continued to guide is that organically, we would look to be at industry growth rates plus 100 to 200 basis points.

Rahul Jeewani : Okay. Sure, sir. And sir, on the semaglutide opportunity, can you also talk about the manufacturing strategy for the product? So I would assume that there is patent expiry, you might be importing the product into India. But once the patent goes off, is there an option to manufacture the product locally here in India?

Vikas Thapar : In fact, this is the re global product. So they will continue to be importing the product for us to market and distribute in India and no plans to locally manufacture. In fact, obviously, having the global product for access to Indian market, we think, is going to be a huge benefit in terms of giving access to patients to a product that is, like the CEO said, being used by millions of patients worldwide, the exact product.

Rahul Jeewani : Okay. Sure, sir. Those are the two questions from me. Thank you.

Moderator: Thank you. Next question comes from the line of Gagan Thareja from Groww Mutual Fund. Please go ahead.

Gagan Thareja : Yes. Good afternoon. I hope I'm audible?

Moderator: You are audible. However, your voice is low.

Gagan Thareja : Okay. All right. So, the first question is on semaglutide. I think, in the past, you indicated you are vertically integrated and you want to get into the Indian market for semaglutide. So while the deal is for one segment of semaglutide brand and prescriptions, would you be launching your

own generic version of Ozempic in the market in India?

Vikas Thapar : No. For the Indian market, I think while we were pursuing our own development, I think, in light of this deal, which we believe for Emcure, partnering with Novo is a much more lucrative
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opportunity to really grab market share and shape the market. So, for the Indian context, basically, we'll be relying on our deal with Novo for promoting the second brand of semaglutide.

Gagan Thareja : Okay. And Zuentus balance share that you acquired, will it be effective from the coming quarter, will it basically show up in the minority interest being reduced?

Vikas Thapar : That's correct. In fact, it was completed in the first week of October itself. So you'll get the benefit of that for pretty much the entire quarter going forward.

Gagan Thareja : Great. And on the RoW piece, while this quarter, you indicated ARV related sales perhaps were not very strong and the sales were driven by ex-manufacturer ARV. How do you see the balance of the year for both RoW, Europe and Canada, if you could give some idea?

Piyush Nahar : So, for Europe, I think we are seeing good traction of this. Amphotericin B, we should get in all the markets in the second half of the year. So, we expect to continue doing well there. Similarly, Canada, I think continues to grow at mid-teens for us, and we do not see any challenge there.

I think, on the Rest of the World, especially the ARV, there is lumpiness in quarters that you see. But what we have, mentioned earlier also that we have a good healthy order book. So we have quite good visibility for the current year and even a large part of next year out there.

Satish Mehta : Yes. Non-ARV continues to grow much better than ARV. On the back of, what I would say, we are getting from the various regulatory agencies.

Gagan Thareja : Right. And the final one on the operating margins while there's an improvement year-on-year adjusted for FX, as you have still shown in your numbers, it's around 20 basis points. So while the full-year guidance is around 150 basis points, I think on 1H, we would have improved, but

not to that extent.

So is it then, you know, reasonable to infer that second half operating margins year-on-year improvement would be substantial? Second half last year, I think, was relatively weaker than first half.

Piyush Nahar : Yes, that is correct. I think given some of the launches and I think what we are seeing in the domestic side, we do expect the second half to be much better versus last year.

Gagan Thareja : Okay. Thank you.

Moderator: Thank you. Our next question comes from the line of Alankar Garude from Kotak Institutional Equities. Please go ahead.

Alankar Garude : Thank you for the follow up. Sir, on Amphotericin B, which all markets have we launched in Europe currently and which are the other markets you are looking to add by the end of this fiscal?

Tajuddin Shaikh : We have launched it in Italy at present. The rest of the launches would be probably later during this quarter. Italy is where we launched the product right now.

Piyush Nahar: So UK we had launched last year. I think in the other European, Italy, we have recently launched.

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Samit Mehta : We should have launches in some of the other Western European countries like France, Germany in the remaining part of this financial year.

Alankar Garude : Okay. So UK and Italy is done and then the others will be in the second half?

Tajuddin Shaikh : UK was launched last year, and the others will in the second half.

Alankar Garude : Yes. Okay. The second one is, can you just take us through the progress of Tenecteplase for the stroke indication across markets? How is the acceptance being? And maybe if you can talk about India as well.

However being the registrations ongoing, is there any resistance to the acceptance of this product? Or any highlights there? And when should we see a meaningful upside from the stroke indication for Emcure across markets?

Samit Mehta : Yes. So in India, I think the acceptance is pretty strong. In terms of the other markets, the focus is more on the myocardial infarction indication. There are a few markets in which we have got some doctor-initiated demand without registration for the stroke indication.

And from whatever we have heard from those case studies, the results are positive which is now becoming a little bit of a precursor for formally initiating the registration process in those countries as well. But currently, most of the approvals that we're getting in the emerging markets is for the original myocardial infarction.

Alankar Garude : Understood. Yes, I think that's it from my side. Thank you.

Moderator: Thank you. Our next question comes from the line of Bhavesh, an Individual Investor. Please go ahead.

Bhavesh: Good afternoon, team. All my questions have been answered. Just wanted to thank Sati sh ji and his derma team for an upgraded line of the derma products, especially the Ureaderm , which I tried recently, and it's an amazing product. And the packaging itself is quite premium perfectly targeting the Gen Z. So quite thankful for it. That's it from my side, and all the best.

Vikas Thapar : That's great to hear, and I appreciate the compliments. In fact, it's a Canadian product. And so we're very excited about the launch and the repackaging. And I'm glad to hear that you're having a goo d experience with it.

Moderator: Ladies and gentlemen, since there are no further questions from the participants, I now hand the conference over to Mr. Piyush Nahar for the closing comments. Thank you, and over to you, sir.

Piyush Nahar : Thank you. Thank you all for joining today's investor call. If any of your queries still remain unanswered, please feel free to get in touch with us. Thank you.

Moderator: Thank you, sir. Ladies and gentlemen, on behalf of Emcure Pharmaceuticals Limited, that concludes thi s conference. Thank you for joining us, and you may

now disconnect your lines.

Call: Feb 2026

Emcure

Ref: EPL/CS/SE/0013/2026

To,

National Stock Exchange of India
Limited

Exchange Plaza, C-1, Block G,
Bandra Kurla Complex, Bandra (East),
Mumbai -400 051 BSE Limited

P J Towers,

Dalal Street,

Mumbai -400 001 Date: February 10, 2026

Scrip Code/Symbol: 544210/ EM CURE

Script Symbol: EMCURE

Dear Sir/ Madam,

Subject: Transcript of Earnings Call-Q3 FY26

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and further to our intimation dated January 22, 2026, please find enclosed the transcript of the Earnings Call for Q3 FY26, held on Wednesday, February 04, 2026 at 04:00 p.m. (1ST).

The above-mentioned transcript is also being uploaded on the website of the Company i.e. www.emcure.com.

You are requested to take the above information on your records.

Thanking you,

For Emcure Pharmaceuticals Limited

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Amruta Y angalwar

Company Secretary & Compliance Officer

Membership Number: A25687

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Q3 FY '26 Earnings Conference Cal I"

February 04, 2026

MANAGEMENT : MR. SATISH MEHTA – MANAGING DIRECTOR &
CHIEF EXECUTIVE OFFICER

MR. TAJUDDIN SHAIKH – CHIEF FINANCIAL OFFICER

MR. SAMIT MEHTA– WHOLE -TIME DIRECTOR

MR. VIKAS THAPAR – PRESIDENT , CORPORATE

DEVELOPMENT , STRATEGY AND FINANCE

MR. PIYUSH NAHAR –EXECUTIVE VICE PRESIDENT

CORPORATE DEVELOPMENT AND STRATEGY

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Emcure Pharmaceuticals Limited

February 04, 2026

Moderator : Ladies and gentlemen, good day, and welcome to Emcure Pharmaceuticals Limited Q3 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Piyush Nahar , EVP, Corporate Development and Strategy . Thank you, and over to you, Mr. Nahar.

Piyush Nahar: Thank you, Renju. Good afternoon, everyone. Earlier today, we released our financials for the third quarter of fiscal '26, along with the press release. These are also posted on our website. We hope you all had the opportunity to review it. I'd like to bring to everyone's notice that this call is being recorded, and the recording and transcripts will be available on our website.

To discuss the business performance and outlook, we have on the call our Managing Director and CEO, Mr. Satish Mehta; our CFO, Tajuddin Shaikh; Whole -Time Director, Mr. Samit Mehta; and President, Corporate Development , Strategy and Finance, Mr. Vikas Thapar.

Before we begin, I want to remind everyone about the Safe Harbor related to today's investor call. Today's discussion may include certain forward -looking statements, which must be viewed in conjunction with the risks that our business faces that could cause our future results, performance or achievements to differ significantly from what is expressed or implied by such forward -looking statements. With this, I'll ask Mr. Satish Mehta to give his opening statements.

Satish Mehta : Thank you, Piyush. Good afternoon to all of you, and thanks a lot for joining us today. On behalf of the Board, management team and myself, I wish all of you a very, very happy and successful 2026. I mean, just step back and look at 2025 . In my career this has been one o

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difficult year, full of challenges and tariff war, all equations which were established over a period of time being questioned, geopolitical disturbances, political upheavals, I have not seen something similar, which happened in 2025 in my career.

But at the same time, we at Emcure view this period as one that strengthened our organization, sharpened our focus, improved our resilience and reinforced our commitment to long -term value creation. FY '26 marks the first year of our 5 -year strategic road map. This road map is designed to consistently deliver higher revenue growth, improved operating margins, healthier returns on capital, stronger cash flows, enabling us to build a more durable business that compounds value year after year.

I mean, let me step back and tell you when I started promoting our brands our brands in mid - 1995. That's the time, as any other comp any does, we went in for branded generic products and after that we moved to specialty on the back of science, technology, innovation that we have, about which I keep on talking in every call . What we have done is , we gave maximum number of differentiated specialty products in last 20 -25 years. Emcure~

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We gave the concept of chirality, we gave iron anemia, the market we dominate because of Orofer, Orofer FCM and of course, biosimilars. And that's how we have won, the confidence of the medical fraternity as well as the patients in brand Emcure . Emcure is synonymous in the doctor's chamber with innovation and quality.

Now, this is a well -calibrated move to go up the value chain and enhance our margins on a sustained basis. But during the year, something significant ha s happened, and that is something I would like to talk about.

In late 2025, we entered into exclusive partnership with Novo Nordisk and let me tell you that as far as this particular partnership is concerned, it was after a fierce competition there wer e at least 8 or 9 companies who were interested in partnering with Novo Nordisk and they selected Emcure. And we became the only company to launch the innovator drug in the game -changing semaglutide category.

Everyone keeps on talking about a lot of numbers for semaglutide market, I wouldn't go into that. But every reason to believe that the GLP -1 which Novo Nordisk has launched, is going to change the market as never before. It is already a blockbuster.

This partnership not only gives us first-mover advantage, but also allows us to bring original innovative product to Indian patients, something that has potential to meaningfully improve outcome for patients suffering from obesity and related comorbidities.

As I have been discussing with No vo Nordisk for the last few months, I'm being given to understand there are 230 comorbidities which are associated with obesity. So this is a great molecule that we are promoting, and there is a lot of science and data Novo Nordisk has. And this being in t he category of our rDNA biologic , it's a very difficult product to manufacture.

But the beauty is having started marketing, having started as a branded generic, then specialty,

now we are getting involved with innovation. This innovation is just harbinger of many more such innovations to follow and I'm sure with the success of Poviztra, our brand of semaglutide, we will have the proven our execution capabilities to other multinationals and that Emcure will emerge as a company that can be associated with for marketing innovation. Coming to our portfolio strategy, as I told last time also, we are uniquely placed. As you know, we are strong in both chemistry and biotech, one of the very few companies in the country which has presence in both biology and chemistry. The budget, which was presented on Sunday, 1st of February, by honourable Finance Minister, Nirmalaji Sitharaman, was a pleasant surprise to me. She

started with biologics. Government has earmarked INR10,000 crores for Bio-Pharma SHAKTI. And they want to encourage the biosimilars, they want to encourage biologics going forward. And I'm delighted to tell all of you that we at Emcure are very well positioned to benefit from the same. As of today, when I'm speaking to you, we have a strong portfolio of 7 biotherapeutics which we are already marketing, already commercialized and 2 waiting approval, and a couple of more in development. So this is one area where we should be doing well. Emcure~
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We have given a lot of products which are chemistry driven, like I talked about chirality, I talked about products like anemia management Orofer XT or Orofer FCM I see a lot of future going forward by working on biologics as well and this also has blessing from Government of India. Having said all these things, now let me turn my attention to 3Q results already posted. Most of you must have had a chance to go through the results, but let me briefly summarize what has happened. Our Q3 FY '26 performance is a clear reflection of the strategy that we are executing. During the quarter, all our businesses delivered strong growth while we remained firmly on track with our margin objectives.

We delivered 20.4% year-on-year revenue growth with profits of INR 231 crores after one time impact of Labour Code, translating into 48% growth in PAT. Adjusted PAT excluding Labour Code, grew by more than 65%. EBITDA margin expanded by 110 basis points to 19.5% despite investment in new initiatives and impact of Sanofi diabetes in -licensing portfolio, demonstrating the underlying strength and operating leverage that we have in the business.

In India, I'm happy to state our margin continues to build a healthy momentum. The domestic business has recorded a growth of 15% year-on-year. Our growth was led especially by our chronic therapies as in Cardio-Diabetes, CNS, oncology, while new areas like derma and consumer about which I spoke even in the last quarter, continue to scale in line with our plans. During the quarter, we further strengthened our team, especially on the acute side. We remain confident that we will continue to grow above industry going forward.

Moving to international business. The quarter saw strong performance across all international businesses along all verticals, which helped us to deliver 24.5% by the way of growth. Europe is seeing strong traction with very strong growth of 29.6% in the quarter, led by ramp-up of base business. They're realizing the benefit of Amphotericin B and the bolt-on acquisition that we did in the form of Manx.

We expect Amphotericin B to see launches across Europe by end of the year. Our Canada business sustained its growth momentum and grew by 13%, led by market share gains and new launches. Our Rest of India business grew by 30.7%, led by strong growth, in both non-ARV and ARV businesses. We have a robust portfolio pipeline and very positive about the growth going forward.

Before I conclude, let me say from the bottom of my heart, patients come first in everything that we do. We take pride in telling everyone that we are driven by quality and patient care. The philosophy of patient-first will continue to drive our aspirations and the work that we are doing in R&D, whether the chemistry, biologics or even for that matter when we meet the doctors, that is going to be the core part of our philosophy as we serve billions of people at the global level. While it is early to provide specific guidance for FY'27, we believe the company is well positioned to continue delivering consistent performance supported by multiple growth levers about which I've already talked to you and disciplined execution of our strategy. Let me tell you, being in the industry for last so many years and being the founding member of Emcure

Group, execution, in my opinion, is key to success that plays a very, very important role, Emcure~
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and that's one area where we are going to be absolutely laser -focused going forward. I believe this is only the beginning of our 5 -year journey, and we remain confident that our best is yet to come.

I'm grateful to all the Emcurians for trusting me and obviously, my new stakeholders, including the shareholders who have joined the Emcure family. As head of the family, I would like to reassure you, I'm extremely conscious of my responsibility towards the shareholders and everything will be done keeping in view the interest of the shareholders who have reposed their faith in Emcure.

With these remarks, I would now pass on to call Mr. Taj, my CFO, to share the financial details of the last quarter with you before we open the floor for question -and-answer. Once again, thank you, I am very grateful to you . Thank you for patient hearing. And I always look forward to this call. And now over to Taj.

Tajuddin Shaikh: Good afternoon, everyone. Thank you for joining us today. Before we move to the Q&A, I will take you through some of the key financial highlights for the third quarter. Revenue from operations for the quarter grew 20.4% year -over-year to INR 2,363 crores. The domestic business grew 15.4% year -over-year to INR 1,025 crores, driven by strong performance across all key ther apies.

International markets maintained their strong growth momentum, growing 24.5% year -over-year to INR 1,338 crores, of which Europe grew 29.6% year -over-year, reaching INR 464 crores. This was led by business base growth and Manx acquisition. Canada re ported a healthy 12.8% growth to INR 397 crores. We remain on track to grow in mid -teens for the year.

Emerging markets saw strong growth, 30.7% year -over-year to INR 477 crores with both ARV and non -ARV seeing strong growth. Gross margin for the quarter stood at 59.3% versus 60.1% in 3Q of '26. The decline was largely due to the in -licensing of Sanofi OAD portfolio, along with business mix, both higher international and product mix within geographies. EBITDA, excluding other income, grew 27.2% year -over-year to INR 460 crores.

EBITDA margin stood at 19.5% versus 18.4% in 3Q of '25 and 19.3% in 2Q of '26, supported by operating leverage and productivity gains, which was partly offset by Sanofi OAD addition. Depreciation and amortization for the quarter was at INR105 crores. Interest cost was INR38 crores. During the quarter, we also took an exceptional expense of INR 38 crores related to Labour Code changes. The effective tax rate stood at 26.3%.

Profit after tax came at INR 231 crores, showing strong growth of 48% year -over-year. Adjusted PAT came at INR 260 crores and grew 65%. Net debt for the quarter was INR 1,203 crores. The debt has increased primarily due to payout for Zuventus minority stake. With that, I'll now open the floor for questions.

Moderator: The first question comes from the line of Amey Chalke with JM Financial.

Amey Chalke: Yes. Congrats to the management on a good set of numbers. So I have first question on India business. Just wanted to understand the growth factors here for the quarter particularly. We have Emcure~ Emcure Pharmaceuticals Limited

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delivered 15% growth. I believe this was largely normalized quarter. So is it possible to give some understanding of what has driven 15% growth? And how is the core business performing versus the in -licensed business like Sanofi, etcetera ?

Piyus Nahar : The domestic business growth of 15%, also includes some element from the OAD portfolio that we in -licensed in the second quarter. So ex of that, the base business is growing in healthy double -digit, 10% plus and that is led by growth across all our therapies, especially the chronic s

side where in Cardio -Diabeto, we are seeing quite strong growth. We have also been talking about CNS, that is ramping up quite well for us. So those are some of the key driver s for the growth.

Amey Chalke: And the iron portfolio has also started delivering double -digit growth where the growth has been an issue for a while?

Piyush Nahar : Yes. So even the Iron segment including FCM is now back on growth trajectory.

Amey Chalke: Okay. And the second question I have is on the GLP -1 product. So here, basically, what would be our offering when we go to the doctors because we would be competing with one side, there would be a tirzepatide, which is a better product in terms of efficacy , etcetera . Plus there would be a generic competition on the semaglutide, which will come in maybe over the next 1 or 2 months.

So as a innovative product on the semaglutide side, what all offerings we would be taking to doctors when we will be selling this product basically? Is it convenience? Is it something like a pen which is better? Like what all things which will work in our favor to get more market share?

Samit Mehta : Sure. So I think just to start off with a lot of the new data that is coming from semaglutide,

especially with the new strength that has been approved, shows that it is equal in efficacy, if not better than tirzepatide in weight loss, but far better in terms of the data that it has for cardiac comorbidities. So in that context, positioning semaglutide as a better product than the peers is definitely something that we are educating the entire HCP community.

In addition to that, since it's a very complementary arrangement with Novo, some of the specialties that they are strong in, which is endo, diabeto, we are complementing by going, like I mentioned, since there is great data in cardiovascular and since we are so strong in that segment, we've made a very big push in the entire Cardio segment. So that's how this arrangement at this time is working well.

We are already bracing in terms of the competition. We expect it to be fierce, but there are things that are definitely advantageous. One is, of course, the years of data that the innovator brings, the device that you mentioned also is much more convenient. And as and when required, there will be flexibility in terms of pricing.

Amey Chalke: Sure. And how is the offtake so far? And have you added more MRs or field force to sell this product? Emcure~

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Vikas Thapar: Yes. So we launched the product only in end December. So 1 month in, we're happy with the initial traction. In terms of the coverage, 2 of our largest divisions are handling promoting and educating the medical fraternity for this product. So we believe that's adequate coverage Pan-India and now the product is very much available across India as well. So, so far, we're very happy with sort of the initial traction that we're seeing with the product.

Amey Chalke: Sure. Just last question I have on the gross margin. So it has fallen this quarter despite good India growth. Just wanted to understand reasons here and any guidance on the gross margin front would be helpful?

Vikas Thapar : Yes. So on the gross margin front, it's really more of a mix issue. So if you look at, as Piyush mentioned, we have the Sanofi OAD portfolio as well as in a limited sense the launch of Poviztra. And then our international piece of the business has actually grown faster than our domestic business. So when you look at all of those different components, that's what led to the weighted average gross margins coming down slightly this quarter.

And I think at the same time, a lot of those components of the business have a lower component of opex to support those gross margins. So that's where you're seeing our EBITDA margin still being healthy and in fact, in line with the expansion that we had guided to.

Amey Chalke: Sure. So going ahead, should we expect lower gross margin considering our exports are growing faster than India business?

Vikas Thapar: So, if you look at it, I think for overall gross margins for FY '26, we're still going to be in that ballpark about 60% range. We haven't put out a specific guidance. But yes, we do anticipate that the international business will continue to grow relatively faster than the domestic business and so, to that extent, you could see these gross margins moving a little bit in that direction. At the same time, like I said, at the EBITDA level, we think that we'll get benefit from economies of scale and operating leverage to support that mix.

Moderator: Thank you. Next question comes from the line of Sudarshan Padmanabhan from ASK – NDPMS . Please go ahead.

Sudarshan Padmanabhan: Thank you for taking my questions and congrats on good set of numbers. I would like to understand a little bit more on the domestic side where we have done quite well in the last few quarters. We have embarked on pushing a little bit more on the chronic side, I mean, through in-licensing, through Sanofi. And also, if you look at it, embarking or deepening our presence in gynaec therapy, etcetera.

So if you can give some color with respect to the acute, chronic, where do we believe is a sweet spot where we think acute and chronic in terms of having the split, in terms of also engaging with the doctors? So just a little bit more color on that? And how do we expect to expand the therapies from here as well?

Piyush Nahar : Sure. So right now, if you look at it, our chronic is now closer to about 50-50 chronic and acute for us. I think going forward we do see chronic doing better than the acute side. If you look at the diabetes side where, the whole idea when we took over the Sanofi portfolio is we see benefit Emcure~

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coming into our own diabetes portfolio where historically we haven't been that strong. We are seeing some of that playing out in the early days. We are seeing a big benefit of that in the cardio

also. So we do expect the chronic share to increase over time as we go forward.

Sudarshan Padmanabhan : Yes, sure, sir. And with respect to the licensing strategy, I mean, of course, it gives you the edge when you go and speak to the physicians, etcetera. I mean the kind of deal that we had with respect to semaglutide, what is the strategy here in terms of strengthening our presence with the doctor community? Where do we think we would like to kind of engage more? And how do we see the proportion of the business coming in from this part of the in -licensing or primarily tying up with the innovators?

Vikas Thapar: So if you look at in -licensing overall for Emcure, it probably represents about 6% or 7% of our total revenue base and even if you were to bifurcate that for the domestic business, it's probably somewhere in the low to mid -teens contribution to the overall domestic business.

We firmly believe that having access to some of these very strong legacy brands or even innovative brands like your second brand, Poviztra, it allows us to really build on our strengths. We've always been known as a company that's bringing new products and engaging with the medical fraternity with science -backed products.

And I think this in -licensing strategy fits firmly with that, where we're then able to also have a rub-off effect on the rest of our portfolio. So we like to highlight examples like a Cardiac segment where on our own we're very strong amongst the top 10 players. But with the complementary nature of the Sanofi portfolio, we're now overall the fourth largest company in the Cardiac segment.

And we have seen that by giving one or 2 of our Emcure brands to that team, we have seen sales immediately pick up for some of those brands given their strong Doctor Connect

as well. So I

think these are some of the aspects that we will continue to look for in evaluating and trying to do more such in -licensing arrangements.

Sudarshan Padmanabhan : Sir, one final question before I join back the queue is on the export side of the business. This quarter or the last few quarters we have been seeing very good growth coming in from the launch of Amphotericin. And we are also having, if I'm correct, probably a little later on launching semaglutide as well. So, if you can give some color with respect to how we are looking at the export market in the next couple of years . And specifically with respect to semaglutide in the international market, do we think that apart from Amphotericin, this can be a shot in the arm for us given that there is a lot of players also coming into the space?

Vikas Thapar: Let me just give a macro answer, and then Samit can talk a little bit about some of the pipeline that might drive that growth. So, the international markets, we are very bullish that they will continue to grow mid to high -teens for us organically. And we've seen that very strong performance across markets, whether you talk of Canada, Europe or the rest of world , emerging markets.

Obviously, in Europe, in particular, the Manx portfolio that we acquired earlier at the start of the year as well as the launch of our liposomal Amphotericin B in U.K., Italy and soon to be rolled Emcure~ Emcure Pharmaceuticals Limited

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out in other parts of Europe, is what's driving the very strong performance that will continue into FY '27.

In Canada, I think it's been fairly broad -based. If you look at the Mantra plus Marcan complementary portfolio, we've delivered 13% revenue growth. And I think we are again bullish that low -teens sort of growth should continue in that market given the very robust pipeline of in -house products that we have.

And on the emerging markets, I think it's a combination of the complex injectables or some of these differentiated products that we continue to file and await regulatory approvals and then launch, that is driving the growth in these markets. I think semaglutide will be one of the products that obviously, over time becomes more meaningful for us in some of these international markets. But I think it's a much broader portfolio of these various products that's going to drive that. So Samit, I don't know if you want to give some more color on that ?

Samit Mehta: Sure. So I think from the beginning, we've always said that we first built out some technology platforms and then commercialize products of it. So for example, on the liposomal platform, while Amphotericin B was commercial success, it's also a proof -of-concept that is now being utilized to work on at least three more products, which will, over the next few years get filed and commercialized across different markets.

Iron, of course, given the strength that we have in the domestic market, we are now leveraging by filing some of our injectable iron products globally. And third, but not the least, is the biologics portfolio, where we are seeing great success in India. And now as emerging market approvals are coming through, we see that being a big driver pushing future growth.

Moderator: Next question comes from the line of Kunal Randeria with Axis Capital.

Kunal Randeria : So I'll just take what Samit just said about the biosimilar portfolio expanding to emerging

markets. So would you like us to maybe know which products you will be targeting? Would it be largely tenecteplase, or there are other products in the pipeline? And which geographies would you target and some timelines would also be welcome?

Samit Mehta: I think while tenecteplase would be the flagship as far as the biologics go, we also believe that some of the other products that we have, which are commercial here, whether it's the pegaspargase, whether it's

erythropoietin, whether it is even something like our PEGylated filgrastim or for that matter the products that we have which we are waiting for near-term approval. All of these have huge potential in the emerging markets. So of course, it will be a phase-wise approach since there will be costs also involved either with clinical trials or filings and approvals but we see this as something that can go across all emerging markets, especially in our strength areas like Latin America, Southeast Asia where we are starting off with. Vikas Thapar: And I think liposomal Amphotericin B is another example of a product that we have already been filing in some of the emerging markets, and it will take its time in terms of getting market-wise approvals but like Europe, we see a huge opportunity for some of those key injectable products as well for the emerging markets. Emcure~

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Kunal Randeria : Okay. So should we assume that R&D will kind of inch up going forward in the next couple of years?

Samit Mehta : As an absolute number, yes. But as a percent, we are very conscious, percent of top line, and we will continue to maintain it in the region that we traditionally have been.

Kunal Randeria : Sure. And would it be fair to say that, on Vik's comment on Amphotericin B, since you are only launching in the market now, if let's say 100 is your kind of target sales, you barely touched 10% of it, and there is still scope to grow over the next 2 to 3 years?

Piyush Nahar : Yes, I won't get into the numbers, but yes, we just started launching it across markets. So right now, we are present fully only in the U.K. market. Most of the other geographies, we are just either just in the phase of launching or we will be launching in the coming quarter.

Kunal Randeria : Sure. And just last one more, if I can. So Lenacapavir, you are one of the few companies to have the license. So would you like to update us on the progress and the eventual market potential for the drug?

Samit Mehta: Again, I can't put a number to the market potential, though we think it's a revolutionary introduction in the field of HIV, both therapeutically and prophylactically, it offers the opportunity for cure. So market could be huge. We are making very good progress. So to tell you, we have completed our API validation batches at our U.S. FDA approved facility and in terms of formulation, both on the injectables and the oral solids, reasonably, pretty much same status where we've already entered our plans to execute the batches.

Kunal Randeria : Sure. A couple of your domestic peers have announced some kind of tie-up with some aid agencies. So you haven't announced anything of that sort. So do you think it puts you at a disadvantage?

Samit Mehta : No, I think there are several procurement agencies. I think a couple of the peers have mentioned about one or two of them, but there are so many different tenders, so many procurement agencies, whether it's WHO or the PAHO there's a lot of them. And given traditionally, we've been very strong and have great relationships with these agencies, I think we will continue to have a good opportunity in the market.

Piyush Nahar : And I don't think any of those agreements exclude us out from those supplies. So whenever the products get approved, the agencies put out tenders where everybody is allowed to participate.

Kunal Randeria : So Piyush, you mean those are not exclusive agreements with those pharmaceutical companies? You can also come. Okay. Got it. Perfect. That was very helpful. Thank you and all the best.

Moderator: Thank you. Next question comes from the line of Bharat C. Shah, Shah Family Office. Please go ahead.

Bharat Shah: Yes. Satish bhai, first and foremost, congratulations on bettering yourself. I had basically two sets of questions. The first is, you frequently guided about you

various growth levers in terms of the product portfolio, the partnerships and in-licensing arrangements and product portfolio Emcure~
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expansion, etcetera. But I'd be happy to get revisited about how you see the picture for next 3 to 5 years, both in terms of domestic market growth that you believe likely there is a compounded

rate as well as the international territory where you seem to be doing surprisingly well, surprising at least to my mind. So I'd be keen to hear your view on long-term growth drivers?

Vikas Thapar: Yes. I will start with this, and then I'll let Satish bhai also chime in. So if you look at the domestic market, what we've been guiding all along is that we believe the industry will continue to grow very healthy high single-digits or maybe even touching double-digits. And we aspire to continue to grow faster than industry. So even if we're talking about a 3 to 5-year time horizon, we believe that we will continue to outgrow the industry, again, driven by our in-house R&D strength as well as the in-licensing arrangements that we will continue to look for in terms of augmenting our portfolio.

On the international side, while obviously, in some of the markets we're seeing very aggressive growth. We think over a 3 to 5-year horizon, both Europe and Canada, we believe, can continue to grow at a compounded low-teens sort of growth rate. And on the emerging market side, we've highlighted that there's an HIV component which we are seeing some strong performance over the last 12 months and a very strong order book. Having said that, I think with Lenacapavir and how that plays out, has the potential to keep that segment fairly strong for us and in fact, probably a better margin profile. On the rest of the business, the non-ARV business is where we believe it's still a relatively small contributor to the overall portfolio today. With the kind of product pipeline we're working on, that can continue to grow healthy double-digits as well.

This is without talking about any sort of M&A that we might do over that 3 to 5-year horizon, which we will obviously look forward to, especially while we're generating very healthy free cash flows over the next several years. So I think all in all, we believe and we're very bullish that we will continue to grow a very healthy amount in both India and the international markets over this time horizon that you highlighted.

Satish Mehta: You wanted to say something Vik? Good to talk to you Shah. Vik has said everything. I mean, let me tell you that the company that we have built up is on the premise that we are not run-of-the-mill company. We will essentially focus on science, technology and innovation.

And in my opening remarks, I did tell you that when I started marketing our products in mid-90s, at that time, we were in branded generics. From branded generics we graduated to specialty products with emphasis on biologics and chemistry and now we are working with Novo Nordisk's innovative molecule we are bringing for the first time in the country. I believe that journey will continue.

As Vik rightly said that as far as the industry is concerned, in the next 3 to 5 years, we'll grow by a high single-digit or maybe 11%, 12%. But at the same time, as far as we are concerned, we'll be growing faster than the industry. That's my belief. And that is based on the good work in the science and technology that we are doing.

Talking about the international market, we are simply not in the commodity business. And that's what Samit was trying to say, the growth will come from products like, say, Amphotericin B, Emcure~ Emcure Pharmaceuticals Limited

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Lenacapavir and we have a product pipeline which is quite exciting, which will do well in the international market.

So the focus will be on g

iving differentiated products in the international market, so the margins

are taken care. Keep on investing in R&D so that we have a good technology-driven pipeline.

As far as the Indian market is concerned, same story, give differentiated products and keep on looking for opportunities like Poviztra there is Novo Nordisk opportunity has come our way. So fairly well-defined thought process, Shah sahab, we have.

And as Vik rightly mentioned, as we go up the value chain, we will also be inclined to look at some bolt-on acquisition if we come across. So very clear strategic road map we have, but at the same time, everything will be done keeping in view the interest of the shareholders and do it in a way by which whatever we do will be accretive.

Moderator: Thank you. We have lost the line of Mr. Shah. We will promote the next, that is Vamsi Hota from ASK Investment Managers. Please go ahead.

Vamsi Hota: Hi, sir. Thanks for the opportunity and congratulations on a good set of numbers. Firstly, I'm tracking the company for the first time. So apologies in advance if some of the questions are rudimentary. With the change in the U.S. FDA stance on the approval for biosimilars process, right, in terms of the lack of need for a mandatory Phase III clinical trial, do we have plans of further entering somewhere down the line into the U.S. market with our biosimilars portfolio? That is my first question?

Samit Mehta: Sure. So as far as biosimilars go, we are closely tracking these evolving regulatory guidelines, while though not directly as an aspiration to enter the U.S. market but given the kinds of products we have, there are some potential collaboration opportunities that could come up where we could partner with someone to file our products and have them front-end the product.

So that's as far as U.S. goes. But given that a lot of the global agencies do follow the U.S. guidelines, we are very hopeful that similar kind of approach is adopted by some of the other countries, including in Europe, Canada, the emerging markets and of course, finally in India as well where we can then really ramp up a lot of our pipeline.

Vamsi Hota : Very helpful, sir. Just one more question in terms of the recent Biopharma Shakti scheme that has been announced. So while it is definitely a positive for the overall sector, how do you see this translating specifically for, let's say, a company? Is it a company like yours? So is it going to be via any kind of PLI benefit that you foresee from this? Or is it going to be some kind of manufacturing incentive in terms of setting up the facility from the government or like so how is this going to translate to a company-specific opportunity?

Satish Mehta: Early days, it is very difficult to opine right now. I mean the policy -- I mean, it is simply being mentioned in the budget speech of the Honourable Finance Minister. Once we get the fine print, we'll be in a position to respond. I mean, but what I like about her statement that, first of all, she started with biologics. So that extent a lot of importance is being given by Government of India to biologics. Then a corpus of INR10,000 crores is earmarked. And if I recollect the speech that she made, she specifically mentioned about 3 aspects of usage. She mentioned about oncology, Emcure~ Emcure Pharmaceuticals Limited

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she talked about diabetes and she talked about rare disease. So these are the three statements which were made by her. So once the fine print is out we will see how it plays out?

Samit Mehta: I think just to build on that, a couple of specific things also. A, Gennova definitely is into all these disease areas, especially oncology. Two things that were mentioned in terms of usage of funds. One was, of course, to set up many more clinical trial centers. The number given was 1,000 and hopefully, that should really speed up

patient recruitment for a lot of the clinicals that we do and number two was also to strengthen a few, or establish a few more NIPERs with capabilities and expertise in biologics. We really value that because we are always at the forefront of industry and academia collaboration. So there we would love to collaborate with these upcoming institutes to also generate new IP.

Satish Mehta: No, Samit, one more thing was also mentioned was sorting out the regulatory processes by which they want to strengthen the CDSCO. And you just mentioned about USFDA. So they also want to bring about the method of working or everything in line with the best global practices. So early days, but at the same time, government is acutely conscious of the fact that we have to support.

And some time back, statement was made that as far as India is concerned, the vision of Government of India is in due course of time, this particular sector should contribute \$500 billion, it is an ambitious target. So to that extent, I do expect a lot of support. Let us look at the fine print and then maybe next time, next call if we have some more details, we'll be able to share.

Vamsi Hota: Sure, sir. Thanks for the detailed response and all the best.

Moderator: Thank you. Next question comes from the line of Kunal Randeria with Axis Capital. Please go ahead.

Kunal Randeria : My questions have been answered.

Moderator: Thank you. The next question comes from the line of Bharat C. Shah, with Shah Family Office. Please go ahead.

Bharat Shah : Satish bhai, to continue the dialogue. Actually, I was on the call earlier also, but probably the coordinator of the call did not like my voice and did not allow me to proceed with my questions.

But so to summarize both you and Vik were saying, also what Satish mentioned, essentially, domestic business industry is likely to do 8% to 10%. We probably doing 12% to 14%.

International, Europe and Canada is pretty much well stepped up, supplemented by specialty portfolio, not commodity portfolio and should be doing hopefully 14% to 16% kind of a growth.

And non-ARV rest of the world market, hopefully should be doing 14% to 16%. So all put, summarizing somewhere in the range of 13% to 15% compounded overall will be a fair summary over the next 5 years?

Vikas Thapar: Yes. I think broadly, without getting into each of the specific numbers, I think broadly, if you look at it, a low to mid-teens compounded growth rate is what we will aspire for. And that's what we've been guiding to. I think for the year, obviously, we had guided in the past to roughly a Emcure~ Emcure Pharmaceuticals Limited

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13% growth. I think we're probably tracking slightly ahead of that. And similar sort of guidance

we would probably be looking at for FY '27 forward.

Bharat Shah : Okay. And secondly, on the margins, we already are at what I would regard as a pretty healthy margin this quarter at operating level almost 27% sorry, 20%. Would we say margins over this journey would remain in this band, improve? Or is the risk of coming off?

Vikas Thapar: Yes. I think there, barring any M&A or in -licensing, if we look at the organic growth, we anticipate our margin profile to continue to improve. And so over a 3 - to 5-year horizon, we would anticipate at least a 300 to 400 basis point improvement in our EBITDA margin profile with roughly 100 basis points or so improvement year -on-year for the next 2 to 3 years is what we have guided to in the past as well. And if you look at it this year, we're broadly on track for delivering that sort of organic margin improvement that we had talked about earlier.

Bharat Shah : Yes. So 20% going to more like 23%, 24% over 3 to 4 years' time?

Vikas Thapar: That is definitely our aspiration.

Bharat Shah : All right. Thank you. This is very, very helpful. This sounds, pardon my saying so, but almost a

bit mathematical. Is there any risk of something slipping off our eyes and kind of giving us a root surprise? I mean if something was to go wrong in this picture, what could it possibly be?

Vikas Thapar: I mean, I think the sort of industry or overall macro risks are always going to be there. So in that sense, things that we could control, obviously, we feel bullish about executing on the business. I think it comes down to some of these key product launches that we have planned to the extent that those get delayed or have any regulatory hiccups, I think those are the kinds of risks that I would potentially look at, that could have some disruption to the overall guidance. But barring that, I think other than any geopolitical or macro risks, we should be in line with sort of the guidance that we provided.

Satish Mehta: To add to Vik, we don't have any significant presence in the US. So, to that extent, we are possibly better placed than the peer group.

And the business is so well spread like domestic, emerging Europe and Canada. So all things going wrong - well, I don't know. It can still happen. But at the same time, when you compare with the peer group, I feel good about what we are doing. But I don't have a crystal ball. Anything can happen.

Bharat Shah : Sure. Of course. On that note, thank you so much and very best of the wishes. I think from the IPO time, with some amount of initial tentativeness, but I think Emcure is now finding firm feet and moving forward in a very nice way. So congratulations to you, Satish bhai, and the entire Emcure team.

Satish Mehta: Shah Sahib, I very much appreciate your sentiments and your support means a lot to all of us, to me as a person to family and all of us who are sitting over here. Thanks.

Bharat Shah : Thank you. Emcure~

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Moderator: Thank you. Next questions come from the line of Foram Parekh with BOB Capital Markets. Please go ahead.

Foram Parekh : Thank you for the opportunity, and congrats on a good set of numbers. My first question is on the domestic side. We mentioned that our in -licensed portfolio is 6% to 7 % of the total sales and probably low to mid -double -digit contribution of the domestic sales. So, my question is, do we have any threshold limit that beyond this, the in -licensing portfolio should not exceed. And as a result, our gross margins should be protected at a particular percentage or it should not fall beyond a certain percentage?

Piyush Nahar : So, first, I don't think specifically we're looking at a threshold and all. But how we look at this in-licensing is that it must be more strategic and where it makes strategic sense in therapies. So if you look at cardio, the whole idea was that with the Sanofi portfolio, we become among the top 4, 5 players and we saw a lot of benefits in terms of the portfolio synergies, which is what is now playing out in the segment.

Similarly, diabetes, we didn't have a significant presence there, and we were looking at semaglutide coming through. So the OAD portfolio was in preparation for that. So I think all of these have been more thought through. When we think of in-licensing it not just as a top on, but where we look at where it has a rub on a benefit on our portfolio.

Obviously, when we look at it, the whole idea is that while, yes, in gross margins level, they are slightly dilutive. But at EBITDA on a synergized basis or more importantly on ROCE, they are much more healthier.

Foram Parekh : Yes. But can you comment on the gross margin percentage? I mean, something that beyond which we feel that it will not slip? Is there some percentage do we have or we can guide upon?

Vikas Thapar: Rather than talk specifically to the gross margin, I think just to build on what Piyush said, I think for all in -licensing arrangements, we would be targeting stand -alone deals with at least

st a double -

digit EBITDA margin profile and then some aspect of synergies too as a rub off to the rest of the portfolio, such that we have a combined EBITDA margin profile that is in line with what we would expect. And as Piyush said, what's even more important is the return on capital or the free cash flow generation. In most of these deals that you would have seen, there is little to zero upfront payment or commitment. And so to have access to these types of portfolios that are cash flow accretive from day 1 of us handling the assignment, is something that we think is still good business.

Foram Parekh : Sure. And my second question is on the European side. We believe that Amphotericin B has been launched in Italy and fully present in UK. So if you can just guide us how many countries are we still expecting the launch to be in Europe? And therefore, this quarter's growth rate, would it be able to measure in the subsequent quarters as well?

Tajuddin Shaikh : Yes. So we are there in 23 countries now, the approval has come in. But the launch has taken some time. So this quarter would be similar to what we did last quarter. We can see growth coming in from the next year onwards. Emcure~

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Foram Parekh : Sure. Thank you for taking my questions.

Moderator: Thank you. Next question comes from the line of Kartik Bane with Bajaj. Please go ahead.

Kartik Bane : Thank you for the opportunity and congratulations on a good set of numbers. Sir, my question is on the MR productivity after we have MRs from Sanofi. So what is the current productivity?

How is the ramp -up of the MR productivity tracked? And is there any specific therapy area or cluster that is giving us higher PCPM than others?

Piyush Nahar : So our current productivity is about 7. And if you compare it to last year, we are around 6, 6.1 at a similar quarter. And I think where we're obviously seeing higher productivity is in our chronic and Women's Health segment, which will do quite well for us.

Kartik Bane : Okay. Thank you.

Moderator: Thank you. Next question comes from the line of Amlandad with JPMorgan. Please go ahead.

Amlandad : Yes. Hi, sir. Sir, my question is regarding the European portfolio. Would it be possible to quantify how much share of revenue is from the Manx portfolio, and the one that you acquired in last April?

Piyush Nahar : So, Manx will be right now 5% to 6%. It's a couple of million dollars that you'll have in the quarter.

Amlandad : Okay. And on Amphotericin B, how large would be the European market for the product, sir?

Samit Mehta : Total European market will be in excess of EUR100 million, I would say. Yes, in excess of EUR100 million, the total market.

Amlandad : Okay , okay. Okay, sir. Those are my questions. Thank you.

Moderator: Thank you, Next question comes from the line of Bharat C. Shah with Shah Family Office. Please go ahead.

Bharat Shah : Yes. This question is for Mr. Tajuddin Shaikh . Mr. Shaikh, I just wanted to understand over the next 3 to 5 -year growth journey and margin journey, I had a very good discussion with Satish bhai and Vik and Samit. Just wanted to understand in this 5 -year journey, borrowings, which today I think it is uptick a bit and stands at close to INR1,200 crores .

So in 5 -year journey, what do you think the borrowing level would look like? In other words, when do you expect the borrowings to be kind of come off from the balance sheet? And our fixed assets at about INR 3,300 crores, with what kind of likely intensity this asset block will grow over the next 5 years?

Tajuddin Shaikh: Okay. We are at ~INR 1,200 crores net debt. We are also having an earnout payment of close to around INR350 crores coming in the month of May. So that would take us close to INR 1,500 crores. We expect this to go off the balance sheet probably in the next 24 months to 36 months.

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Vikas Thapar: Yes. The earnout payment he's referring to is the final earnout related to the Mantra acquisition, which will happen in Q1 of next year. And again, just to reiterate that with that earnout plus the rough INR 1,200 crores now, we anticipate that with the cash flow generation that we are expecting, probably by end FY '28, we should be cash flow positive, barring any other acquisitions that we go in for.

Bharat Shah : Sure. And on the gross block, Mr. Shaikh?

Tajuddin Shaikh: On the gross block, we expect about INR 300 crores to INR 400 crores addition per year, depending on what we get in and all. This is without taking into account any acquisitions or

anything coming in.

Vikas Thapar: I think we've been guiding to that INR 350 crores to INR 400 crores, and we foresee that, that will continue for the next 2 to 3 years.

Bharat Shah : Right. That means over the 5 years, gross block probably may expand by 50% or thereabouts. And from INR 1,550 -odd crores of borrowing level net debt in May '26, hopefully, by December '28, we should be net debt at a zero level. Is that a fair summation?

Tajuddin Shaikh: Yes.

Vikas Thapar: Broadly, yes.

Bharat Shah : Okay. Thank you.

Moderator: Thank you. The last question comes from the line of Banshi Desai, JPMorgan. Please go ahead.

Banshi Desai : Yes, hi. Thanks and congratulations on a strong set of numbers. So just two questions. So firstly, on our international markets growth, which has been pretty robust. I assume this also has seen benefits of favourable currency across markets. So if you could just comment on whether we are seeing those benefits at our gross margin levels as well?

And therefore, as and when these currencies normalize over the next few quarters, how should we think about our gross margins? Because our in -licensing component probably would continue to grow Sanofi portfolio. You also have Novo Nordisk products. So I'm just thinking through how should we think about gross margins in that light once the currency normalizes?

Piyush Nahar : On the gross margin side, there's not going to be much benefit that you saw because we also have imports that comes in dollar terms where you have the currency hit that you get. So net - net, I don't think there's significant benefit as a percentage level that you see for us.

Banshi Desai : All right. And for Amphotericin B market, which you mentioned EUR100 million, if you can also talk about the competitive landscape. I understand you're the only generic approved at this point in time, but how do you see competition evolving over the next few years?

Samit Mehta: I think competition will come eventually. But a couple of things. One is, of course, tenders are typically locked in for a couple of years in several countries. So that should give us some benefit. Emcure~
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And we also believe that the kind of capacity that we have created, it's probably second to the innovators.

Since this is a very high -volume product, being able to consistently ship out these quantities also should hold us in good stead. So, while we can't do away or wish away competition, I think we will continue to hold a favourable position whenever it comes in.

Vikas Thapar: And I think just to add on that product specifically, the EUR 100 million plus is just a Europe opportunity. We think there's an equally large opportunity when you add up all the rest of world markets, where we're also going to be over time launching the product as well.

So given the in -house capacities we have and looking at the potential of these markets, we'll obviously look to capitalize wherever we can even in the face of some competition that will eventually come.

Banshi Desai : Thanks for that. And if you could share where a

re we manufacturing this particular product, in which site of ours?

Samit Mehta: Depending on market, we have couple of sites. So one of the sites is from Sanand and the other site, which is servicing a few of the other markets is in Pune.

Banshi Desai : All right. Thanks so much and all the best.

Samit Mehta: Thank you.

Vikas Thapar: Thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. We have reached the end of question -and-answer session. I would now like to hand the conference over to the management for closing comments.

Piyush Nahar : Thank you, all, for joining today's investor call. If any of your queries still remain unanswered, please feel free to get in touch with us. Thank you. Have a good day.

Moderator: Thank you. On behalf of Emcure Pharmaceuticals Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Emcure~

Call: May 2026

Emcure

Emcure Pharmaceuticals Limited

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Ref: EPL/CS/SE/0045 /2026 Date: May 11 , 2026

To,

National Stock Exchange of India Limited

Exchange Plaza, C-1, Block G,

Bandra Kurla Complex, Bandra (East),

Mumbai – 400 051

Script Symbol: EMCURE BSE Limited

P J Towers,

Dalai Street,

Mumbai - 400 001

Scrip Code/Symbol: 544210 / EMCURE

Dear Sir/Madam,

Subject : Transcript of Earnings Call – Q4 FY26

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 and further to our intimation dated April 28 , 2026 , please find enclosed the transcript of the Earnings Call for Q4 FY26 , held on Tues day, May 05, 2026 at 03:30 p.m. (IST) .

The above -mentioned transcript is also being uploaded on the website of the Company i.e. www.emcure.com .

You are requested to take the above information on your records.

Thanking you,

For Emcure Pharmaceuticals Limited

Amruta Yangalwar

Company Secretary & Compliance Officer

ICSI Membership Number: A25687

MANAGEMENT PARTICIPANTS :

Mr. Satish Mehta – Managing Director & CEO
Mr. Tajuddin Shaikh – Chief Financial Officer
Mr. Samit Mehta – Whole -Time Director
Mr. Vikas Thapar – President, Corporate Development, Strategy & Finance
Mr. Piyush Nahar – Executive Vice President, Corporate Development & Strategy
Mr. Saurabh Paliwal – Head, Investor Relations

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Prepared Remarks Session

Moderator : Ladies and gentlemen, good day and welcome to the Q4 FY26 Earnings Conference Call of Emcure Pharmaceuticals Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone.

Please note that this conference is being recorded. I now hand the conference over to Mr. Saurabh Paliwal. Thank you and over to you, sir.

Saurabh Paliwal : Thank you. Good afternoon, everyone and welcome to the Q4 FY26 earnings conference call for Emcure Pharmaceuticals. Thank you for joining us today. I am Saurabh Paliwal and we will begin today with brief opening remarks from the management and then open the line for Q&A after the commentary concludes.

Joining me today on the call are Mr. Satish Mehta, Managing Director and CEO; Mr. Tajuddin Shaikh, Chief Financial Officer; Mr. Samit Mehta, Whole -Time Director; Mr. Vikas Thapar, President, Corporate Development, Strategy & Finance, and Mr. Piyush Nahar, Executive Vice President, Corporate Development & Strategy.

We hope you have had an opportunity to review the financial results, the results presentation and the press release that were released earlier. Before we start, I would like to remind everyone that this call is being recorded. I also need to remind everyone about the Safe Harbor linked to today's call. Certain statements made during the call may be forward-looking in nature. These statements are based on our current expectations, assumptions and management's view as of today. Actual results may differ materially due to a range of factors, including market conditions, regulatory developments, competitive dynamics, operational factors and other risks and uncertainties.

For additional details, please refer to our presentation and press release. I'll now hand over the call to Mr. Mehta to begin with his opening remarks. Over to you, Mr. Mehta. Satish Mehta : Thank you, Saurabh, and good afternoon, all of you. I would like to thank you for joining us to review Emcure's Q4 and FY26 results. It means a lot that you have found time to join me. FY26 marked the start of our 5-year strategy, focusing on turning last year's operational changes into measurable outcomes. I'm very happy to tell my investors that we crossed a major milestone this year, surpassing \$1 billion in revenue and achieving a growth of 16.6% year-on-year, exceeding the guidance that we had given to you.

We also increased our base business EBITDA margins by over 100 basis points and our adjusted PAT grew more than 40%. These outstanding results give us confidence that the investments we are making in our people, our processes and technology, including the adoption of AI across key functions are starting to deliver. I keep saying whenever I have been on the call, that we take pride in telling everyone that Emcure has been built on science, technology and innovation.

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Turning to the key strategic highlights from the year. Let me now focus on portfolio expansion. That's the first thing I would like to take up. We strengthened our portfolio in core markets through in-licensing, M&A and internal R&D. I would now like to highlight three notable partnerships from the year that has ended. I'm focusing on in-licensing to begin with. The first partnership I would like to highlight is with Novo Nordisk, and I'm very happy to inform my investors that Emcure was selected as the exclusive India partner for Poviztra, a

patented rDNA biologic semaglutide. Some of the products that we are seeing in the market are of synthetic origin, while this is rDNA biologic semaglutide, which I would like to emphasize. Strong exclusive global data and an established device distinguish Poviztra from the generics which have been introduced.

The initial uptake has been promising, especially after the price cut in April 2026 and I must say the pricing which has been done is very competitive and we obviously have a clear story and strategy. We aim for steady growth through FY27.

After Novo Nordisk, the second in -licensing that I would like to focus on is Sanofi. We expanded our partnership to include the oral anti-diabetic brands, Amaryl & Cetapin, boosting our position in cardiac and metabolic therapies. With this, we are amongst the leading cardiac players and also have now a reasonably strong foothold in the metabolic space as well.

The third partnership that has happened and we started billing from 1st of April was with Roche, where we signed a distribution agreement for select nephrology and transplant medication in India, which has widened our offering in the therapy. It will not be out of place to mention that we have a reasonably strong position in the field of nephrology. We are one of the top five companies and to that extent, this portfolio will obviously help us to augment our position in the field of nephrology going forward.

These alliances with leading pharmaceutical companies demonstrate our strong commercial capabilities and scale in the India market. The India market means a lot to us.

Now after having spoken about in-licensing, I would now talk about M&A and portfolio consolidation.

As far as Zuventus is concerned, we completed minority stake buyout for full consolidation and expect operational synergies to play out over time.

Globally, we acquired the Manx portfolio in the U.K. to grow our U.K. business and the European business. Cutimed, we recently acquired in Canada, enhancing our derma range along with Emcutix.

Let me now focus on our R&D and pipeline updates. I spoke about in-

licensing. I spoke about

M&A and portfolio consolidation. Now let me turn to what has been happening in our R&D and pipeline and which we take a lot of pride.

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Amphotericin B remains a key near-term focus. We launched in select European markets in H2 FY26 and intend expanding to Europe and rest of the world markets in FY27.

For Bevacizumab, the ophthalmic Biosimilar for wet AMD, we received endorsement from CDSCO's Subject Expert Committee, and we plan to launch in H1 FY27, pending approval.

The third important thing is in the field of HIV, where we enjoy a pole position. We are one of the six global voluntary licensees for Gilead Lenacapavir. We filed the DMF and expect to seek product registration in FY27.

Our Scientific Advisory Committee is shaping our long-term pipeline in four areas. One is complex injectables. Second is biosimilars. Third is new delivery routes for existing drugs and something which we have been talking about for the last couple of calls, as well as Antibody Drug Conjugates.

Now having focused on in-licensing, Merger & Acquisition portfolio consolidation and having given you some flavor about R&D and our pipeline updates, let me now turn my attention to business performance.

As far as the year which has just ended FY26, we grew by 16.6% to INR9,204 crores, with a resilient domestic performance and strong international performance.

Now let me focus as far as business performance is concerned, to focus on domestic business, which is very close to my heart. Domestic business grew by 10% in FY26 to INR4,027 crores, led by women's health, cardiac, CNS and oncology.

As far as Q4 is concerned, it was softer, mainly due to Zuventus portfolio and team reorganization causing higher attrition. As you know that we acquired the minority stake in Zuventus, so there was attrition, but integration and new leadership hires have addressed these issues and I'm very happy to say that as far as April is concerned, it's absolutely as per the plan. It is on track. So, nothing to really worry as far as Zuventus is concerned going forward.

New therapy areas about which we spoke last time as well, derma, Emcutix, consumer health, diabetes are scaling well. Poviztra, Novo Nordisk partnership is showing promising early uptake, especially after the price cut, so we are in a sweet spot as far as the pricing is concerned and we do expect reasonable growth in FY27.

I'm very happy to inform, that as far as the field productivity is concerned, it has gone up from INR5.4 lakhs per medical representative to INR7 lakhs over a period of last two years. So obviously, good things are happening.

As far as international markets are concerned, I'm very happy to inform that revenue grew by 22% to INR5,177 crores in FY26 . This was driven by strong base business growth and successful launches with Ma nx integration. Canada posted solid growth on market share gains and new launches. Rest of the world delivered

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healthy growth across non -ARV and ARV with non -ARV supporting revenue diversification and ARV maintaining a strong order book. As you know, the non -ARV business is very important and that's a function of the registration, that we get in the various markets. We got reasonably good registrations. So, we are very bullish as far as the international markets are concerned going forward.

EBITDA margins improved year -on-year due to operating leverage across, both domestic and international markets.

Now having talked about the year that has ended, let me focus on outlook and growth levers for FY27 .

As far as the second year of our strategic plan is concerned, I'm very happy to inform my investors that Emcure is very well positioned for strong performance going forward. Our growth drivers are at different stages.

The first growth driver is obviously going to be domestic market. I'm very happy

to say that we

have a very strong team and portfolio, which will drive better than industry growth ahead, especially in Cardio -Diabetes , biologics, women's health and new initiatives.

I've been leading this domestic initiative for the last 30 years and I feel good about the team which we have built up in the last few months and I feel good about the domestic market going forward.

Then the second lever of growth will be semaglutide partnership, then Emcutix, the derma product that we have launched. And of course, the consumer business Arth, which is showing good uptake, it's stabilizing reasonably well . All these are in initial stages of scale -up and we expect returns from this to build over a period of next few years. And all these areas are growing areas, like as far as Derma is concerned, that's a growing market of INR14,000 crores and there because of the strategic initiatives that we are taking, we are bullish and Arth, of course, we are doing well under leadership of Namita.

Then Canada and Europe, we expect growth to continue, led by market share gains, new launches and expanded portfolio. Canada and Europe will continue to grow.

The fourth lever is Amphotericin B and we expect in the current year, Amphotericin B should make significant contribution on the back of registrations that we are receiving from different geographies, both regulated as well as Emerging markets.

In the rest of the world markets, we expect sustained growth led by non -ARV pipeline and robust ARV order book.

In FY27 , we project low to mid -teen revenue growth and as I have been explaining in the last meet and a few calls that I have had the privilege of addressing to you guys that EBITDA margin expansion will happen as committed between 75 to 100 basis points going forward, assuming stable regulations and macroeconomic conditions. I think this is based on the assumptions that

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there will not be a major upheaval or problems at the geopolitical level. So, I think, overall, we are quite optimistic and bullish about the business as far as the second year of the execution plan is concerned.

In closing, I would like to tell my investors that our strong performance highlights our diversified business model, India -led manufacturing, scientific strength, focus on science, innovation, technology and more than anything else, one area on which we are hugely focused is on execution; because that's one area where we will distinguish ourselves when we compare with other companies. The focus will be on execution going forward.

Our priorities are clear and priorities are absolutely well defined to achieve sustainable above - industry growth, very important, both in domestic and other market. The second area, as far as execution is concerned is going to play a very important role in expanding margins. which is very important going forward to get the synergies on account of the scaling of the business that is happening and to create long -term value for our stakeholders.

It is very important that stakeholders are at the core of the strategies that we will be formulating. I am extremely conscious of the fact that you have reposed faith in me and my company, to that

extent and that will always remain at the back of my mind as we execute our policies going forward. Again, I would like to reiterate that Emcure's science-driven portfolio has a record of delivering complex products that set us apart.

Our ongoing investments in people, products, processes and partnerships position us for growth and profitability across all geographies as in, India, Canada, Europe and the rest of the world, as we progress with our strategic plan. Going forward, the focus will be on growth, and obviously on improving the margins.

Now I would also like to thank all my Emcureans for all unstinted support they have given us and we are very proud of that. I would also like to thank all

our shareholders for reposing faith

in us and our partners for their support. I intend to build on it for my shareholders and partners going forward to deliver better results year after year.

Thank you for giving me your patient hearing. Your support means a lot to us, all of us. Now I will hand over to Taj, our CFO, to review the Q4 and FY26 financials. Taj, over to you.

Tajuddin Shaikh : Good afternoon, everyone. I will take you through the key financial highlights for the fourth quarter and the full year FY26.

I will be discussing all comparisons on a year-on-year basis.

Starting with the Q4 performance:

Revenue from operations for the quarter grew by 16.7% to INR2,470 crores up by 16.7%. The domestic business grew by 5.2% to INR977 crores due to softness in Zuventus, arising from the recently concluded minority stake transaction and related leadership changes and team and portfolio reorganization.

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International markets maintained strong growth momentum, with revenues growing 25.7% to INR1,493 crores. Europe reported revenues of INR538 crores, a growth of 35.8%, with base business and products such as Mox and Amphotericin B scaling up being contributing factors. Canada reported a 28.6% growth, with revenues increasing to INR399 crores, led by market share gains and new launches. Emerging markets grew 15.5% to INR556 crores, with both ARV and non-ARV segments seeing strong growth.

Gross margins for the quarter stood at 59.4% versus 57.8% in Q4 FY25, up 160 basis points because of a better business mix, especially new launches in international markets. EBITDA, excluding other income, grew 24.5% to INR485 crores. EBITDA margins improved to 19.7% from 18.4% in Q4 FY25 and 19.5% in Q3 FY26, supported by operating leverage and productivity gains, being partly offset by Sanofi OAD contribution. Depreciation and amortization for the quarter was INR106 crores. Interest cost was INR46 crores.

During the quarter, we also booked an exceptional expense of INR43 crores related to the Mantra earn-out, which was higher than initial expectations due to better performance achieved. This was partly offset by a reversal of INR12 crores due to reassessment of new Labour Code related liabilities. Excluding the impact of exceptional items, the effective tax rate stood at 25.4% for the quarter.

Consequently, reported PAT for the quarter was INR244 crores, with a PAT margin of 9.9%.

Adjusted PAT came in at INR279 crores, showing strong growth of 36% year-on-year, with a PAT margin of 11.3% which was up by 160 bps.

Net debt as of March 31, 2026, stood at INR1,054 crores. The increase in debt over the last year has primarily been because of pay-outs for Mox and the Zuventus minority stake acquisition.

Moving to the annual performance for FY26 :

Revenue from operations grew to INR9,204 crores, a strong growth of 16.6%.

Domestic business grew to INR4,027 crores, representing a growth of 10%.

International markets performed well, with revenues growing 22.2% to INR5,177 crores, driven by strong performance across Europe, ROW markets and Canada. Europe was the strongest performer, with revenues growing 25.5% to INR1,850 crores. ROW markets scaled up to INR1,840 crores, delivering a 21.8% growth, both ARV and non-ARV verticals contributing to the strong performance. Canada grew 18.7% to INR1,487 crores through base business growth and new launches.

Gross margins for FY26 stood at 60.3%, up 20 bps. EBITDA for the year was INR1,789 crores, growing 21.8% from INR1,469 crores in FY25. EBITDA margins improved 80 bps to 19.4% reflecting improved utilization and productivity gains. The EBITDA margin improvement is despite the increase in R & D investments during the year.

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R&D investments stood at INR383.5 crores for FY26, corresponding to 4.2% of revenue, an increase of 50 bps year-on-year.

Depreciation and amorti

zation grew to INR415 crores from INR384 crores in FY25. Excluding exceptional and one-time impacts, our effective tax rate for FY26 was 26%.

Reported PAT was INR941 crores with a PAT margin of 10.2%. PAT adjusted for exceptional items was INR1,008 crores, reflecting a growth of 41% with adjusted PAT margins at 10.9%, up by 189 basis points.

With that, I will now open the floor for questions.

Q&A Session

Moderator: We will take the first question from the line of Amey Chalke from JM Financial. Please go ahead.

Amey Chalke: So, the first question I have on India business. We have delivered around 5% growth this quarter. I understand there was Zuventus impact. Is it possible to quantify this impact?

And does it mean that since there is attrition and all what you mentioned, the next few quarters year-on-year growth could be affected on account of this restructuring?

Piyush Nahar: Sure. Thanks, Amey. So, I think just to give the context, right. As you know, we took over the Zuventus business in end of Q2, early Q3. We have brought a new management team and Q4 is when we did the restructuring of the whole team and portfolio. So, most of the slower growth that you are seeing is because of that.

Ex of the Zuventus impact for the full year would have been close to the 9% - 10% base business growth that we have been talking about, that we delivered even in the first 9 months. So majority of the decline that you're seeing in Q4 was led by Zuventus. I think the restructuring was a mix of portfolio restructuring, team refocus and which led to a high attrition.

We don't think it impacted us for the full year. For FY27, what we do expect is we continue to be growing above industry as the CEO had mentioned in his opening statement. April, we are now back on track.

Moderator: Due to no response from the current participant, we will take the next question. We have the next question from the line of Tushar Manudhane.

Tushar Manudhane: As far as international market is concerned, if you could just share how much would have been the constant currency growth for each of the segments, Europe, Canada, Emerging market? That's my first question for the quarter.

Piyush Nahar: Overall, for the international market, the currency impact was about 7% to 8%. It was slightly higher, closer to 11%, 12% in Europe, while Canada and Emerging markets it was slightly lower.

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Tushar Manudhane: So then considering even if I say constant currency growth of Europe almost 20% -22% for the quarter and then we have niche product scale that's happening in what kind of outlook can be seen for next two years '27 -'28?

Piyush Nahar: Are you asking for overall international markets?

Tushar Manudhane: No, I was referring particularly for Europe, for the constant currency growth has been with good scale in certain niche products. So just trying to understand the outlook for '27 '28 for Europe.

Piyush Nahar: In the near term, the growth, we do expect it to be stronger in Europe, especially as Amphotericin B gets launched. But yes, once it reaches the scale, so I think over the next 2 years, we do still expect mid-teens growth in the Europe business as a CAGR.

Tushar Manudhane: And that should help to get better gross margins as well at least for Q4, it is not getting reflected compared to Q3 despite the overall international growth.

Piyush Nahar: If you look at it among the business itself, right, usually domestic is a higher GC business versus international. Now if you look at it, despite the domestic being slightly softer in Q4, our overall GC has improved Q-o-Q. So, some of that is reflecting out. I think for the full year, we do expect the GCs to remain around that 60% point.

Tushar Manudhane: Understood. And just lastly on the domestic, what kind of industry growth we think would be there for FY27?

Piyush Nahar: I think we continue to expect

industry growth to be around 8% to 9%, and for us, the target, is to grow faster than the industry – probably at low double-digits.

Moderator: We will take the next follow-up question from the line of Amey Chalke from JM Financial.

Amey Chalke: I just have one follow-up question on Zuventus. So what kind of operational synergies do you expect in Zuventus? Like, will it improve our India margins? Are you going to consolidate our like a common molecule brands which are present in both the entities or

the MR field force, are you going to cut it down so that, that could improve the profitability? Any color on that would be helpful.

Satish Mehta : So, basically, let me tell you that as far as we are concerned, Zuventus is a different segment altogether. Just to give you a flavor, as far as Emcure is concerned, it essentially focuses on Gyneac, Cardio and Metabolics. That's what we do as far as Emcure is concerned.

Amey Chalke: Sorry to interrupt, sir...

Vikas Thapar : I think we lost the CEO. Can you guys hear me? This is Vik.

Moderator: Yes, I can hear you, sir.

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Vikas Thapar : Yes. I'll try and take a stab until Satish is able to join back in. I think the synergies are going to be more in terms of how we are organized on the sales and marketing efforts. I think what Satish was trying to highlight that given these 2 segments still cater to very different therapeutic segments, on the manufacturing synergies, it's less because we have plants that are catering to specific sets of products on both sides.

But definitely, on some of the sales and marketing and related support functions, that's exactly some of the restructuring efforts that are underway to be able to synergize and get some operating leverage in the sales and marketing aspects of the Zuventus business.

Moderator: We have the next question from the line of Banshi from JPMorgan.

Banshi Desai: So just 2 questions from my side. Firstly, on India, if you can just help us understand slightly more in detail as to how the acquisition of minority stake affected the Zuventus portfolio and the attrition. The second part to it is that of our total MR count, what percentage of field force is for Zuventus? And what is the kind of restructuring we saw there?

Piyush Nahar : Sure. So, I think what happened along with the minority stake, we also had a big change in the management team, right? So, Mr. Guha had been leading that business since the inception, he stepped down and we had a new team coming in. I think when the new management came in, we also had a relook at the whole portfolio, the team structure that we had. I think something similar to what we did in the cardio diabetes when we took over the Sanofi - we restructured the teams, which division was going to which therapies, what is the focus. That is what we took over in Q4.

I think with the management change and that restructuring, that is what led to a higher attrition in the field force. As you know, acute is largely a short-term treatment, right? So, if you have a gap in the field force, it does lead to a much higher sales drop than what you will see in the normal chronic business.

Coming to your question on the field force, about 40% of the field force is in Zuventus for us.

Banshi Desai: Okay. And what percentage of this 40% would have seen restructuring or change in MR?

Piyush Nahar : So, I think we structured the whole. But the attrition normally, is about 20% to 30%. This quarter, we had a much higher attrition out there.

Vikas Thapar : It's not just the attrition; it's also restructuring of a couple of the divisions and the products. So I think it's not just the attrition aspect. It's also being repurposed. So there's a little bit of disruption related to that, that happens normally as part of any such exercise. So I think all in all, what we're trying to highlight is that that was something carried out

towards the end of Q3 and in Q4.

But it's starting to pay us dividends in the sense that for April, as the CEO mentioned, we are right on target in terms of our own internal expectations for Zuventus. So we're very happy with the progress that we're seeing, particularly over the last 45 to 60 days.

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Banshi Desai: All right. Just if you can call out what is our MR strength as of today?

Piyush Nahar : Close to 4,000.

Banshi Desai: The reason why I asked these questions is that at least with some of your peers, what we've seen is that on the acute side, when we see such restructuring of field force, it does take a while for the productivity to show up because as you highlighted, this is short-term treatment. A lot of it is based on your relationship with doctors, etcetera.

So that is the reason why I was trying to check, but it's good to know that you're mentioning that you're already seeing improvement in the month of April. So, we basically should not expect this to sustain, right, in terms of impact going into the next quarter.

Satish Mehta : We'll be back on track. And again, the other thing that I would like to say is that as Zuventus is concerned over a period of time, we have built some very strong brands. So that should also take

us through. So, I think that's how Vik mentioned some time back, right from April onwards, we are on track and every reason to believe that things will get better by the day.

Bansi Desai: All right. And second question, just on our employee expenses. This year, we've probably grown at about 7-odd percentage. Should we assume this run rate to continue?

Tajuddin Shaikh: Yes, we expect it to be around 10% next year.

Moderator: We will take the next question from the line of Dheeresh Pathak from WhiteOak Capital.

Dheeresh Pathak: So just carrying forward on domestic growth. So, for April, can you confirm, like with Zuventus, the growth is in line with the market? Or is it still below market growth, including Zuventus in the month of April?

Piyush Nahar: Dheeresh, I don't think we'll comment on monthly growth and all. But as the CEO mentioned, right, I think versus what we had targeted out, we are fully on track for that. I think once we have a quarter, that's when we talk about the full quarter growth.

Dheeresh Pathak: Okay. And Q4, did you say that ex of Zuventus, the growth was high single digit? Did I hear that right or something like that?

Piyush Nahar: Ex of Zuventus, for the full year, we would have been that high single-digit growth.

Dheeresh Pathak: For the full year. And in Q4?

Piyush Nahar: Q4 would have been about less than 8%.

Moderator: We will take the next question from the line of Bino from Elara Capital.

Bino: Just a question. You recently in-licensed these Nephro brands from Roche. Could you give a sense of what the annual revenue run rate for those brands? And also what sort of upfront payment have you made?

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Piyush Nahar: So, there's no upfront payment that we have made for this similar to all the other in-licensing we have done. The portfolio is 2-3 key brands, so it will be less than INR50 crores annualized.

Satish Mehta: What happens is that we have a reasonably strong presence in nephrology. We ourselves have a strong position. So it should help Roche, it should help us.

Bino: And a question on your guidance of low to mid-teen growth. What sort of currency assumptions have you made? Does that include the benefit of depreciation of INR.

Piyush Nahar: So, I think the currency assumption, what we are building is an average currency of 92 USD: INR.

Moderator: We will take the next question from the line of Sidharth Negandhi from CWC.

Sidharth Negandhi: You mentioned certain AI initiatives that are beginning to show results. If you could provide some color on that? That's question one. Second is in terms of market share in

your covered markets, how did that pan out in Q4 and in the full year? And the third is in the semaglutide part that you're talking about, right? How are you seeing catch-up post you taking down the pricing in the month of April, given the launch of generics, are you seeing your market share flow back? Those are the 3 questions.

Vikas Thapar: Let me start on the AI front and I can have my colleagues join in. I think the AI initiative; is in very early days. And obviously, AI landscape keeps changing by the day. But what we are trying to do is really champion it across the company. So in places like R&D and manufacturing, we are seeing definite benefits in terms of some of the speed of research and development of some of the products in the pipeline that we're working on as well as in manufacturing looking at how to obviously get better efficiencies or throughputs using AI to study our own batches being produced, etcetera. Then across the organization, I think whether you talk of support functions like legal, HR, finance, I think we are starting to adopt AI in different ways and means, to be able to make our workforce a lot more productive.

Even on the marketing side, whether it's analysis of sales force effectiveness and related sales and marketing initiatives like graphics design or marketing brand plans, etcetera, these are all areas where we are seeing some adoption of AI bearing some fruit. But we're very excited because I think the real benefits of that will accrue over the next two or three years as we become more and more well versed in using it more holistically across the organization.

I think to your second question around semaglutide, I'll let my colleagues also answer. But certainly, we wanted to be aggressive in terms of the post generic entry in terms of offering a very robust price point while still offering the innovator brand. And so we are starting to see some green shoots of that as well. I will pause and let Piyush or Satish comment on semaglutide and as well as the last question that you had.

Satish Mehta: Samit, would you like to talk about? Samit, go ahead. So that's something that is very close to your heart.

Samit Mehta : Sure. No. I mean, Poviztra, there's obviously a lot going for that brand. A, it's an innovative brand; B, it's an rDNA biologic versus the synthetic generics that have entered the market. Now with this price reduction, I think we have a real sweet spot in terms of the pricing vis -a-vis the generics. And of course, across specialties, there's close to 1,000 sales reps that are actively promoting this product. So, we believe that all this should get us very good traction over the short to medium term as well.

Satish Mehta : The other thing I would like to add is only some time back; we got also permission for NA SH - SEC has cleared, so it should be coming any time. In addition to that, what really happens that in the price war that is going on with so many generics in the market . With an absolutely correct pricing strategy, thanks to, Novo Nordisk and reach and penetration and having out some head start because we started promoting the product from December onwards.

So, I think going forward, I'm quite optimistic about Poviztra, we should do well on the back of the clinical data that we have. As far as Novo Nordisk is concerned, we have access to 40 clinical trials they have done all over the world. As Samit rightly alluded to ours is rDNA, rest of the products are synthetic. So, I think on the back of, say, science and technology that we'll be talking, we'll distinguish ourselves from the competition. And let's see how it plays out. But at the same time, as I'm talking to you, I'm quite optimistic. And third one, Piyush ?

Piyush Nahar : Which is covered market share. I think overall, given the impact that we had in Q4, our market share would have probably been flattish for the year.

Mod

erator: We will take the next question from the line of Ankush Mahajan from Sanctum Wealth.

Ankush Mahajan: My question is related to the India business. So, if you see there are different parts in the India business. Semaglutide and Sanofi business. So, despite all these parts our growth is just 5%. So, I just try to understand what kind of growth we have seen in base business than other business also. And what we are, as compared to the previous questions, we are realizing that the peers, those have acute portfolio are facing such problems like the restructuring of the team and all. So , the growth is almost delayed for a few quarters. So, would you throw some more light on that part?

Piyush Nahar: So, I think as you mentioned, so yes, so the restructuring had an impact on Q4. What we are seeing at least in the last 45 days, 40 or 35 days of the year, the revival and the business performing as per plan. So, I think for us, we don't expect the impact to last for a very long time for us.

Satish Mehta : But as I explained some time back, I'm sure you must have this, that we had problem only in Zuventus. As far as other business are concerned, like Emcure , where we are strong in gyna ec, cardiac and metabolic that continues to perform as per our expectations. And our onco and nephrology also is performing as per our expectations.

And because of change in management and restructuring that we explained, we had a bit of a setback as far as Zuventus is concerned. But as I told in my opening remarks, right from April onwards, we are on track. So, nothing to worry really.

Vikas Thapar : I would like to just clarify one point. The acquisition of the minority stake and the departure of Mr. Guha happened in the month of October. So, this is not a recent departure and therefore, we're concerned about the lagging effect of that over the next two, three quarters. What we're trying to highlight is some of this started already in, let's say, end of our Q3, carried into predominantly Q4, where we took the efforts over the prior three months in Q4 to have a lot of that restructuring take place.

And now we're seeing the green shoots of that. So, from our perspective, we think that Zuventus is more or less tracking back on track starting in Q1 itself as opposed to being concerned that this is going to be a, let's say, two, three additional quarters lag. We're already about four, five months into that entire process.

Ankush Mahajan: My assessment is that we are almost lost INR80 crores to INR90 crores of business in the first quarter, sorry, in the last quarter, Q4 quarter from Zuventus side. So, but half of that, we have grown in the semaglutide side and others also. So, this growth should be on the higher side?

Piyush Nahar : So, I think the semaglutide side is still ramping up, right? So, it's not a big driver for, or a big contributor to growth at this point. As you know, I think what we talked about even last time, the initial few months, it was more about market shaping and building the business and all. And then, March onwards, there was anticipation of generics coming in, so there is a price cut. So Q4, we didn't have that much of a semaglutide delta in there in the business out there. I think what we are highlighting is ex of Zuventus, if you look at it, our domestic business is growing

at that high single digit, low double -digit rate on an organic basis itself.

Moderator: We will take the next question from the line of Foram Parekh from BOB Capital.

Foram Parekh : My first question is on the domestic side. If you can quantify the contribution of these in -licensing products to the domestic business?

Satish Mehta : In-licensing makes up for the domestic about 15% of our sales.

Foram Parekh : Okay. And are we still scouting or are we still interested in doing more such in -licensing deals in the near -term?

Satish Mehta : I'll take that

question. So , as far as we are concerned, the entire focus will be on organic growth, build our own brands and take them to the next level, also launch the products from our R&D. And at the same time, suppose if something comes in in -licensing, we are obviously fairly open because let me tell you, getting the portfolio, cardio portfolio from Sanofi has obviously given a fillip to our products elsewhere that has worked out well.

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And as far as metabolics are concerned, we hardly had any presence before we got metabolics portfolio as in Amaryl & Cetapin from Sanofi. And what really happened on the back of this portfolio, my own products with good GC have also started doing well. So I think, while the emphasis will be obviously on organic growth and focusing on our big brands becoming bigger. But at the same time, as I mentioned in the early part of my address, in -licensing will continue to be part of our strategy going forward, wherever it is going to be accretive and going to add value to our current portfolio.

Foram Parekh : Sure. And on this Poviztra brand, how should we look at it? I mean, despite the competition, but then we had a price cut and we had some encouraging results out of it. So, do we see it becoming a meaningful contributor in the next couple of years to the domestic sales?

Satish Mehta : I think so because what really happens, thanks to Novo Nordisk , the pricing is very competitive. And as the market crowds and most of the people will be talking about, say, price war is going to happen in times to come. But as far as we are concerned, we'll talk about the merit of the product, which is rDNA product, not synthetic, backed up by a lot of clinical data. So we'll be differentiating ourselves on the back of science, we'll be talking to the doctor. To that extent, as I'm talking , there is every reason to believe that this product should do well going forward for us.

Vikas Thapar : I was just going to add that, as you already mentioned, as the indications of use continue to widen and more and more specialists become comfortable writing the brand, that's where we think we will continue to gain momentum with this brand as well.

Foram Parekh : Sure. My second question is on the R&D pipeline towards ADC. So , if you can just explain, what part of the ADC are we? and when do we see this getting commercialized? How long is it for the commercialization to take place?

Samit Mehta : Sure. So there are two parts to the ADC program. One will be a biosimilar ADC and the other will have some element of innovation in it, especially the linker around which we have our own IP. So the linker and payloads will be in -house. The conjugation will be done in -house for the mAb since it's a crowded market with available drug substance, we are partnering with a company to work on the mAb.

So in that context, the biosimilar ADC should have a shorter approval pathway. And the innovative ADC, of course, will be slightly longer, but we are seeing some encouraging results in terms of identifying some potential lead candidates.

Foram Parekh : Okay. So , by when do we expect commercializing these products? Is it in the near couple of years' time?

Samit Mehta : So the biosimilar ADC, the only reason I'm not giving out a very specific time line is because the regulatory landscape in India itself is evolving. Many countries globally have done away with Phase III trials, which are typically the most expensive studies, which have the longest time

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line as well. So if there is some regulatory pathway that is similar to these countries, then it could take away a significant portion of the development time line.

So there's no point in trying to guess where and at what time these paths will coincide, but it could make a significant difference in the approved time lines with and without a Phase III. So it may not be accurate

e to give out a time line, but obviously, the biosimilar will be earlier than the novel one.

Foram Parekh : Okay. And lastly, on the capex front, if you can just give us the capex expected for FY27 ?

Vikas Thapar : Yes. So I think we guide around that INR400 crores rough number. I think we'll broadly be in that range of INR400 - 425-ish crores.

Moderator: We will take the next question from the line of Kunal Randeria from Axis Capital.

Kunal Randeria: Sir my first question is around the assumptions on your guidance. So, you said barring any geopolitical events. But as we speak, there are geopolitical events that might just push up the prices or would have already pushed up the prices on raw materials. So how much of it some of the price cost increase would be already baked in your guidance?

Piyush Nahar: So Kunal, I think a couple of factors, right? One is, I think given the nature of the business and especially some of the markets we are in, for most of the markets, we do have between one to two quarters of inventory. So at least for the next one or two quarters, we don't see much of an impact coming through. I think post that, we'll have to see if this price elevation last across raw material and how much we can pass it on to the customer side.

You would have seen even in the domestic market, the IP A has reached out for price hike. I think we are also looking at what we can do within the international markets. So it's still an evolving phase. At this point, we don't think, unless it deteriorates further, it should not be a major impact, but we'll have to see as it evolves.

Satish Mehta : Kunal, one more point that I would like to add. This is an industry -wide problem, not necessarily restricted to one company. And the advantage that we will have is that we are not in a purely generic -generic market because we have differentiated products. So to that extent, our ability, that's what I presume. I don't know how it plays out, will be better in terms of asking for a higher price going forward.

And as far as India is concerned, this is an industry -wide problem. IP A has very proactively taken up with the government, and we are also involved in the negotiation. So let's see how it plays out going forward. It's an industry -wide problem.

Kunal Randeria: Understood. Sir, the second question is, I think you were looking to file for semaglutide in Canada. Now with a couple of approvals, it might be a bit late, I guess. So, what is the path? Would you be kind of now partnering with someone, maybe as a marketing partner? What's the path ahead?

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Satish Mehta : Vik, would you like to take that?

Vikas Thapar : So in fact, in Canada, as you know, both Apotex and Reddy's did get the approval very recently. You'll be happy to know that our Mantra subsidiary in Quebec has partnered with Dr. Reddy's and we'll be launching the product hopefully sometime in Q2 and then ramp up from there. We are obviously filing our own product in Canada as well for addressing, I think, the more midterm opportunity throughout Canada.

But we're very, very excited about our partnership with Dr. Reddy's to be able to capture a decent market share in the Quebec market, where we anticipate that the pricing dynamics will be more favourable there relative to even the rest of Canada. And it just shows you the strength of our team that DRL has chosen to partner with us for trying to capture that early mover advantage in the Canadian market.

Kunal Randeria: Okay. That's good. So, would it be like a profit share kind of an agreement or more of a marketing margin kind of, fixed marketing margin kind of an agreement?

Vikas Thapar : Yes. So I don't want to specifically comment on the deal dynamics. I think it's early days. But I think it's a decent opportunity for us, specifically for the Quebec region. And I think only time will tell how lucrative that can become. But ob

viously, at the same time, I must say that in the early days, there were a lot of numbers being thrown around for the Canadian market. Obviously, some of the pricing has corrected a bit. So we think it's still a decent opportunity for us, looking at the dynamics of the deal as well as longer term, when we anticipate entering at some point in the future with our own product to address the remainder of the market.

Moderator: We will take the next question from the line of Avnish Burman from Vaikarya .

Avnish Burman : My first question is a continuation of the previous participant's question on the impact of the business because of the Middle East conflict. I just wanted to know whether you are facing any constraints in terms of container availability, raw material, or even people in your factory? Is there any impact on the business because of that?

Piyush Nahar: I don't think we're seeing any supply issues right now. I think the impact that we have is largely more on the pricing front. Supplies have not we have not seen impact .

Satish Mehta: Again, the supplies, in a limited sense, what is really happening, the solvents, where the prices have shot up, the solvents that we require for active pharmaceutical ingredients are not available and that is an industry -wide problem that we are facing. Even for that matter one must admit

that the insurance cost and the freight cost have also gone up because of the longer route that is required to be taken.

But at the same time, it's difficult to opine what the impact is as of now. As Piyush rightly mentioned some time back, we are carrying inventory everywhere. And if the war continues for a few months, I think the entire industry or entire industry, not necessarily pharma, all of us are going to be impacted.

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Avnish Burman: Okay. So, for example, cost, as you mentioned, freight and insurance costs and all, I mean, these are inventory independent. So in these kinds of cost increases, are you able to pass it on? Or are you taking it right now in your P&L?

Piyush Nahar: So I think it's a mix. I think the guidance we are guiding out includes the current what we are seeing in terms of the pricing.

Avnish Burman: Okay. And for your domestic business, if you have any CMO partners in India, are you facing any bottlenecks from those partners?

Piyush Nahar: As of now, no.

Avnish Burman: Okay. My second question is on this. The FDA announced some developments on the biosimilar front, where they reduced the R&D requirements for biosimilars. Just your opinion on how it impacts the new entrants or the incumbents differently? If you can just talk about that a little bit.

Samit Mehta : Yes. I think many companies will now find it a little more lucrative to enter the biosimilar space because like I was previously mentioned, Phase III, which is essentially an efficacy study for a lot of biosimilars, could possibly be waived off . And that was the largest component in terms of both cost as well as elongating the timelines. So once that goes away and we see more approvals coming through that have been filed without the Phase III or with the waiver, then definitely, the biosimilar space will heat up a little more.

And that said, that's where a company like Emcure's Genova will have the advantage, given that we have been in this business for quite a long time . And have developed strong expertise on both the mammalian as well as the bacterial platforms, on which most of the biosimilars are anyway produced. So in terms of maximizing or optimizing the titres, the yields, the COGS, we are there. So even with competition being very intense and COGS playing a major role, we should be able to thrive in the market going forward.

Moderator: Ladies and gentlemen, we will take that as the last question for today. And that concludes the question -and-answer session. I now hand the conference back to the ma

agement for closing comments.

Satish Mehta : This is Satish Mehta. Thanks for your very active participation. I would like to reiterate that we have delivered strong growth in FY26 , which has exceeded our initial guidance. I understand your concern about Zuventus, but I would like to again reiterate we are in good shape. April has been as per our expectations. And I believe we will deliver the growth as per the guidance which has been given by the company. Nothing to worry about as far as the domestic business is concerned.

With our diversified business model, as we kept on talking about our position that we have in Canada, Europe and Emerging markets, I believe we are very well positioned to continue our growth trajectory. And as Piyush mentioned and I also mentioned in my initial remarks, low to

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mid-teen growth with continued EBITDA margin expansion in FY27 , we will keep on working. That is something which will happen.

And as we mentioned, the entire focus will be on execution, processes and people and growth will be well diversified because the company and the business that we have built, we have very strong four verticals, as in the domestic market, but at the same time, excellent position in Canada, Europe and Emerging markets that we have.

So, to that extent, business is in good shape . and we should deliver results as per the expectations of the market going forward. So thank you very much for giving patient hearing and looking forward to interacting with you from time to time. And if you have any follow-up questions, kindly feel free to reach out to us and we'll be more than happy to answer. Thank you very much.

Moderator: Thank you, members of the management. On behalf of Emcure Pharmaceuticals Limited, that concludes this conference. Thank you all for joining us today and you may now disconnect your lines.

- Ends -

Note: The contents of this transcript have been edited to improve accuracy and readability